

Construction rebalancing keeps the RBA on alert

#australia

#construction

#gdp



By Pat Bustamante

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15:22 July 08 2026

 Share

Infrastructure is fading, but housing and data centres are keeping capacity tight and the RBA on alert.

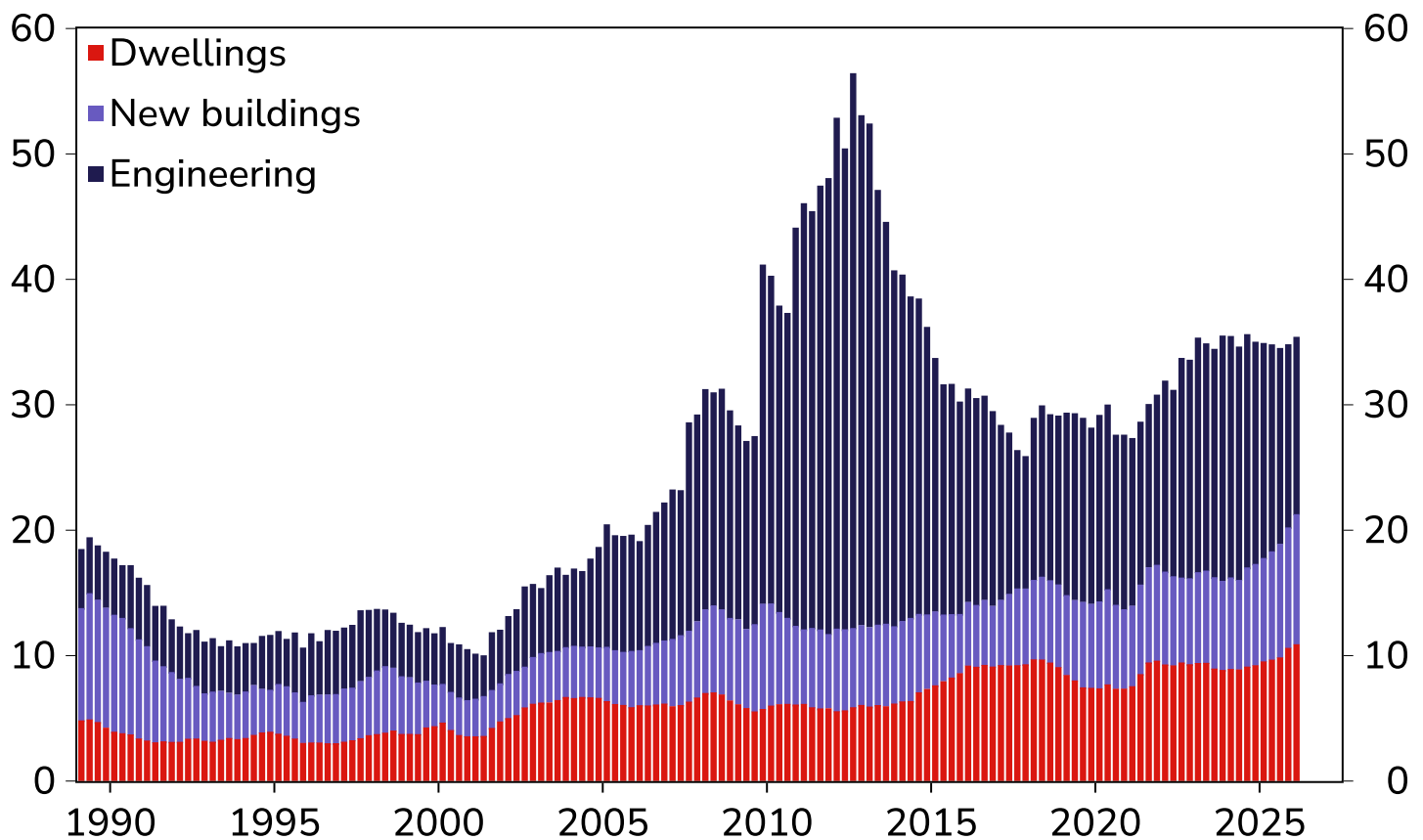


- Construction activity is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

- The **public infrastructure pipeline** is shrinking rapidly, especially in NSW and Victoria. Private engineering work has been more resilient but is starting to soften as well. Electricity-related projects across both the public and private sectors have declined in recent quarters, likely reflecting grid capacity constraints and delays affecting several large-scale renewable energy developments in NSW.
- **Residential building** remains an important source of support. The dwelling pipeline is still elevated, despite a fall in private commencements in Q1. This should sustain activity in the near term. However, risks remain with interest rate rises and established markets moving into a downturn. Higher fuel and related costs are also likely to squeeze builders' margins and thus activity, though not as much as in the post-COVID period, when fixed-price contracts were more common. Against this, there have been a range of state and Federal government measures aimed at boosting new building in recent years.
- The standout positive story is **non-residential building**. The work yet to be done pipeline has reached a record high, driven by an unprecedented wave of data centre investment concentrated in NSW and Victoria. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP – and we know there is further upside due to a big spike in data centre approvals in April and May ([see here](#)) and the record level of investment we expect over coming years ([see here](#)). Major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity, with recent state budgets, particularly in NSW pointing to further strength in the year ahead
- **The bottom line:** as infrastructure work fades, building construction is stepping up led by non-residential activity. This shift should keep the construction sector operating at high utilisation rates. If growth in building activity outpaces the decline in infrastructure, capacity pressures could even intensify, placing renewed upward pressure on construction costs and prices. This rebalancing reinforces our view that domestic inflation pressures will linger for a while yet, and the RBA may not be finished with its tightening cycle.

Construction pipeline

% share of the economy, work yet to be done



Source: ABS, Macrobond, Westpac Economics

The ABS's Engineering Construction (released last week) and Building Activity (released today) publications provide estimates of the construction pipeline and the value of work yet to be done on projects that have already commenced. As such, they offer an important leading indicator of near-term construction activity. The data complements, and ultimately feeds into, the National Accounts estimates of engineering construction, dwelling investment, non-dwelling construction and public infrastructure spending.

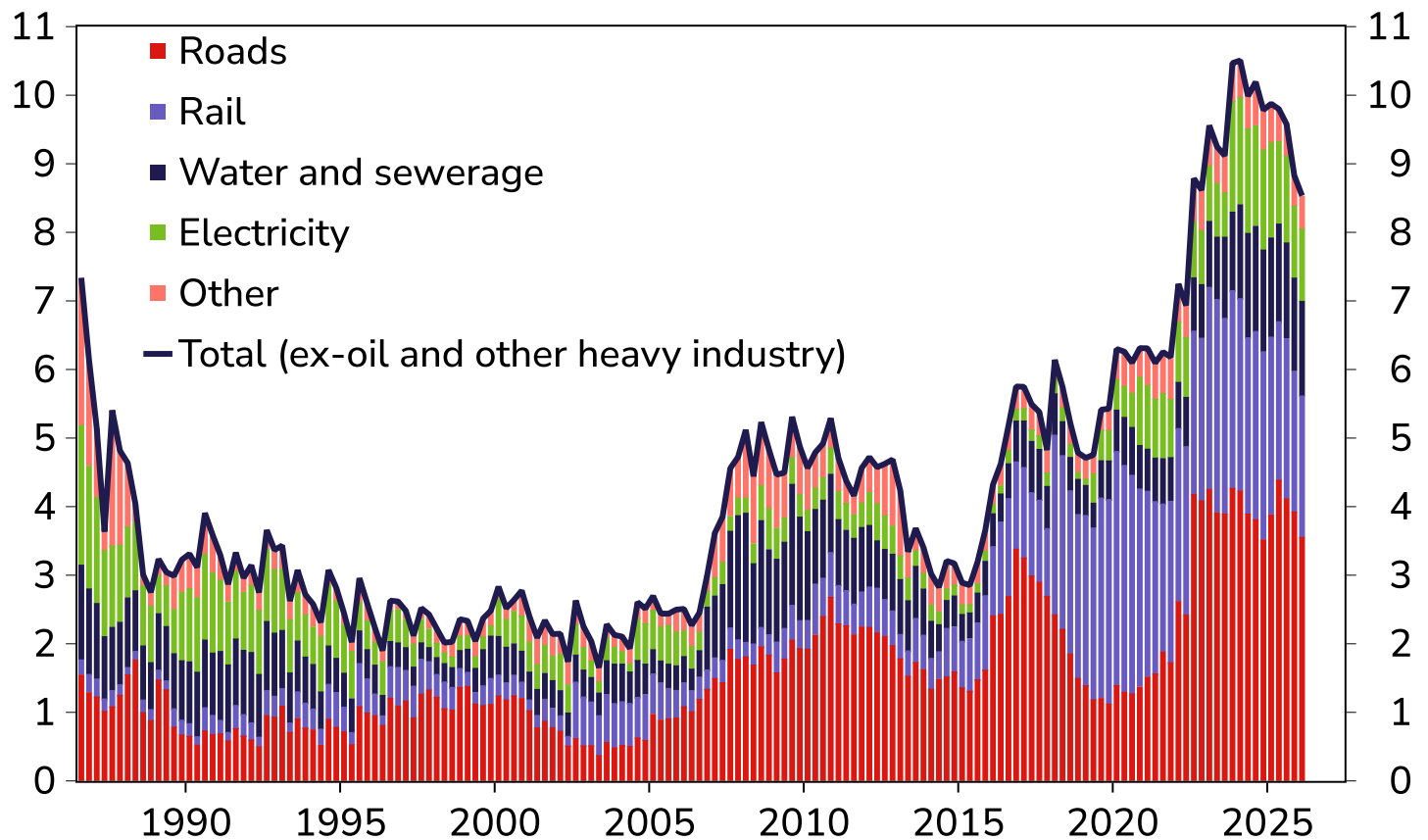
The ABS will release its preliminary estimates of construction work done in Q2 2026 on 26 August 2026, providing a timely read on how activity is tracking ahead of the Q2 National Accounts due on 2 September.

Overall, the pipeline is rebalancing rather than retreating, with the pipeline of work yet to be done remaining around a record high share of the economy outside of the mining investment boom.

The public infrastructure pipeline has fallen sharply, particularly in NSW and Victoria. In NSW alone, the value of work yet to be done has almost halved over the past year, falling from around \$35 billion to \$17 billion. Part of the decline reflects the wind-down of major road and highway projects, alongside the completion of several large metro projects in Sydney and Melbourne.

Public infrastructure pipeline

% share of the economy, work yet to be done

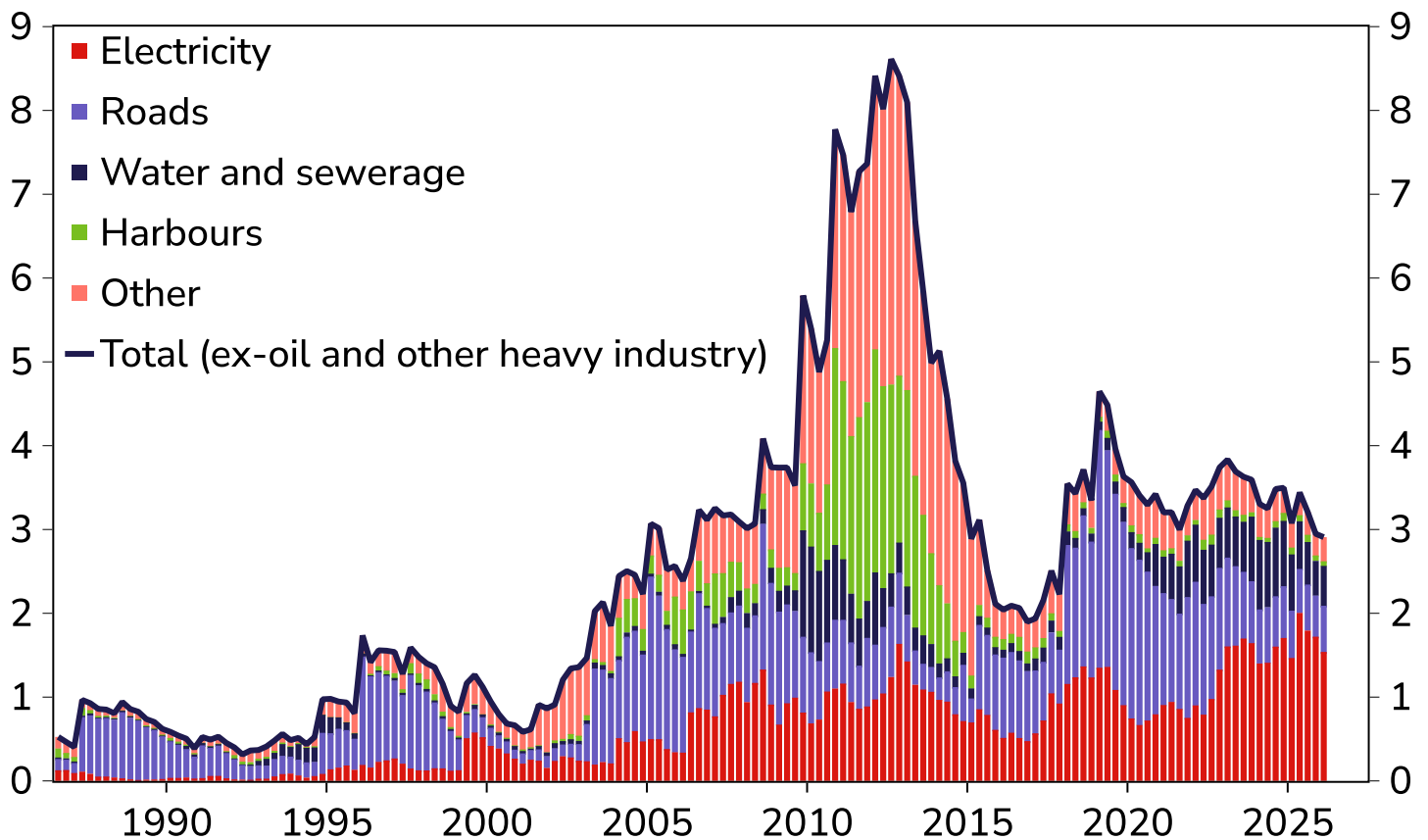


Source: ABS, Macrobond, Westpac Economics

The private engineering pipeline has been more resilient, although it too is starting to soften, with the softness driven by the wind-down of road and transport projects, as well as a decline in electricity generation and distribution projects.

Private infrastructure pipeline

% share of the economy, work yet to be done

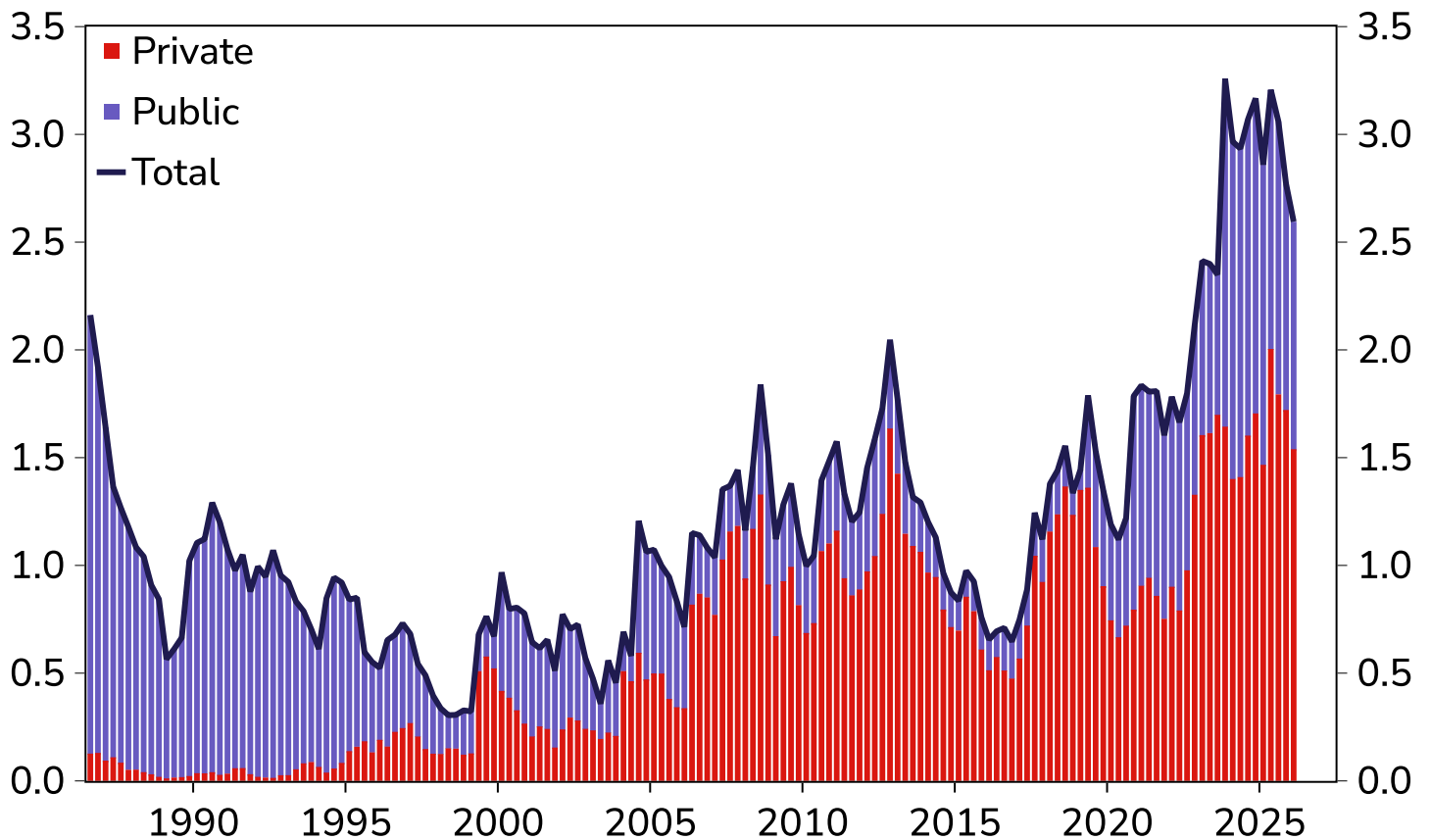


Source: ABS, Macrobond, Westpac Economics

Electricity-related projects across both the public and private sectors have declined in recent quarters and that continued over Q1, particularly in the private sector.

Electricity infrastructure pipeline

% share of the economy, work yet to be done



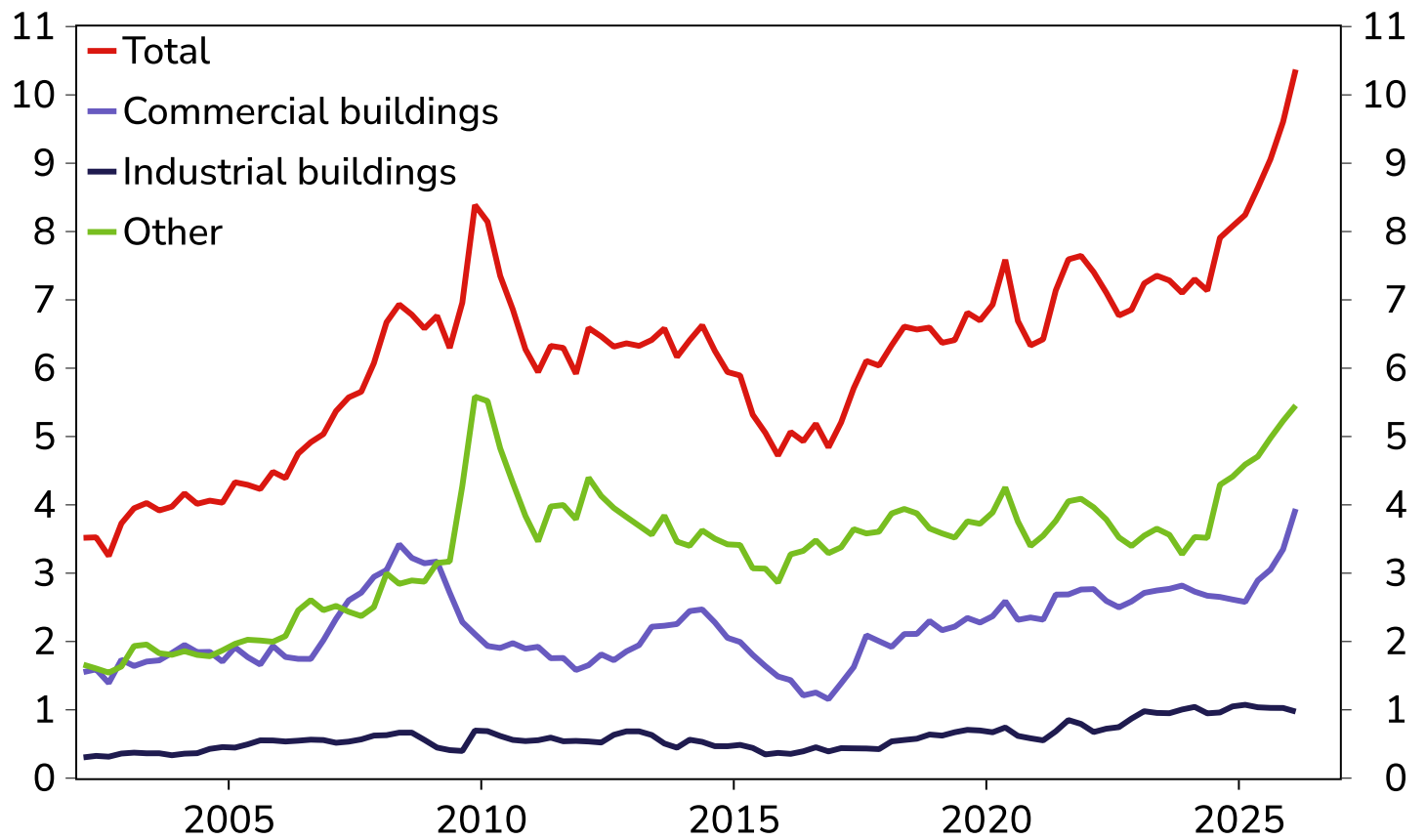
Source: ABS, Macrobond, Westpac Economics

The standout positive story is **non-residential building**. The value of other commercial buildings in the pipeline, largely reflecting the specialised buildings and structures required to house high-tech data centre equipment, has surged from virtually zero before COVID to around 2.1% of quarterly GDP. Today's data shows continued strength with commencements increasing sharply and we know there are further upside given strong April and May approval data.

That saw the value of other commercial buildings in the pipeline reach a record share of the economy.

Non-residential building pipeline

% share of the economy, work yet to be done

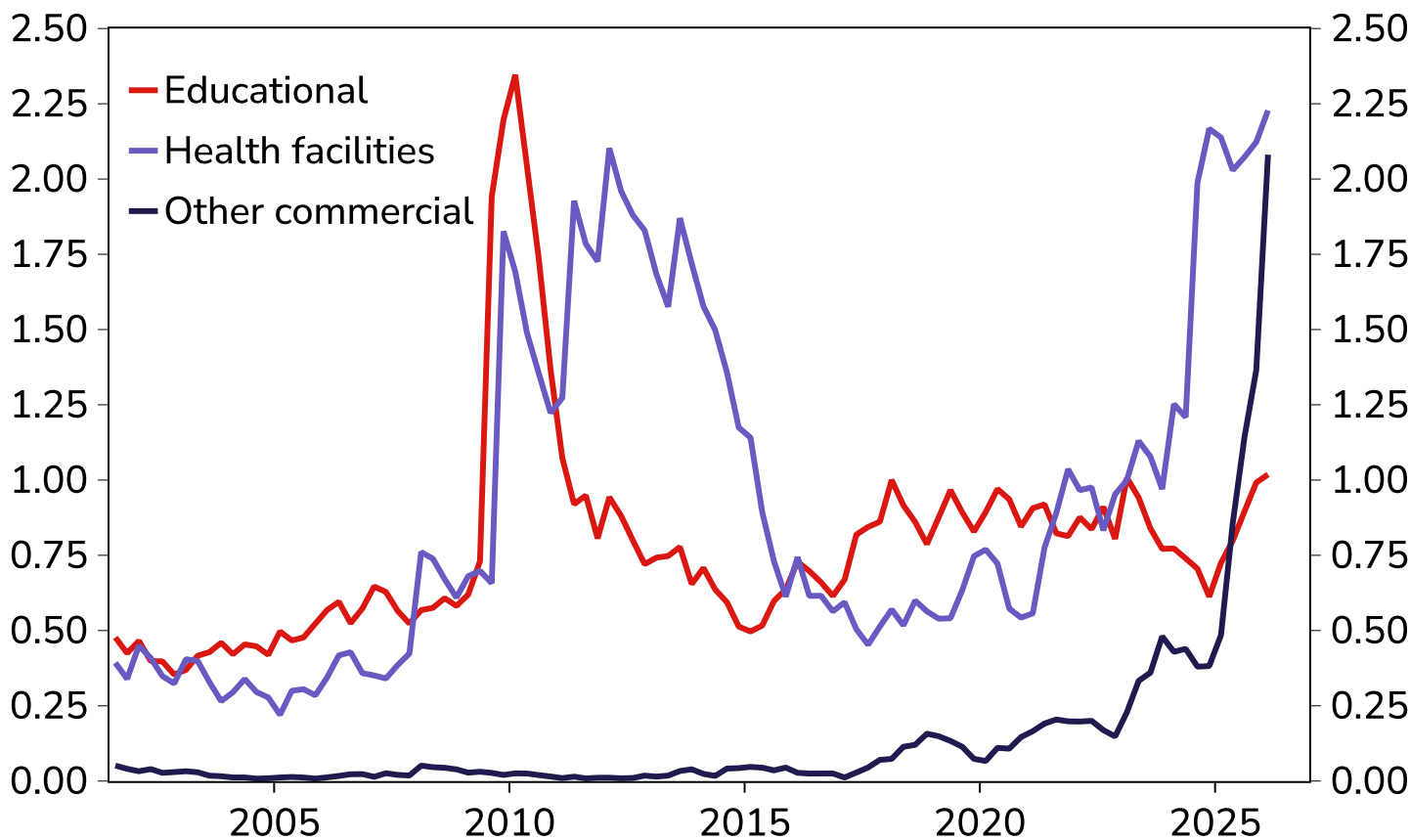


Source: ABS, Macrobond, Westpac Economics

While data centres stole the show, major health and education projects in Queensland, NSW and South Australia are also contributing to the strength in activity.

Non-residential building pipeline

% share of the economy, work to be done

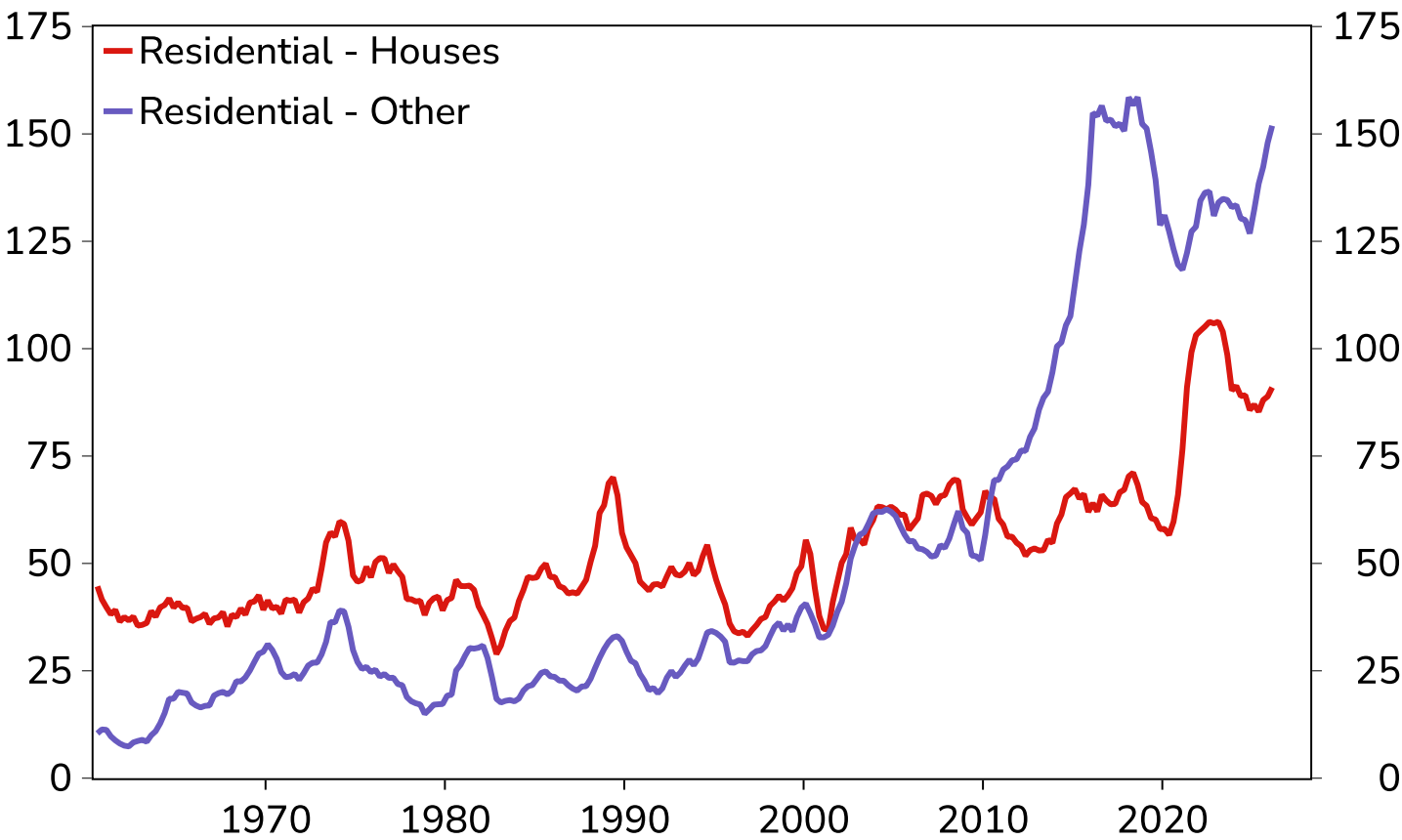


Source: ABS, Macrobond, Westpac Economics

The number of dwellings under construction also increased in the quarter, supporting near term activity, consistent with our forecasts for dwelling investment.

Dwellings under construction

Number, thousands



Source: ABS, Macrobond, Westpac Economics

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6 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was thin trading due to the US 4 July public holiday. Risk sentiment more broadly improved as Asian and Euro equities rebounded from the tech-led sell-off earlier in the week. Easing Middle East tensions, renewed optimism around US-Iran negotiations and more constructive messaging from ECB officials helped support markets

Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	65.1	0.5%	30 day BBSY	4.36	0.00
AUD/USD	0.6940	0.3%	90 day BBSY	4.51	0.00
AUD/JPY	111.98	0.4%	180 day BBSY	4.80	-0.01
AUD/GBP	0.5198	0.2%	1 year swap	4.50	-0.01
AUD/NZD	1.2146	0.0%	2 year swap	4.43	-0.01
AUD/EUR	0.6067	0.2%	3 year swap	4.39	-0.01
AUD/CNH	4.7082	0.2%	4 year swap	4.39	-0.02
AUD/SGD	0.8966	0.3%	5 year swap	4.42	-0.02
AUD/HKD	5.4432	0.3%	6 year swap	4.46	-0.03
AUD/CAD	0.9854	0.4%	7 year swap	4.52	-0.03
EUR/USD	1.1437	0.0%	8 year swap	4.57	-0.03
USD/JPY	161.34	0.1%	9 year swap	4.63	-0.02
USD Index	100.86	0.0%	10 year swap	4.67	-0.02

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,844	1.4%	Australia		
S&P 500	7,483	0.0%	3 year bond	4.41	-0.03
Japan Nikkei	69,744	1.5%	10 year bond	4.80	-0.02
Hang Seng	23,350	1.3%	United States		
Euro Stoxx 50	6,413	0.8%	3-month T Bill	3.67	-0.01
UK FTSE100	10,679	0.2%	2 year bond	4.14	0.00
VIX Index	15.81	-2.1%	10 year bond	4.48	0.00

Commodities	Current	Change	Other (10 year yields)		
CRB Index	353.03	-0.2%	Germany	2.94	0.03
Gold	4176.94	1.3%	Japan	2.79	0.00
Copper	13366	0.3%	UK	4.78	0.01

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	68.78	0.1%	10 yr bond	4.84	0.01
Coal (coking)	241.00	-0.4%	3 yr bond	4.41	0.01
Coal (thermal)	129.00	-0.2%	3 mth bill rate	4.51	0.00
Iron Ore	98.75	1.0%	SPI 200	8,794	-0.4%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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China's greatest opportunity and biggest threat

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By [Elliot Clarke](#)

Head of International Economics, Westpac

08:05 July 03 2026

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To achieve its development ambitions, China's industrial might must pay off for households.



The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in

the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline. With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

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MORNING REPORT

Today's economic developments and market movements.

Key themes

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Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	65.1	0.5%	30 day BBSY	4.36	0.00
AUD/USD	0.6940	0.3%	90 day BBSY	4.51	0.00
AUD/JPY	111.98	0.4%	180 day BBSY	4.80	-0.01
AUD/GBP	0.5198	0.2%	1 year swap	4.50	-0.01
AUD/NZD	1.2146	0.0%	2 year swap	4.43	-0.01
AUD/EUR	0.6067	0.2%	3 year swap	4.39	-0.01
AUD/CNH	4.7082	0.2%	4 year swap	4.39	-0.02
AUD/SGD	0.8966	0.3%	5 year swap	4.42	-0.02
AUD/HKD	5.4432	0.3%	6 year swap	4.46	-0.03
AUD/CAD	0.9854	0.4%	7 year swap	4.52	-0.03
EUR/USD	1.1437	0.0%	8 year swap	4.57	-0.03
USD/JPY	161.34	0.1%	9 year swap	4.63	-0.02
USD Index	100.86	0.0%	10 year swap	4.67	-0.02

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,844	1.4%	Australia		
S&P 500	7,483	0.0%	3 year bond	4.41	-0.03
Japan Nikkei	69,744	1.5%	10 year bond	4.80	-0.02
Hang Seng	23,350	1.3%	United States		
Euro Stoxx 50	6,413	0.8%	3-month T Bill	3.67	-0.01
UK FTSE100	10,679	0.2%	2 year bond	4.14	0.00
VIX Index	15.81	-2.1%	10 year bond	4.48	0.00

Commodities	Current	Change	Other (10 year yields)		
CRB Index	353.03	-0.2%	Germany	2.94	0.03
Gold	4176.94	1.3%	Japan	2.79	0.00
Copper	13366	0.3%	UK	4.78	0.01

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	68.78	0.1%	10 yr bond	4.84	0.01
Coal (coking)	241.00	-0.4%	3 yr bond	4.41	0.01
Coal (thermal)	129.00	-0.2%	3 mth bill rate	4.51	0.00
Iron Ore	98.75	1.0%	SPI 200	8,794	-0.4%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
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AUS Interest Rate Swaps	Last	Change
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90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
4 year swap	4.39	-0.02
5 year swap	4.42	-0.02
6 year swap	4.46	-0.03
7 year swap	4.52	-0.03
8 year swap	4.57	-0.03
9 year swap	4.63	-0.02
10 year swap	4.67	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
10 year bond	4.80	-0.02
United States		
3-month T Bill	3.67	-0.01
2 year bond	4.14	0.00
10 year bond	4.48	0.00
Other (10 year yields)		
Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
3 yr bond	4.41	0.01
3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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Cliff Notes: patience is a virtue

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By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

10:16 June 26 2026

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Key insights from the week that was.



Australian consumer prices fell 0.7% in May, bringing the annual rate of headline inflation down from 4.2%yr to 4.0%yr. The main cause of the decline was an 11.9% fall in auto fuel prices; but, relative to our own forecast, it was holiday travel and accommodation that was the primary contributor.

Stripping out these factors, trimmed mean inflation lifted from 3.4%yr to 3.6%yr. Housing inflation was, once again, key with rents surprising to the upside and new dwelling costs recording their strongest monthly increase since late-2022. The latter contrasts with growing evidence of cooling demand in the housing market, pointing to margin pressure for homebuilders. Cost pass-through was also evident in the detail, though weak household spending may stop businesses from recouping costs through mid-year and beyond. The abrupt reversal in energy supply and prices through June (see below) may also see businesses write off margin compression as a transient concern.

Employment subsequently bounced back from holiday-related weakness in April as expected, jobs up +40.3k and the unemployment rate ticking down to 4.4%. That said, revisions to April offset May's gain, stalling growth in Q2-to-date after a robust Q1. Looking past the month-to-month volatility, the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.

Offshore, the past week saw the Memorandum of Understanding between the US and Iran take effect and a consequent rapid opening up of the Strait of Hormuz, freeing circa 20 million barrels of oil from the Strait in recent days. For the most part, the price of oil has trended down, reaching USD72 mid-week, a level last seen before the conflict began in February. It has not been all smooth sailing, however, an attack on a commercial ship off the coast of Oman overnight sparking concern and an increase in the oil price back above USD75. Several points still require detailed negotiation, including Iran's nuclear program and the management of the Strait beyond the first 60 days. Discussion on a framework to resolve differences on these matters began at the weekend in Switzerland, and are likely to continue for weeks, if not months. Risks for energy supply and price will therefore linger for the foreseeable future.

On the data front, US personal income surprised to the upside in May, rising 0.7% after being unchanged in April. Compensation growth was more modest at 0.4%, consistent with the average since the beginning of the year. Personal spending growth also accelerated to 0.7%, although much of the gain was driven by inflation, with real spending up just 0.3% after a flat April print. PCE inflation was a touch softer than expected in May at 0.4%, while core inflation was in line at 0.3%. Q2 is therefore looking like another soft period for the US consumer. Notable too is that revisions have been against the consumer, the third estimate of Q1 GDP this week seeing quarterly consumption growth revised down to just 0.5% annualised. An upgrade to business investment and a material reduction in import growth in the quarter more than offset for GDP; but being more than 70% of the economy, the weakness in consumption will have a significant bearing on the aggregate pulse hence.

In our view, this data and events in energy markets warrant the FOMC remaining on hold for the remainder of the year as inflation risks slowly abate. However, the market is likely to continue to price the risk of further tightening, particularly while the White House remains out of the monetary policy debate and AI optimism persists.

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May CPI – underlying pressures firm

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By Neha Sharma
Economist, Westpac

18:00 June 24 2026

Share

Monthly May CPI $-0.7\% \text{mth}/4.0\% \text{yr}$, Trimmed Mean $0.4\% \text{mth}/3.6\% \text{yr}$.



- May CPI fell $-0.7\% \text{mth}/4.0\% \text{yr}$, below both our forecast and market expectations, with the downside surprise concentrated in holiday travel and clothing & footwear.
- Underlying inflation firmed, with trimmed mean inflation in line with our expectations at $0.4\% \text{mth}/3.6\% \text{yr}$. The three-month annualised pace lifted to 3.8%.

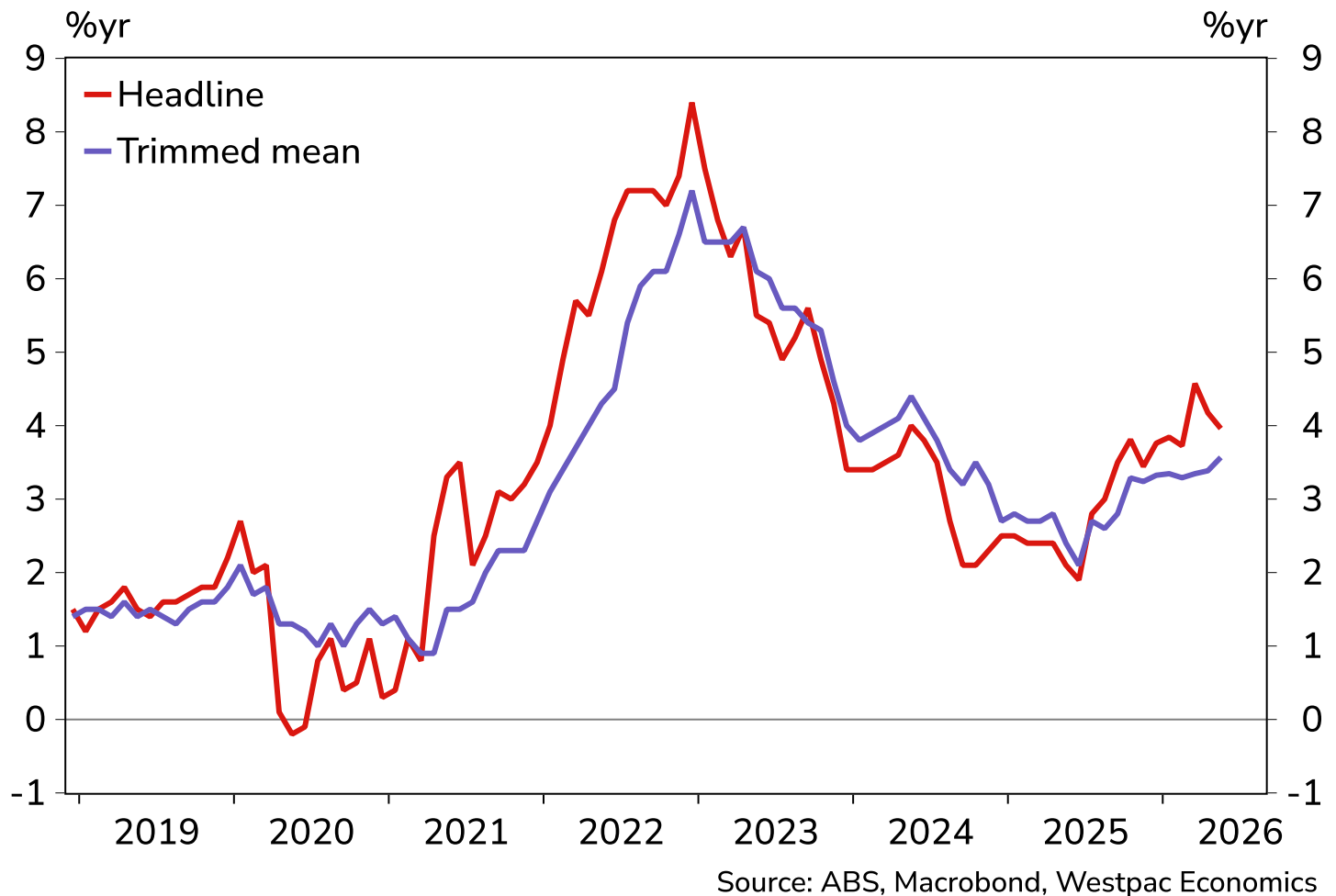
- Housing remains the key inflation pressure point, with new dwelling costs posting their strongest monthly increase since late-2022 and rents also surprising on the upside. There is also stronger evidence that pressures are broadening particularly within services.
- While oil and commodity prices have eased from recent highs, we expect further pass-through into consumer prices over coming months as earlier cost increases continue to filter through the economy. This is likely to keep inflation uncomfortably high for the RBA who will be concerned about high inflation becoming embedded in domestic wage and price setting behaviour.

The May CPI fell -0.7% mth to be up 4.0% yr. This was below our estimate of -0.3% mth/ 4.4% yr and market expectations of -0.4% mth/ 4.3% yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped -0.1% mth, compared with our estimate of $+0.2\%$ mth.

The key drags on headline inflation were transport (-0.4 ppts), with fuel prices falling 11.9% in the month, clothing & footwear (-0.1 ppt) and recreation & culture (-0.4 ppts). The latter two accounted for nearly all of the miss in our monthly result, with domestic travel also softer than anticipated. Balancing this was strong outcome in the housing component, which added $+0.1$ ppt, with a broad-based pick-up across electricity, rents and new dwelling costs.

While headline inflation was softer than projected, trimmed mean inflation came in-line with our forecast, rising 0.4% mth/ 3.6% yr (slightly softer at the second decimal place). The three-month annualised rate has picked up to 3.8% from 3.1% in February, before the breakout of the Middle East conflict.

Headline and trimmed mean inflation



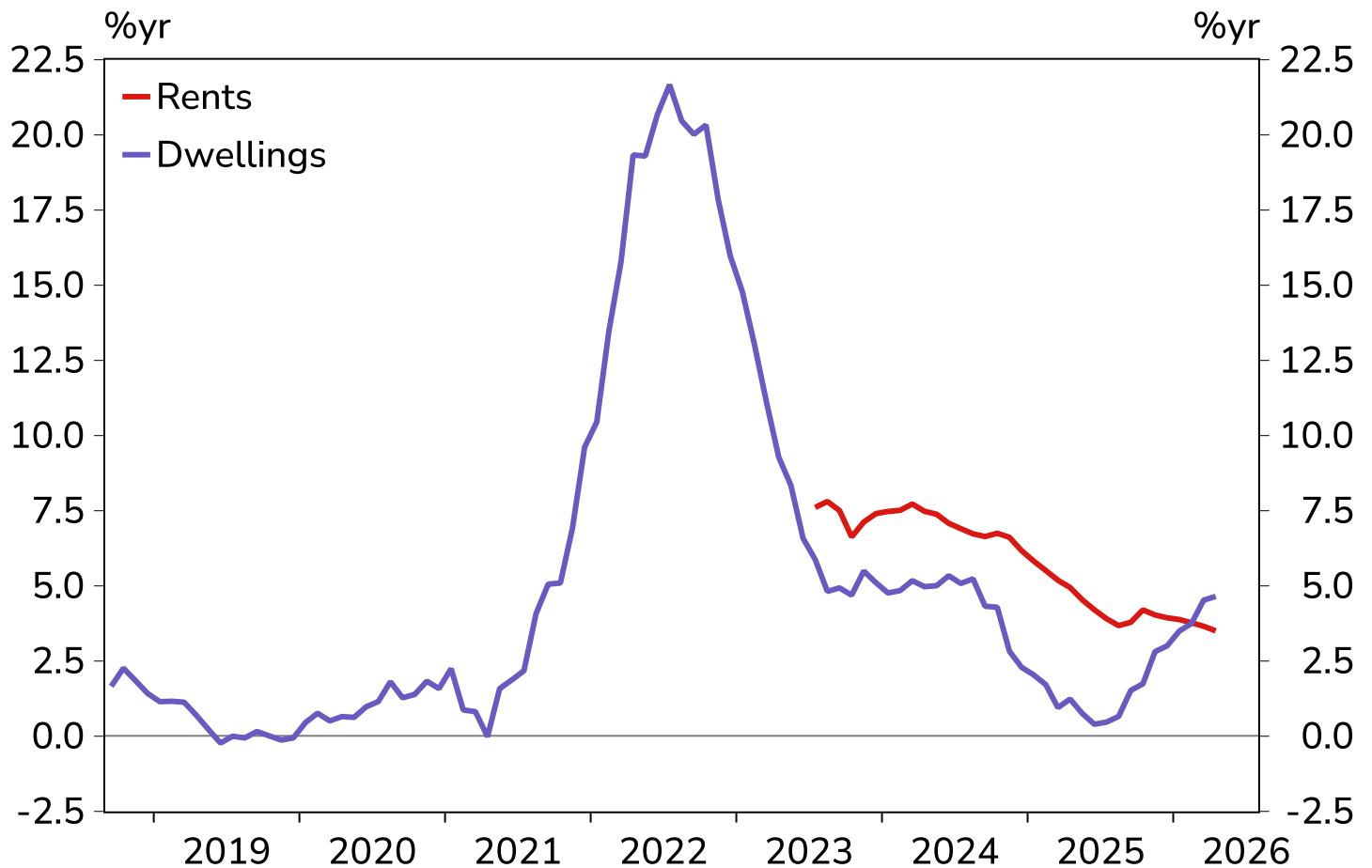
New dwelling costs rose by a stronger than expected 0.9%^{mt}/5.6%^{yr}, the strongest monthly increase since December 2022. The ABS again pointed to project home builders raising base prices to pass through fuel surcharges and higher material costs.

We had flagged upside risks to this. Builder material price notifications data, showed a 17% in average prices in May in seasonally adjusted terms, with data pointing to an easing to 11% in June and 9% in August, but still well above average levels. That points to ongoing pipeline pressure on build costs ahead.

Rents were also firmer than we had expected at 0.4%^{mt}. We also think there is further upside here given trends in advertised rents which take some time to flow through to CPI rents.

At this stage, housing inflation remains the key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence for trimmed mean inflation, this keeps upside risk in focus and is likely to keep the RBA uneasy.

Housing inflation – rents and dwellings



Source: ABS, Macrobond, Westpac Economics

Overall, food inflation came in largely as expected (0.6%*mt* vs 0.7%*mt* expected), however there were some swings at the expenditure class level. Dairy products were a key upside surprise rising 2.3%*mt*. This likely reflected some temporary fuel surcharges announced by grocers across dairy products. At the other end fruit & vegetables rose by less than we expected (1.1%*mt* vs 2.9%*mt* expected). Food prices is an area we'll be paying close attention to in H2. We are yet to see the impact of higher fertiliser costs, which is having an impact on farmers planting decisions, and when combined with an El Nino event could see larger food prices increases in late-Q3 onwards.

Market services excluding volatiles fell -0.3%*mt*, with the year-ended rate lifting to 3.2%*yr*. Excluding volatiles and holiday travel, prices rose 0.2%*mt*/4.2%*yr*, in-line with expectations. Areas that showed more pronounced increases include: audio, visual and computing & media services (1.2%*mt*/10.5%*yr*); restaurant meals (0.4%*mt*/3.9%*yr*, takeaway foods was also strong 0.5%*mt*/4.1%*yr*); dwelling and motor vehicle repair costs (0.7%*mt*/3.7%*yr* and 0.9%*mt*/6.3%*yr* respectively). All of these are running at their highest annual pace in the full monthly series and there is risk of further upside given our expectations for stronger wage outcomes in H2 2026.

Overall, underlying pressures are broadening after showing more contained signs in March and April. The share of the CPI basket that is running above 3% at a three-month annualised pace is just under 50%, after recording low-40s reads the past two months. This is also the highest share since around October 2025.

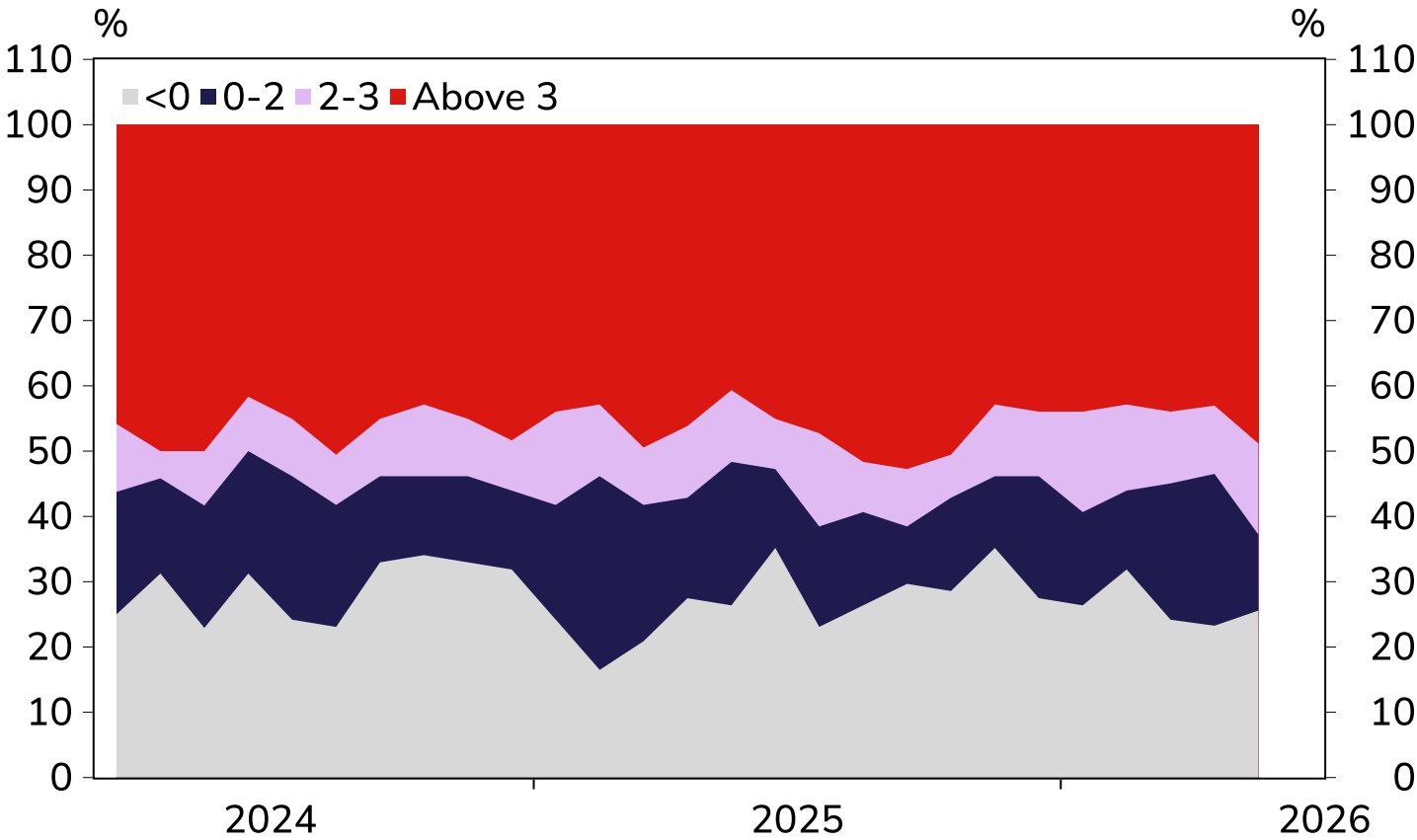
The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices are off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. The post-meeting statement had already given a stronger steer than recent communication, with the Board adding that it was prepared to increase the cash rate further "if required". Governor Bullock repeated this point in the media conference. That looked deliberate, and suggests the Board wanted to push back against speculation that it is done hiking.

Inflation Sub-Categories

Three-Month Annualised Growth, Share of Basket



Source: ABS, Macrobond, Westpac Economics

CPI Item	Qtr CPI	Monthly CPI			WBC fcs
	Jun-26 % yr	Mar-26 % yr	Apr-26 % yr	May-26 % yr	May-26 % yr fcs
Food	3.4	3.1	2.8	3.3	3.4
of which, bread & cereals	1.4	0.6	0.7	1.5	1.4
of which, meat & seafood	5.5	4.8	5.0	5.4	5.4
of which, dairy & related products	2.8	2.5	2.3	5.2	2.8
of which, fruit & vegetables	3.3	1.8	0.1	2.0	3.8
of which, food products nec	2.4	2.9	2.2	1.6	2.4
of which, non-alcohol beverages	1.9	2.2	2.0	1.5	1.8
Alcohol & tobacco	4.7	4.4	4.3	4.7	4.0
of which, Alcohol	2.1	1.7	1.6	2.2	1.4
of which, Tobacco	11.1	11.2	10.7	10.9	10.5
Clothing & footwear	4.6	7.1	5.9	5.0	6.1
of which, garments	2.3	4.3	3.1	2.1	3.7
Housing	6.6	6.5	6.3	6.5	6.3
of which, Rents	3.6	3.7	3.5	3.6	3.4
of which, House purchases	5.1	4.5	4.7	5.6	5.1
of which, Electricity	21.0	25.4	22.5	21.1	20.0
of which, Gas & other fuels	7.3	5.7	5.7	4.9	8.2
H/hold contents & services	1.5	1.4	1.2	1.7	2.0
Health	4.2	3.0	4.0	3.8	4.0
Transportation	3.1	8.9	6.6	3.3	3.1
of which, auto fuel	6.0	24.2	18.6	7.7	4.5
Communication	1.9	1.4	1.5	2.1	1.4
Recreation	5.3	2.8	2.5	2.4	5.6
of which, holiday travel	7.6	2.2	1.7	1.9	8.5
Education	3.8	4.8	4.8	4.8	4.8
Financial & insurance services	3.4	2.8	3.0	3.2	3.3
CPI: All groups % year	4.4	4.6	4.2	4.0	4.4

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6 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was thin trading due to the US 4 July public holiday. Risk sentiment more broadly improved as Asian and Euro equities rebounded from the tech-led sell-off earlier in the week. Easing Middle East tensions, renewed optimism around US-Iran negotiations and more constructive messaging from ECB officials helped support markets

Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.5%
AUD/USD	0.6940	0.3%
AUD/JPY	111.98	0.4%
AUD/GBP	0.5198	0.2%
AUD/NZD	1.2146	0.0%
AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
S&P 500	7,483	0.0%
Japan Nikkei	69,744	1.5%
Hang Seng	23,350	1.3%
Euro Stoxx 50	6,413	0.8%
UK FTSE100	10,679	0.2%
VIX Index	15.81	-2.1%

Commodities	Current	Change
CRB Index	353.03	-0.2%
Gold	4176.94	1.3%
Copper	13366	0.3%
Oil (WTI futures)	68.78	0.1%
Coal (coking)	241.00	-0.4%
Coal (thermal)	129.00	-0.2%
Iron Ore	98.75	1.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
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Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
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United States		
3-month T Bill	3.67	-0.01
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Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
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3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

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- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
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- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
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Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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6 July 2026

MORNING REPORT

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11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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Cliff Notes: on the minds of policy makers

[#cliffnotes](#)[#rba](#)[#australia](#)[#inflation](#)[#us](#)[#fomc](#)[#ecb](#)[#aud](#)[#usd](#)

By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)

11:28 July 03 2026

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Key insights from the week that was.



This week's [RBA minutes](#) provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the

MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, “increasing the cash rate target” will be considered if required.

Last week’s speech from Deputy Governor Hauser shed more light on the RBA’s thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA’s successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. Cotality’s latest home value index fell 0.4% in June, Sydney and Melbourne’s correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing credit growth, evidence that the RBA’s rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and tight supply will limit their scale.

Before moving offshore, a final note on trade. The goods trade balance surprised materially to the downside in May, flipping from a surplus of \$1.4bn to a deficit of \$3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June’s result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from

2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the [ECB's Sintra Forum on Central Banking](#), highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

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Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.5%
AUD/USD	0.6940	0.3%
AUD/JPY	111.98	0.4%
AUD/GBP	0.5198	0.2%
AUD/NZD	1.2146	0.0%
AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
S&P 500	7,483	0.0%
Japan Nikkei	69,744	1.5%
Hang Seng	23,350	1.3%
Euro Stoxx 50	6,413	0.8%
UK FTSE100	10,679	0.2%
VIX Index	15.81	-2.1%

Commodities	Current	Change
CRB Index	353.03	-0.2%
Gold	4176.94	1.3%
Copper	13366	0.3%
Oil (WTI futures)	68.78	0.1%
Coal (coking)	241.00	-0.4%
Coal (thermal)	129.00	-0.2%
Iron Ore	98.75	1.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
4 year swap	4.39	-0.02
5 year swap	4.42	-0.02
6 year swap	4.46	-0.03
7 year swap	4.52	-0.03
8 year swap	4.57	-0.03
9 year swap	4.63	-0.02
10 year swap	4.67	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
10 year bond	4.80	-0.02
United States		
3-month T Bill	3.67	-0.01
2 year bond	4.14	0.00
10 year bond	4.48	0.00
Other (10 year yields)		
Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
3 yr bond	4.41	0.01
3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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AUD/GBP	0.5198	0.2%
AUD/NZD	1.2146	0.0%
AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
S&P 500	7,483	0.0%
Japan Nikkei	69,744	1.5%
Hang Seng	23,350	1.3%
Euro Stoxx 50	6,413	0.8%
UK FTSE100	10,679	0.2%
VIX Index	15.81	-2.1%

Commodities	Current	Change
CRB Index	353.03	-0.2%
Gold	4176.94	1.3%
Copper	13366	0.3%
Oil (WTI futures)	68.78	0.1%
Coal (coking)	241.00	-0.4%
Coal (thermal)	129.00	-0.2%
Iron Ore	98.75	1.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
4 year swap	4.39	-0.02
5 year swap	4.42	-0.02
6 year swap	4.46	-0.03
7 year swap	4.52	-0.03
8 year swap	4.57	-0.03
9 year swap	4.63	-0.02
10 year swap	4.67	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
10 year bond	4.80	-0.02
United States		
3-month T Bill	3.67	-0.01
2 year bond	4.14	0.00
10 year bond	4.48	0.00
Other (10 year yields)		
Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
3 yr bond	4.41	0.01
3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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RBA Minutes and other commentary: still on edge about inflation

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By [Matthew Hassan](#)

Head of Australian Macro-Forecasting, Westpac

17:56 June 30 2026

Share

RBA Minutes released today and other commentary over the last week suggest the Monetary Policy Board is still on edge about inflation risks in Australia.



- RBA Minutes reprise the 'hawkish hold' message from June's decision statement.
- Some notable observations on housing and data centre build but central narrative unchanged.

- Deputy Governor Hauser's recent speech and accompanying RBA research underscore risks around tight capacity and possible shift in price-setting behaviour.
- Q2 CPI remains critical, with a lot riding on how this and the balance of risks to the outlook are judged..

The advent of post-meeting media conferences means the minutes to RBA meetings are of less importance than they once were. However, they still serve to remind us of the key considerations for policy. Read alongside last week's speech by the Deputy Governor and a series of RBA insight notes, the latest Minutes suggest the Bank is still on heightened inflation alert.

The central narrative through the meeting Minutes is, unsurprisingly, the same as that set out in the decision statement and in the Governor's post-meeting press conference. The economy is still seen as tight, i.e. "operating with excess demand and widespread inflationary pressures". However, the Board opted to use the 'space' provided by previous rate rises, pausing in June to get a better sense of how the situation was unfolding in the Middle East and how previous rate rises were impacting locally.

There were some interesting titbits in the detail though, including:

- Financial conditions are now seen as restrictive. While the conviction here is not high ("probably somewhat restrictive"; "remained uncertain") it is a little more forthright than the decision statement which simply stated that conditions were now tighter. That uncertainty may also be partly due to staff updates on the RBA's modelled estimates which pointed to a slightly higher real neutral rate compared to when the cash rate was last at 4.35% (at the start of last year).
- Housing market developments were largely absent in the decision statement but featured a few times in the Minutes, including in the 'Considerations for Monetary Policy section' ("Housing demand had eased, which also reflected the broader economic environment and recently proposed tax changes"; and "Members also noted the risks associated with a potentially material weakening in housing markets, including if this were to inhibit growth in consumption"). Likewise, the data centre investment surge rated a mention in the main assessment section as well ("[Members] discussed the potential for continued strength in such activity to exacerbate capacity pressures and skills shortages in other parts of the economy").

While neither topic is a central concern for the Board right now, they are on the radar.

Also of some note were the areas where views within the Board differed. In particular, there were "somewhat differing views about the extent of current capacity pressures". As we have discussed in the past, this likely centres on assessments of slack in the labour market. That would seem to be the case given that members still assessed that persistently weaker-than-expected productivity growth was a problem for bringing inflation back to target.

The other notable point of difference was on the extent to which the Fair Work Commission's moderately higher than expected 4.75% increase in all modern award wages might indirectly influence other wage negotiations. Again, views on the impact differed but Members agreed that it would "depend in part on the tightness of the labour market and expectations for inflation".

Coming back to the central narrative of tight capacity and persistent inflation, the RBA deliberations here have been given some additional framing by the Deputy Governor and a series of RBA 'insight' notes. Titled "The Straight Line Belongs to Man, the Curved Line Belongs to God", Deputy Governor Hauser's Sir Douglas Copland Memorial Lecture, delivered to the Economic Society of Australia last

week, was a little more technical than the ‘fireside chats’ and speeches that have been used to shape mainstream and financial market expectations. However, it focussed on two areas that are extremely pertinent to the Board’s current deliberations, namely: 1) the sensitivity of inflation to shocks when capacity is tight; and 2) potential changes in price-setting behaviour. The ‘straight lines’ and ‘curves’ being discussed were those showing the relationship between unemployment and wage growth or price inflation, and between cost and price changes. And the question is to what degree do these relationships become ‘curvier’ as unemployment falls/capacity tightens.

The Deputy Governor spelled out the clear takeaway for monetary policy: that inflationary pressures are likely to be higher for a given change in activity if; 1) domestic capacity pressures and inflation are already elevated; and/or 2) cost shocks are large or persistent; and/or 3) inflation expectations are elevated. From here the Deputy Governor concluded that “non-linearities in the Phillips curve suggest that policy should respond proactively to an inflationary shock when we are already on the steep part of the curve – and that is what the Monetary Policy Board has done in recent months.”

The insights notes expand on this a little, in an even more technical manner. Some notable points are that:

- the RBA’s models currently incorporate some non-linearity (i.e. curviness) in the relationship between unemployment and wage costs/inflation but not in price-setting behaviour which means the latter will be a key area of judgement for policy making (informed by liaison);
- there is clear evidence that price-setting behaviour did change during and after the pandemic, adjusting more frequently from 2022;
- this increased price flexibility is estimated to account for 0.4-1.3ppts of the gap between modelled estimates and the actual peak in inflation 2022-23; and
- that the way the policy trade-off between inflation and unemployment shifts when prices are more flexible means policy can focus more closely on the inflation part of the mandate (the idea here being that inflation declines will also be associated with more muted rises in unemployment).

All up, the RBA minutes and other communications again point to heightened concerns about persistently above-target inflation. We already knew the June quarter CPI release on July 29 would be the critical piece of domestic information heading into the RBA Monetary Policy Board’s August 10-11 meeting. However, the latest RBA communications make it clear that aside from this, the key judgements will be around the scale and persistence of shocks emanating from the Middle East, and whether price setting behaviour has shifted,

On balance, we continue to see high inflation and an unacceptably slow return to target as drawing additional interest rate rises from the RBA – but depending on how the inflation data, geopolitics and key judgements land, that balance could be a close-run thing.

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First impressions – May CPI

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By [Neha Sharma](#) & [Sian Fenner](#)

12:38 June 24 2026

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The May CPI fell -0.7% mth to be up 4.0% yr. Trimmed mean rose 0.4% mth/ 3.6% yr.



The May CPI fell -0.7% mth to be up 4.0% yr. This was below our estimate of 4.4% yr and market expectations of 4.3% yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped -0.1% mth, compared with our estimate of $+0.2\%$ mth. The key drivers behind the softer May outcome were transport, clothing & footwear and recreation & culture. The latter two accounted for nearly all of the miss in our monthly result. Balancing this was a firmer result in the

housing component, with a broad-based pick-up across electricity, rents and new dwelling costs.

Despite the weakness in the headline, underlying pressures are picking up and suggest second-round effects from the Middle East conflict are broadening. Trimmed mean inflation printed at 0.4%*mth* and 3.6%*yr*, this was in line with our expectations but higher than the market's 3.5%*yr*. The six-month annualised pace lifted from 3.2% to 3.5%.

In terms of the key surprises to our forecast:

Downside surprises

- Recreation & culture was the key miss, owing to bigger-than expected falls in domestic (–12.1%*mth* vs –5.5%*mth*) and international travel (–0.8%*mth* vs 3.8%*mth*).
- Clothing & footwear fell by more than expected (–2.9%*mth* vs –1.8%*mth*).
- Some of the other areas of weakness were in household textiles (usually weak in May), vegetables and medical appliances.

Upside surprises

- Housing rose 0.5%*mth* vs 0.3%*mth* expected. New dwelling costs was the main surprise here, lifting 0.9%*mth*/5.6%*yr*, this was the strongest monthly increase since December 2022. We had flagged upside risks here given evidence from price notifications data. Rents rose 0.4%*mth* against expectations of 0.3%*mth*.
- Automotive fuel fell by less than expected (–11.9%*mth* vs –14.5%*mth*).

The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices have come off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

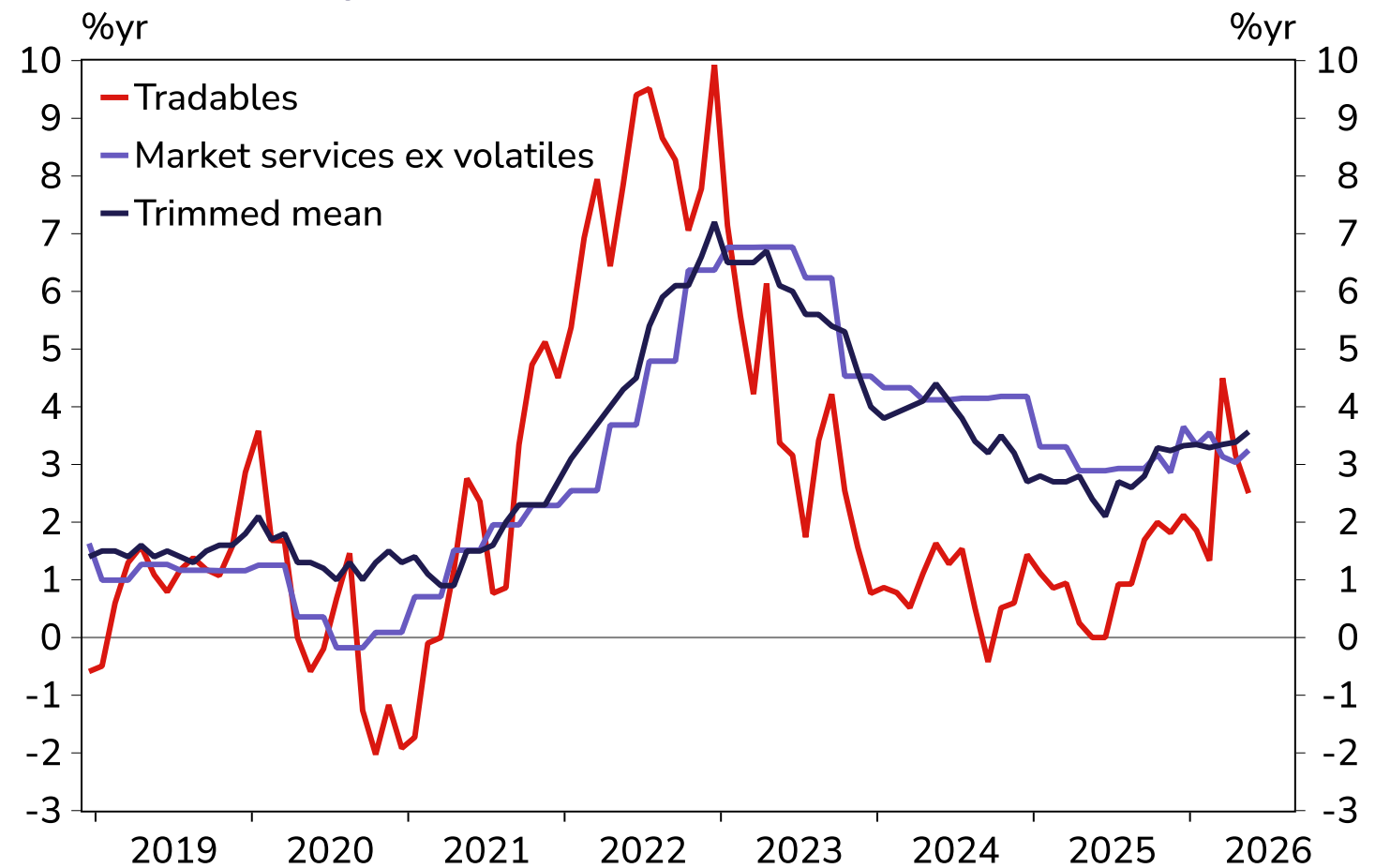
Today's trimmed mean outcome came in line with expectations and is on track to rise 1.0% in Q2, taking annual trimmed mean inflation to 3.8%*yr*. As such, we retain our view that further cash rate increases are coming, with the next hike likely at the August meeting.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. Even with oil prices off their highs, and other commodity prices easing to a lesser extent, we expect some further pass-through from still elevated

fuel and commodity costs over coming months, particularly as policy supports unwind. Wage costs could add further pressure in the second half, especially across market services.

Housing inflation will also remain a key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence in trimmed mean inflation. That keeps upside risks front of mind for the RBA and leaves further tightening firmly on the table.

Inflation: analytical measures



Source: ABS, Macrobond, Westpac Economics

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6 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was thin trading due to the US 4 July public holiday. Risk sentiment more broadly improved as Asian and Euro equities rebounded from the tech-led sell-off earlier in the week. Easing Middle East tensions, renewed optimism around US-Iran negotiations and more constructive messaging from ECB officials helped support markets

Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	65.1	0.5%	30 day BBSY	4.36	0.00
AUD/USD	0.6940	0.3%	90 day BBSY	4.51	0.00
AUD/JPY	111.98	0.4%	180 day BBSY	4.80	-0.01
AUD/GBP	0.5198	0.2%	1 year swap	4.50	-0.01
AUD/NZD	1.2146	0.0%	2 year swap	4.43	-0.01
AUD/EUR	0.6067	0.2%	3 year swap	4.39	-0.01
AUD/CNH	4.7082	0.2%	4 year swap	4.39	-0.02
AUD/SGD	0.8966	0.3%	5 year swap	4.42	-0.02
AUD/HKD	5.4432	0.3%	6 year swap	4.46	-0.03
AUD/CAD	0.9854	0.4%	7 year swap	4.52	-0.03
EUR/USD	1.1437	0.0%	8 year swap	4.57	-0.03
USD/JPY	161.34	0.1%	9 year swap	4.63	-0.02
USD Index	100.86	0.0%	10 year swap	4.67	-0.02

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,844	1.4%	Australia		
S&P 500	7,483	0.0%	3 year bond	4.41	-0.03
Japan Nikkei	69,744	1.5%	10 year bond	4.80	-0.02
Hang Seng	23,350	1.3%	United States		
Euro Stoxx 50	6,413	0.8%	3-month T Bill	3.67	-0.01
UK FTSE100	10,679	0.2%	2 year bond	4.14	0.00
VIX Index	15.81	-2.1%	10 year bond	4.48	0.00

Commodities	Current	Change	Other (10 year yields)		
CRB Index	353.03	-0.2%	Germany	2.94	0.03
Gold	4176.94	1.3%	Japan	2.79	0.00
Copper	13366	0.3%	UK	4.78	0.01

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	68.78	0.1%	10 yr bond	4.84	0.01
Coal (coking)	241.00	-0.4%	3 yr bond	4.41	0.01
Coal (thermal)	129.00	-0.2%	3 mth bill rate	4.51	0.00
Iron Ore	98.75	1.0%	SPI 200	8,794	-0.4%
ACCU	36.13	-4.3%			

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
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Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

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- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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6 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was thin trading due to the US 4 July public holiday. Risk sentiment more broadly improved as Asian and Euro equities rebounded from the tech-led sell-off earlier in the week. Easing Middle East tensions, renewed optimism around US-Iran negotiations and more constructive messaging from ECB officials helped support markets

Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

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Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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Australia's Trade in Goods Account, May

#trade

#australia



By Mantas Vanagas

Senior Economist, Westpac

15:30 July 02 2026

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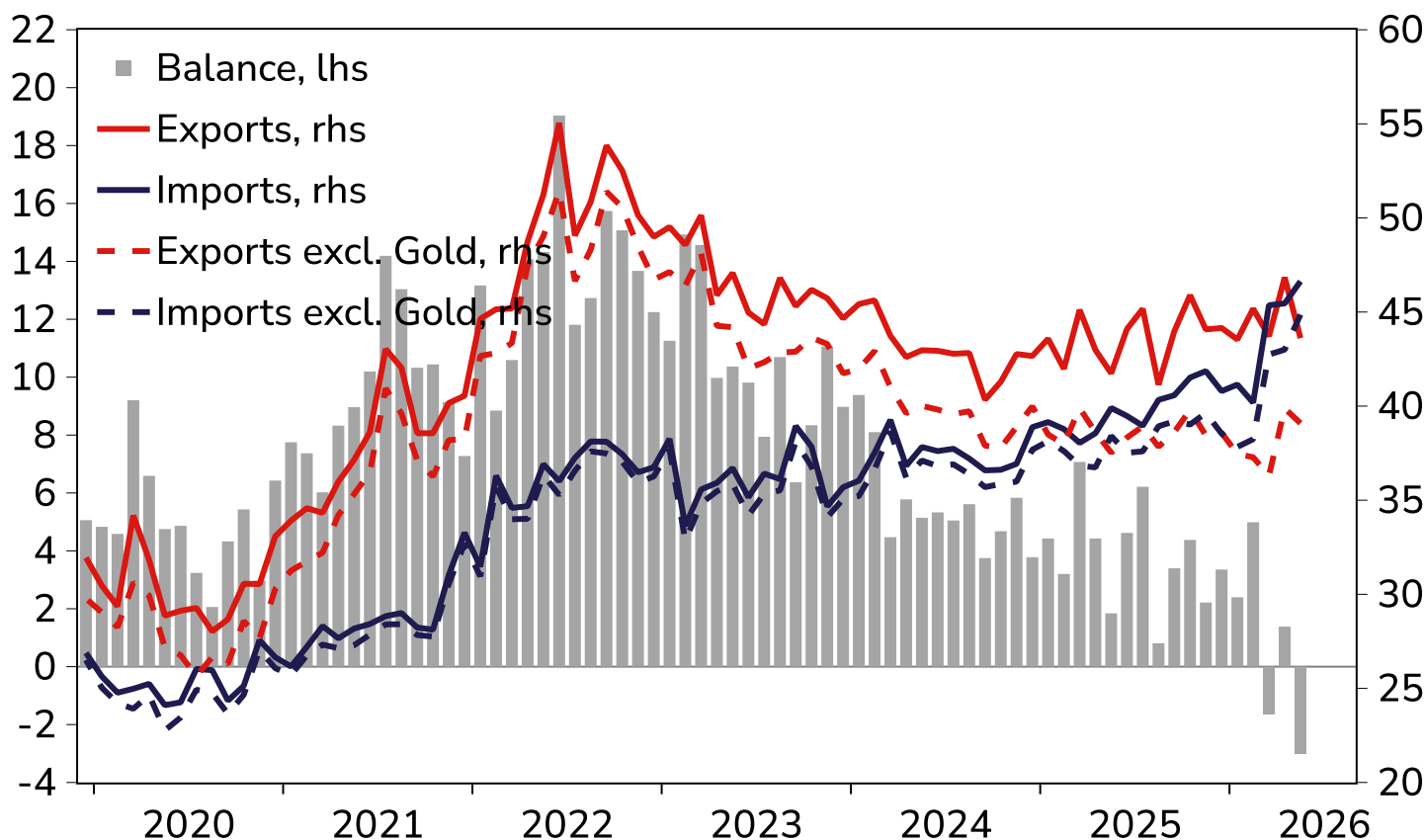
Trade data remained volatile amid sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Trade balance: -\$3.0bn. Export values: -6.9%mt. Import values: 2.6%mt.



The latest trade data surprised to the downside, with the headline goods trade balance falling back below zero in May, just one month after moving back into surplus. The \$3.0bn deficit was the largest since the end of 2015. The detail suggests that several factors on both the export and import sides are pulling the balance in different directions. These include sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Most of these influences are likely to persist for some time – in some cases into the medium term – suggesting that trade data are likely to remain volatile.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

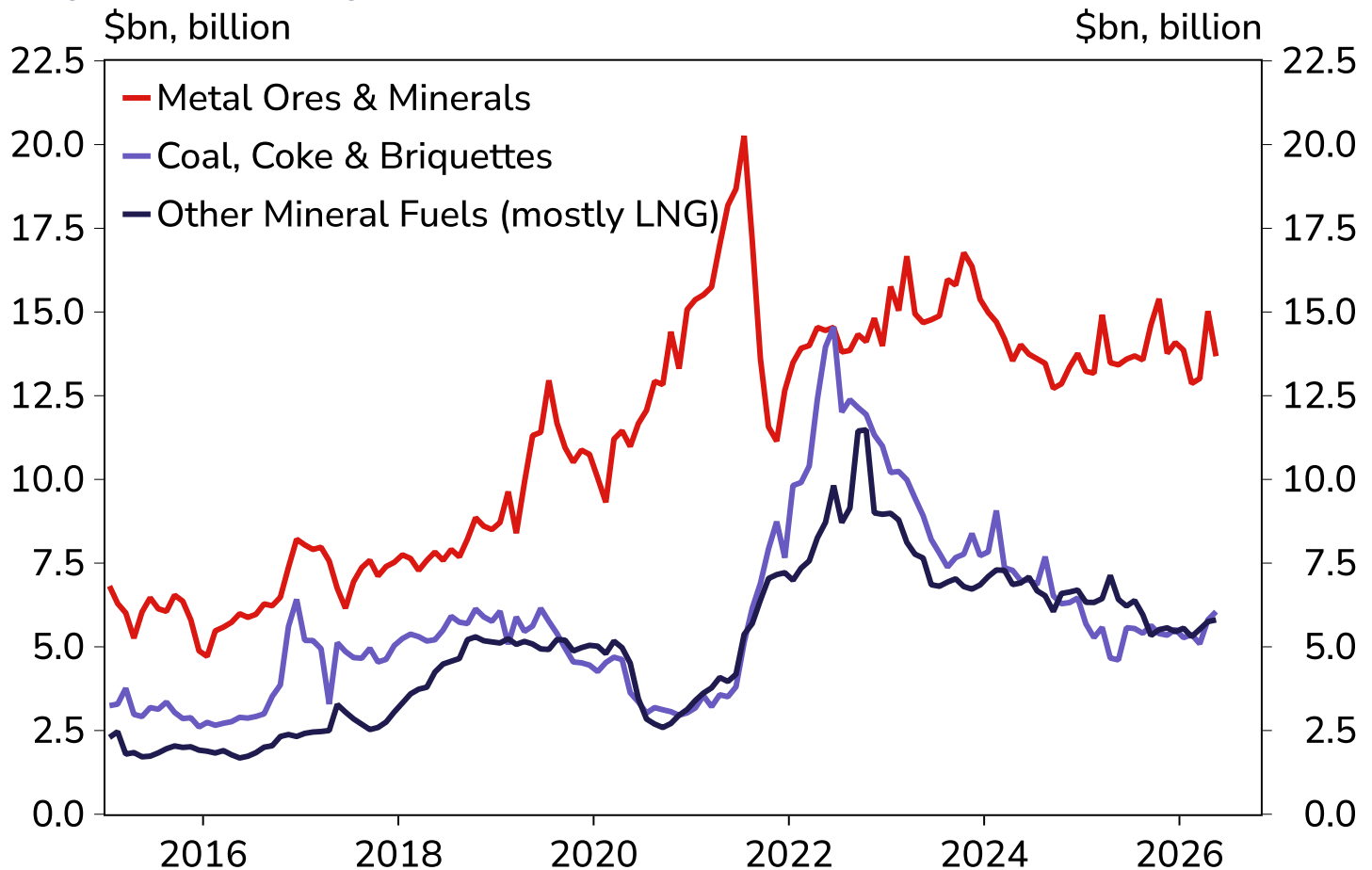
Export earnings fell 6.9%*mt* in May, one of the weakest results in recent months. This followed a 7.2%*mt* increase in April and taken together over these two months exports remained 2.5% above their March quarter levels.

- The monthly decline was largely driven by non-monetary gold, which fell 35%*mt* and accounted for around three-quarters the total weakening in exports. Gold prices have been declining from their peak in early March, and the trend tilted further down in June, signalling a further downward adjustment in exports values going forward.
- Iron ore exports declined 9.0%*mt*. However, this largely unwound a 15% increase in April, leaving export levels close to their average over the previous twelve months. ABS detail indicates that both

volumes and prices contributed to the decline. With market prices having eased further recently, this drag is likely to persist into June.

- Among other major categories, coal and LNG exports rose by 4.2%*mt* and 0.9%, respectively. Given strong increases in preceding months, this points to a solid quarterly lift in the June quarter. Rural exports also increased, supported by higher meat exports.

Key Commodity Exports



Source: ABS, Macrobond, Westpac Economics

Imports

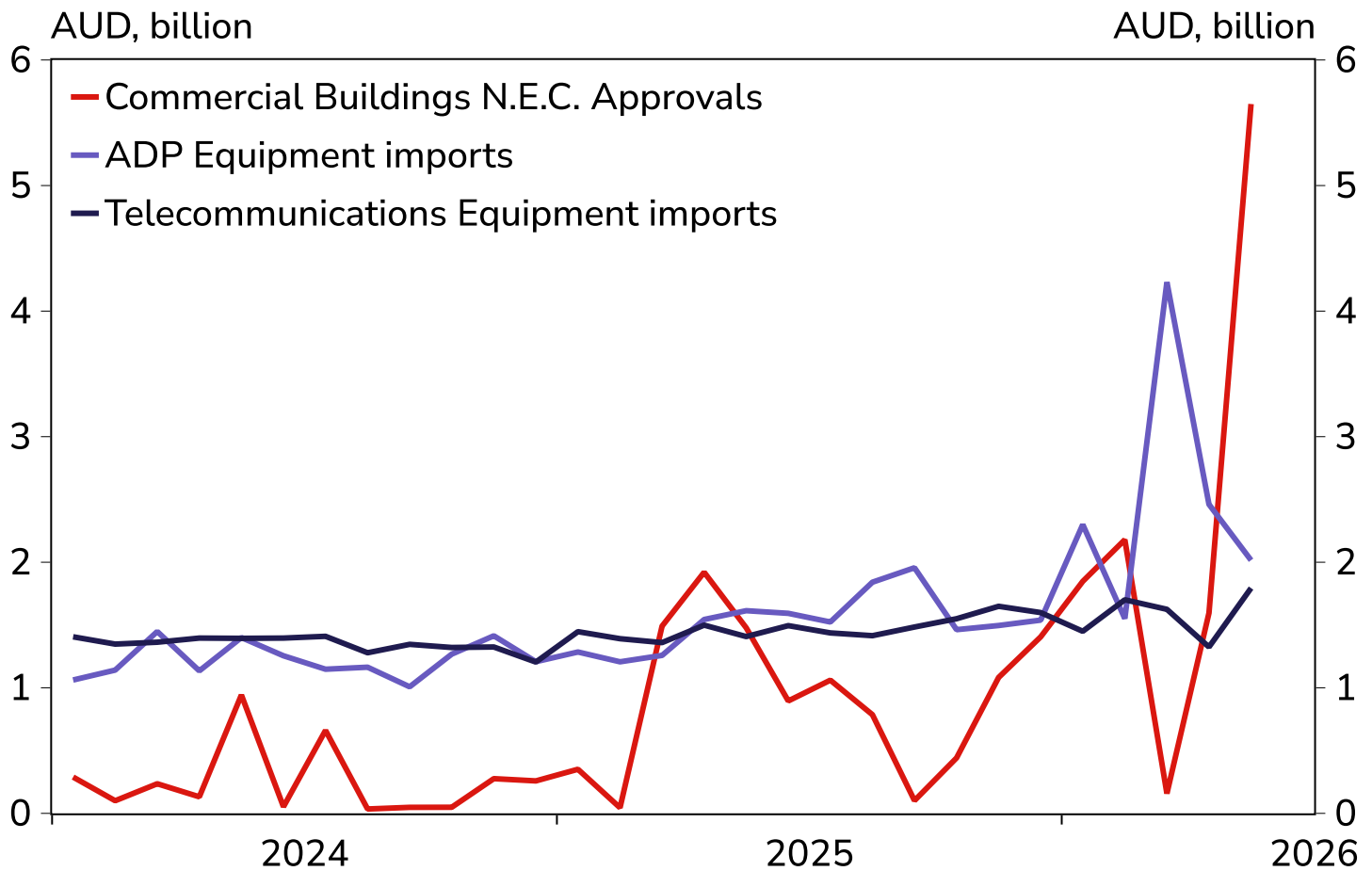
Import values rose 2.6%*mt*. Following an almost 13% increase in March and little change in April, this suggests that import growth in the June quarter has been strong to date.

- As on the export side, non-monetary gold imports fell sharply, down almost 28%*mt*. Excluding gold, imports growth was a particularly strong 4.3%*mt*.
- Fuel imports, which had doubled over the previous two months, were broadly unchanged. ABS estimates suggest that prices declined in May, with this effect likely to intensify, implying that fuel import values may begin to ease.
- The March quarter national accounts highlighted a strong increase in data centre investment. As many fit-out components are imported, the trade data provide a partial guide to this activity. Automated Data Processing (ADP) imports fell almost 20%*mt* in May, marking a second consecutive steep decline. However, following the surge in March – when values nearly tripled –

levels remain above historical norms. Telecommunications equipment, which is also most likely used in data centres, rose 35% after softer outcomes in the prior two months.

- Civil aircraft imports – a volatile component – rose by more than 150%, contributing to an 8.2%^{mnth} increase in capital goods imports.
- Consumption goods imports rose at a very similar pace, with transport equipment imports the standout category, increasing by almost 25%^{mnth}. This category appears to be gathering momentum and is likely to reflect higher imports of EVs, as consumers respond to elevated fuel prices and a broader range of EVs becomes available in the domestic market.

Data centre equipment imports and building approvals



Source: ABS, Macrobond, Westpac Economics

Looking ahead

Outcomes for both exports and imports in coming months are likely to be influenced by the dynamics in key commodity markets. With several key prices having declined recently, softer results in major trade categories – including commodity exports and fuel imports – appear likely in June.

The headline trade balance will also be influenced by the evolution of data centre investment. Our previous analysis has highlighted the significant expansion potential in this sector and its broader economic implications. However, the latest trade data illustrate that this expansion is likely to proceed unevenly, with imports associated with the build-out remaining lumpy. Importantly, capital goods imports associated with data centre fit-outs provide only a partial view of the underlying activity. Construction

activity, which relies more heavily on domestic inputs and labour, represents another major component of the build-out. The strength of this activity was reflected in the [non-residential building approvals data](#) released yesterday, which showed a substantial increase over recent months.

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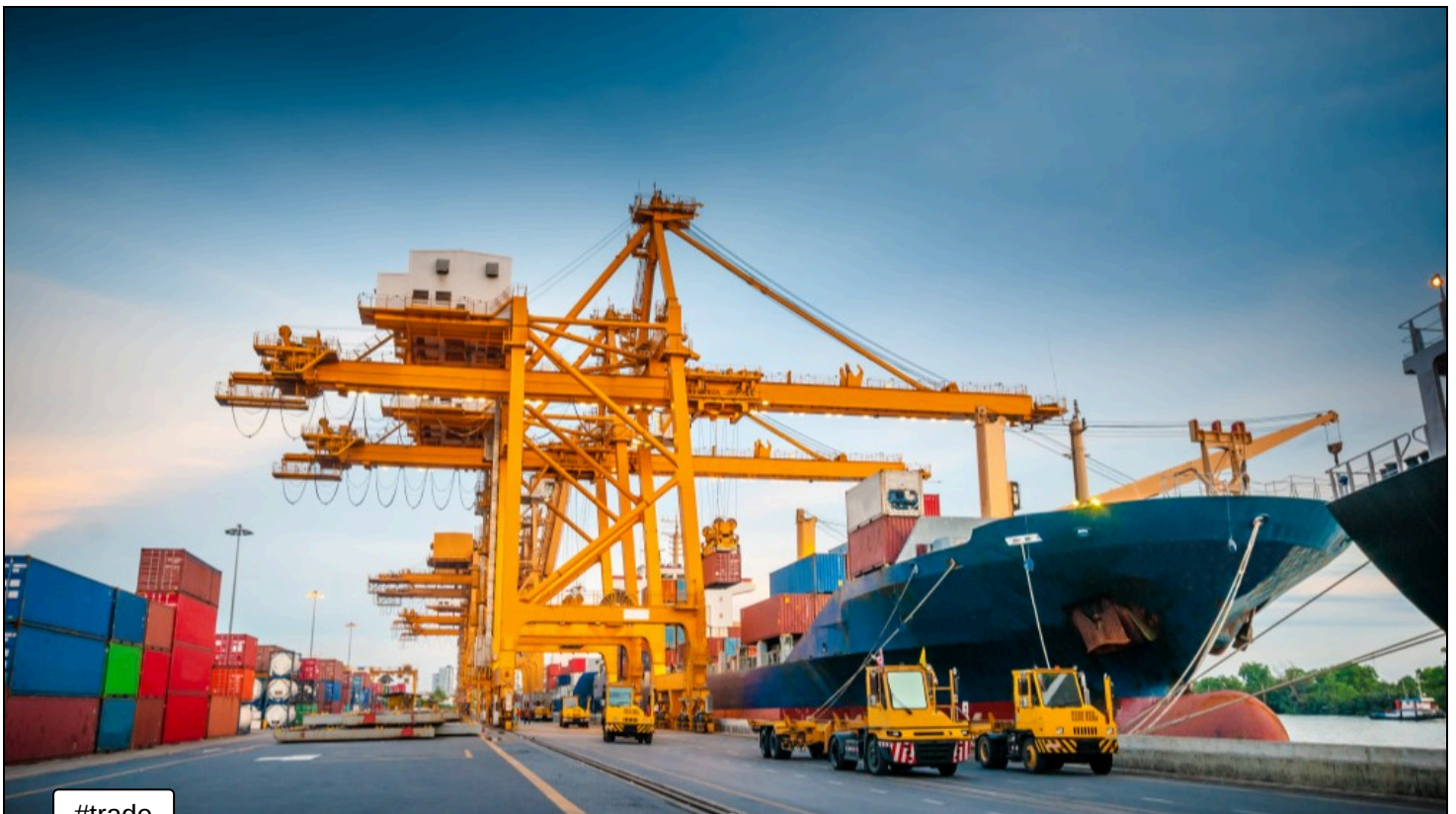


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Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.5%
AUD/USD	0.6940	0.3%
AUD/JPY	111.98	0.4%
AUD/GBP	0.5198	0.2%
AUD/NZD	1.2146	0.0%
AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
S&P 500	7,483	0.0%
Japan Nikkei	69,744	1.5%
Hang Seng	23,350	1.3%
Euro Stoxx 50	6,413	0.8%
UK FTSE100	10,679	0.2%
VIX Index	15.81	-2.1%

Commodities	Current	Change
CRB Index	353.03	-0.2%
Gold	4176.94	1.3%
Copper	13366	0.3%
Oil (WTI futures)	68.78	0.1%
Coal (coking)	241.00	-0.4%
Coal (thermal)	129.00	-0.2%
Iron Ore	98.75	1.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
4 year swap	4.39	-0.02
5 year swap	4.42	-0.02
6 year swap	4.46	-0.03
7 year swap	4.52	-0.03
8 year swap	4.57	-0.03
9 year swap	4.63	-0.02
10 year swap	4.67	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
10 year bond	4.80	-0.02
United States		
3-month T Bill	3.67	-0.01
2 year bond	4.14	0.00
10 year bond	4.48	0.00
Other (10 year yields)		
Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
3 yr bond	4.41	0.01
3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
S&P 500	7,483	0.0%
Japan Nikkei	69,744	1.5%
Hang Seng	23,350	1.3%
Euro Stoxx 50	6,413	0.8%
UK FTSE100	10,679	0.2%
VIX Index	15.81	-2.1%

Commodities	Current	Change
CRB Index	353.03	-0.2%
Gold	4176.94	1.3%
Copper	13366	0.3%
Oil (WTI futures)	68.78	0.1%
Coal (coking)	241.00	-0.4%
Coal (thermal)	129.00	-0.2%
Iron Ore	98.75	1.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
4 year swap	4.39	-0.02
5 year swap	4.42	-0.02
6 year swap	4.46	-0.03
7 year swap	4.52	-0.03
8 year swap	4.57	-0.03
9 year swap	4.63	-0.02
10 year swap	4.67	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
10 year bond	4.80	-0.02
United States		
3-month T Bill	3.67	-0.01
2 year bond	4.14	0.00
10 year bond	4.48	0.00
Other (10 year yields)		
Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
3 yr bond	4.41	0.01
3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
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Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

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- Commodity markets were mixed. Iron ore rose 1.0% to US\$98.75/t and copper increased 0.3%. Coal prices weakened slightly, with coking coal down 0.4% and thermal coal down 0.2%. Gold rose 1.3%, while the broader CRB Index fell 0.2%.
- WTI crude oil edged 0.1% higher to US\$68.78/bbl. This was before the weekend announcement that OPEC+ would raise production by around 188,000 barrels per day in August, marking a fifth consecutive monthly increase as the cartel continues to unwind production cuts introduced in recent years. The decision means OPEC+ has now restored around 940,000 barrels per day of supply since the process began.

International Data

Global PMIs were mixed. Japan continued to outperform, while China remained a bright spot, with activity easing only modestly from very strong levels and growth remaining broad-based across the economy. The Eurozone and UK showed signs of stabilisation.

Japan's S&P Global Composite PMI Business Activity Index was revised higher to 52.8 in June 2026 from the flash estimate of 52.5, marking its highest level since March.

China's RatingDog General Composite PMI eased to 53.6 in June 2026 from a three-month high of 54.0 in May.

The S&P Global Eurozone Composite PMI was revised up to 50.0 in June 2026 from a preliminary reading of 49.5 and above May's 48.5, signalling a stabilisation in private sector activity

The S&P Global UK Composite PMI fell to 49.3 in June 2026 from 49.7 in May, revised from the flash estimate of 49.4. The decline marked a second consecutive month of contraction following an 11-month period of expansion.

Local Data

here was no significant top tier data released on Friday.



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6 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was thin trading due to the US 4 July public holiday. Risk sentiment more broadly improved as Asian and Euro equities rebounded from the tech-led sell-off earlier in the week. Easing Middle East tensions, renewed optimism around US-Iran negotiations and more constructive messaging from ECB officials helped support markets

Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.5%
AUD/USD	0.6940	0.3%
AUD/JPY	111.98	0.4%
AUD/GBP	0.5198	0.2%
AUD/NZD	1.2146	0.0%
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6 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was thin trading due to the US 4 July public holiday. Risk sentiment more broadly improved as Asian and Euro equities rebounded from the tech-led sell-off earlier in the week. Easing Middle East tensions, renewed optimism around US-Iran negotiations and more constructive messaging from ECB officials helped support markets

Domestically, the S&P/ASX 200 climbed 1.4% to 8,844. The Aussie strengthened against the US dollar and a broad range of major currencies, with the TWI rising 0.5% to 65.1. Bond futures moved modestly higher, with yields rising 1–2bps across the curve.

Over the weekend, OPEC+ agreed to increase production by 188k barrels per day in August, marking a fifth consecutive monthly increase. The move should help keep global oil markets well supplied, particularly if the ceasefire and broader peace efforts between the US and Iran hold.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.5%
AUD/USD	0.6940	0.3%
AUD/JPY	111.98	0.4%
AUD/GBP	0.5198	0.2%
AUD/NZD	1.2146	0.0%
AUD/EUR	0.6067	0.2%
AUD/CNH	4.7082	0.2%
AUD/SGD	0.8966	0.3%
AUD/HKD	5.4432	0.3%
AUD/CAD	0.9854	0.4%
EUR/USD	1.1437	0.0%
USD/JPY	161.34	0.1%
USD Index	100.86	0.0%

Equities	Close	Change
S&P/ASX 200	8,844	1.4%
S&P 500	7,483	0.0%
Japan Nikkei	69,744	1.5%
Hang Seng	23,350	1.3%
Euro Stoxx 50	6,413	0.8%
UK FTSE100	10,679	0.2%
VIX Index	15.81	-2.1%

Commodities	Current	Change
CRB Index	353.03	-0.2%
Gold	4176.94	1.3%
Copper	13366	0.3%
Oil (WTI futures)	68.78	0.1%
Coal (coking)	241.00	-0.4%
Coal (thermal)	129.00	-0.2%
Iron Ore	98.75	1.0%
ACCU	36.13	-4.3%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.51	0.00
180 day BBSY	4.80	-0.01
1 year swap	4.50	-0.01
2 year swap	4.43	-0.01
3 year swap	4.39	-0.01
4 year swap	4.39	-0.02
5 year swap	4.42	-0.02
6 year swap	4.46	-0.03
7 year swap	4.52	-0.03
8 year swap	4.57	-0.03
9 year swap	4.63	-0.02
10 year swap	4.67	-0.02

Government Bond Yields	Close	Change
Australia		
3 year bond	4.41	-0.03
10 year bond	4.80	-0.02
United States		
3-month T Bill	3.67	-0.01
2 year bond	4.14	0.00
10 year bond	4.48	0.00
Other (10 year yields)		
Germany	2.94	0.03
Japan	2.79	0.00
UK	4.78	0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.84	0.01
3 yr bond	4.41	0.01
3 mth bill rate	4.51	0.00
SPI 200	8,794	-0.4%



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Financial Markets

- There was a slight risk-on tone to end the week as President Trump reiterated that Iran had “agreed to just about everything we need”. Investors also digested key messages from the ECB’s forum in Sintra, Portugal, where policymakers suggested that inflation risks had eased in recent weeks. ECB President Lagarde noted that uncertainty surrounding euro area inflation and growth had now diminished following data showing inflation had eased more than anticipated, while Middle East peace efforts put downward pressure on global oil prices.
- US markets were closed for the 4 July public holiday. Given this, the S&P 500 ended the week almost 2% lower, the tech-heavy Nasdaq declined 4.6% over the week, while the Dow Jones Industrial Average outperformed, ending the week 0.6% higher.
- European markets were stronger, with the Euro Stoxx 50 rising 0.8%, the FTSE 100 gaining 0.2%, while the German DAX finished at a fresh record high, advancing 0.4% on the day. Asian equities also performed well, led by a 1.5% rise in the Nikkei and a 1.3% increase in the Hang Seng. Locally, the S&P/ASX 200 climbed 1.4% to 8,844. SPI futures were down 0.4% to 8,794, pointing to a softer start for the local market.
- Moves in bond markets were generally modest. US Treasury markets were closed for the day, with the 2-year Treasury yield ending the week at 4.14% and the 10-year Treasury yield remaining at 4.48%. Interest rate futures now price one hike in late 2026 and no change through 2027. European bond yields moved slightly higher, with German 10-year Bund yields rising 3bps to 2.94% and UK 10-year gilt yields increasing 1bp to 4.78%. Japanese 10-year government bond yields were unchanged at 2.79%.
- Australian bond yields were slightly higher in futures markets. The 3-year government bond yield increased 1bp to 4.41%, while the 10-year government bond yield also rose 1bp to 4.84%. OIS pricing suggests a terminal cash rate of around 4.48% this year, with the market still not convinced of another RBA hike this cycle.
- In foreign exchange markets, the Aussie strengthened. The AUD/USD pair rose 0.3% to 0.6940, while the TWI increased 0.5% to 65.1. The Australian dollar also gained against the Japanese yen (+0.4%), pound sterling (+0.2%), euro (+0.2%), Chinese yuan (+0.2%), Singapore dollar (+0.3%) and Canadian dollar (+0.4%), while remaining broadly unchanged against the New Zealand dollar.

Today's key data and events

Time	Event	Exp	Prev
11:00	AU MI Inflation Gauge Jun	-	4.4%
11:00	NZ ANZ Commodity Prices Jun	-	0.7%
11:30	AU ANZ Job Ads Jun	-	1.8%
18:30	EZ Sentix Investor Confidence Jul	-	-13.4pts
19:00	EZ PPI May	-	0.6%
19:00	EZ Retail Sales May	0.3%	-0.4%
23:45	US S&P Services PMI Jun Final	-	51.3pts
0:00	US ISM Services Jun	54.2pts	54.5pts

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HOUSEHOLD FINANCES CHART PACK

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Key takeouts

- Overall household income levels are continuing to rise. However, much of that is due to increases in entrepreneurial earnings (which is in part due to increased earnings in the agricultural sector). In contrast, wage and salary growth remains limited.
- Household savings rose in the March quarter.
- We also saw a related increase in the value of New Zealanders' financial assets. That offset softness in the value of housing and land assets, which have essentially shown no growth since late 2023.
- Household spending on interest costs has fallen. Looking ahead, we don't expect further significant falls in interest costs with mortgage rates pushing higher in recent months.

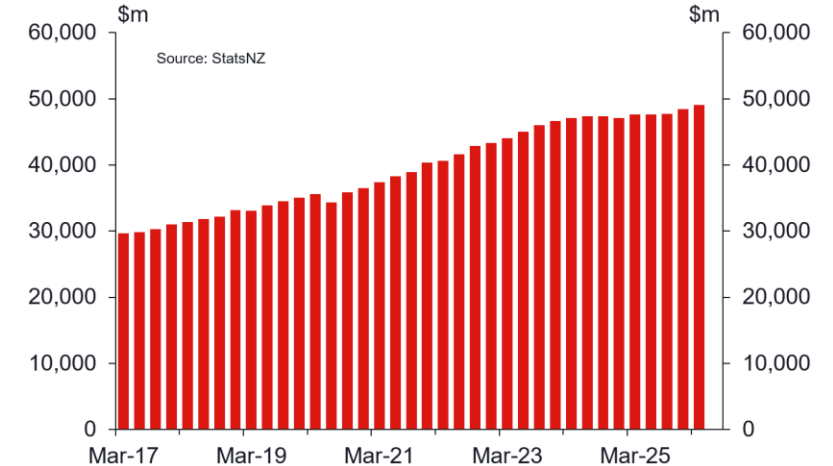
Note: Much of the data in this report is taken from Stats NZ's update on household incomes, assets and savings for the March quarter 2026.

HOUSEHOLD INCOMES

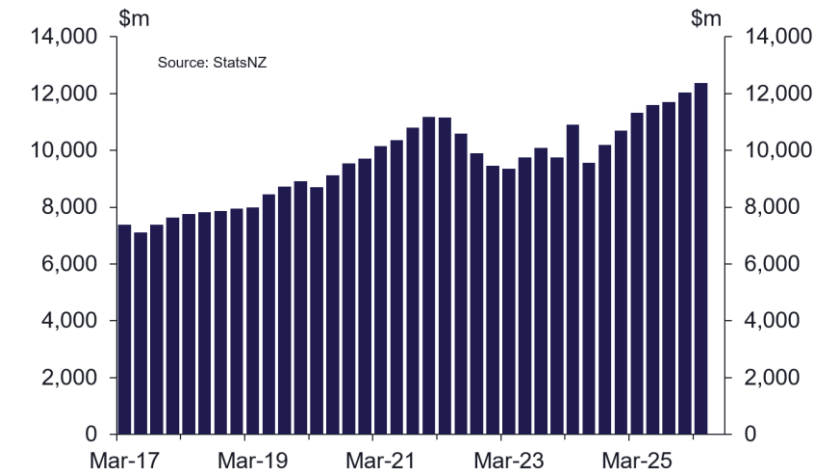
Disposable incomes have continued to lift.

- Over the past year, overall household disposable income levels have risen by around 5%. In part that rise was due to the 1.5% increase in the number of households.
- Adjusting for population changes, our own estimate of the average household's disposable income rose 3.8% in the year to March (up from 3.1% at the end of last year).
- However, while overall incomes have been rising, that's mainly due to increases in entrepreneurial earnings, which are up 14% over the past year. That will include stronger earnings in the agricultural sector, which has been boosted by the strength in commodity export prices. That lift in agricultural earnings has been reflected in stronger economic confidence and spending in many rural regions.

Compensation of employees.



Entrepreneurial income.



SAVINGS AND WEALTH

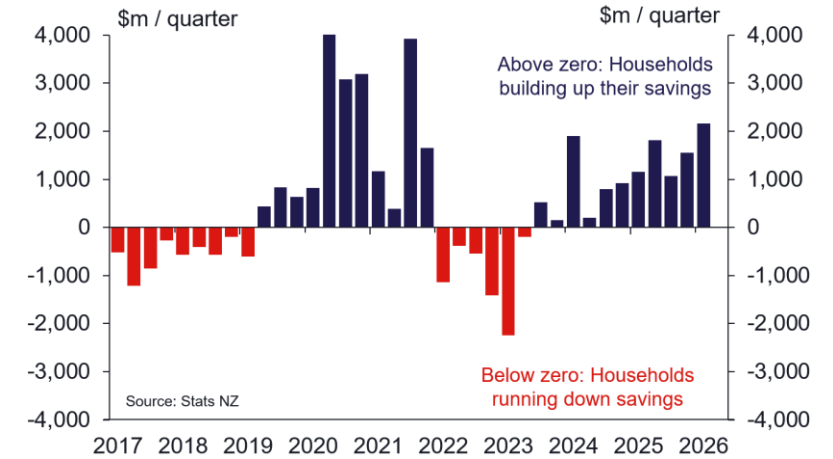
Household savings rose by \$2b over the past quarter.

- March's large increase in savings builds on the solid increases seen over the past three years.
- That seen the household savings rate rising to 3.3% of disposable income, the highest it's been since the pandemic lockdowns.

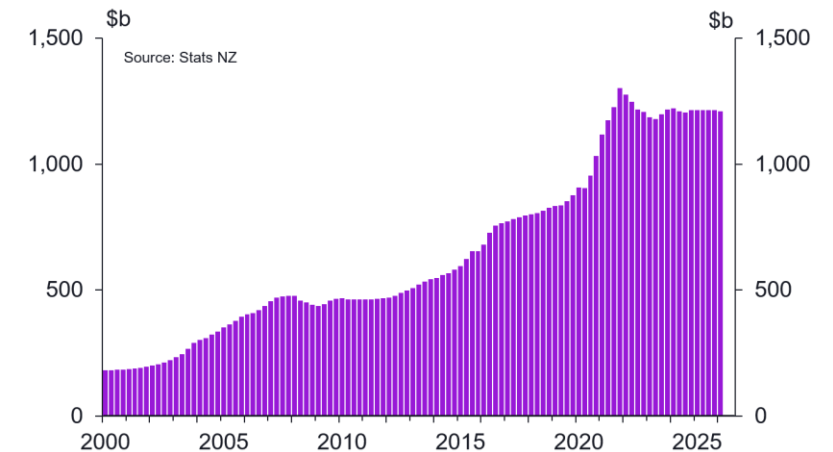
Overall household wealth levels were up 1.5% over the past year.

- The value of households' financial assets has continued to rise and is up 3.3% over the past year.
- However, the value of housing and land assets is down 0.5%, which has resulted in only limited growth in overall wealth levels.
- The value of housing and land assets remained essentially unchanged since late 2023.

Household savings.



Values of housing and land assets.

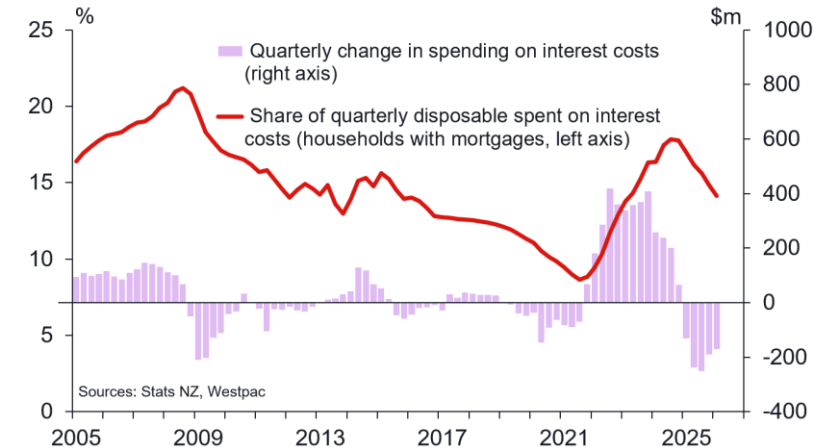


INTEREST COSTS

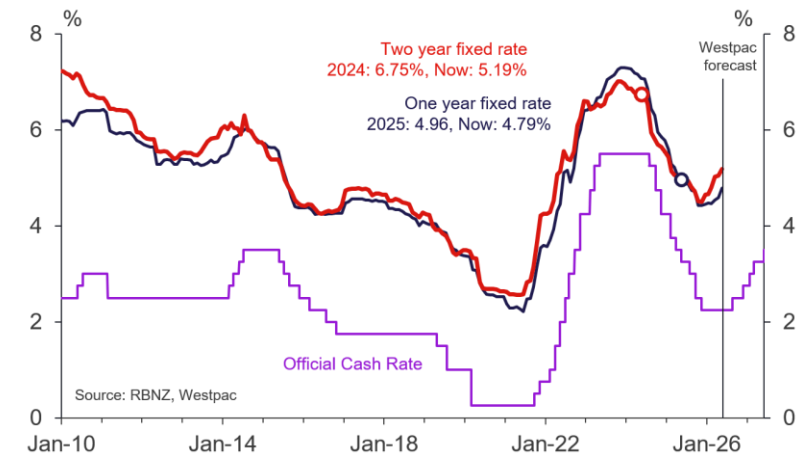
Households' spending on interest costs have fallen for a fifth consecutive quarter.

- Reductions in interest costs over the past year have helped to support household spending in the face of rising living costs.
- We don't expect to see further significant falls in households borrowing costs over the remainder of this year. Mortgage rates have been pushing upwards in recent months (though there's been some scaling back of those increases this week). That's occurred against a backdrop of renewed concerns about inflation in the wake of the Middle East war. And while tensions in the Middle East have eased over the past few weeks, the RBNZ is still expected to raise the Official Cash Rate at a measured pace over the coming months.
- Even with mortgage rates rising, we don't expect a significant rise in households' interest costs over the next few months. That's because 90% of New Zealand mortgage borrowing is fixed for a period (usually for terms of one to two years).

Household spending on interest costs.



Interest rates.



Quick links



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1 July 2026

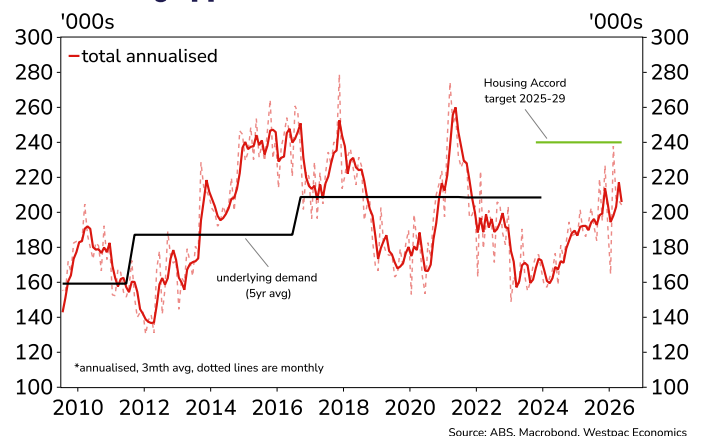
AUSTRALIAN DWELLING APPROVALS BULLETIN

Detached dwellings remain resilient

Key points

- Total dwelling approvals fell 1.1%*mt*h in May, with the annual pace easing to 5.3%*yr*. Approvals continue to normalise from the elevated levels reached in February.
- Private detached dwelling approvals returned to growth, rising 2.8%*mt*h. In contrast, private unit approvals fell 10.4%*mt*h, led by high-rise projects.
- SA and NSW recorded growth, while WA and Victoria posted modest declines. Queensland recorded the weakest outcome.
- The value of residential building approvals fell 5.7%*mt*h, although a sharp rise in non-residential approvals, led by data centre-related projects, saw the total value of building approvals increase 14%*mt*h.
- Further softening appears likely amid a higher rate environment and elevated construction costs, while tax changes add uncertainty to the outlook.

Dwelling approvals



**Total dwelling approvals
-1.1%*mt*h,
5.3%*yr***

Total approvals continue to soften



Luka Belobrajdic
Economist

Total dwelling approvals fell 1.1%*mth* in May, with the annual pace easing to 5.3%*yr*. The result was in line with Westpac's expectation for a 1.0%*mth* decline, although weaker than market expectations for a flat outcome. Private detached dwelling approvals continued to show resilience, while unit approvals further unwound the sharp gains recorded in February.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals returned to growth in May, rising 2.8%*mth* and more than offsetting April's decline. The April result was revised higher, with approvals now estimated to have fallen 0.4%*mth* (+0.6*ppts*) in the month. As a result, the annual pace strengthened to 13.2%*yr*, the strongest outcome since September 2024, suggesting detached housing approvals have remained relatively resilient despite higher interest rates.

Private unit approvals continued to unwind from February's surge, declining 10.4%*mth* in May. This follows an upwardly revised 4.0%*mth* increase in April, compared with an initial estimate of a 3.6%*mth* decline. The annual pace has moved into contraction at -8.6%*yr*, with approvals in the month sitting below the average level recorded across 2025. High rise unit approvals again drove the headline move, with the Westpac seasonally adjusted estimate across both sectors falling 35%*mth*, while low mid rise approvals declined 6.9%*mth*.

Across the states, SA was the strongest performer, with private dwelling approvals rising 8.4%*mth*, driven by unit approvals, while detached dwellings declined. NSW also recorded growth, with private dwelling approvals increasing 1.4%*mth*. WA recorded a modest decline of 0.2%*mth*, while Victoria fell 2.2%*mth*. Queensland was the weakest performer, with approvals falling 14.2%*mth* as both segments retreated.

In value terms, residential building approvals fell 5.7%*mth* in May, with a 0.1%*mth* rise in renovation activity outweighed by a 6.6%*mth* decline in new residential approvals. Non-residential approvals rose 41%*mth*, led by the data centre-dominated 'other commercial' segment, up +254%*mth*. As a result, the total value of building approvals increased 14%*mth*.

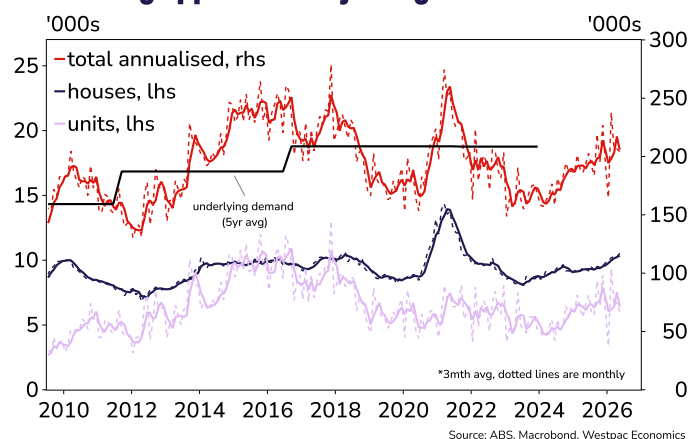
Approvals continue to ease from the elevated levels reached in February, although detached dwellings continue to support the headline result. Looking ahead, downside risks remain, with further possible RBA cash rate increases and elevated construction costs posing headwinds, while tax changes add uncertainty to the outlook. For a full assessment of housing market conditions, see our latest Housing Pulse ([here](#)).

Building approvals – May 2026

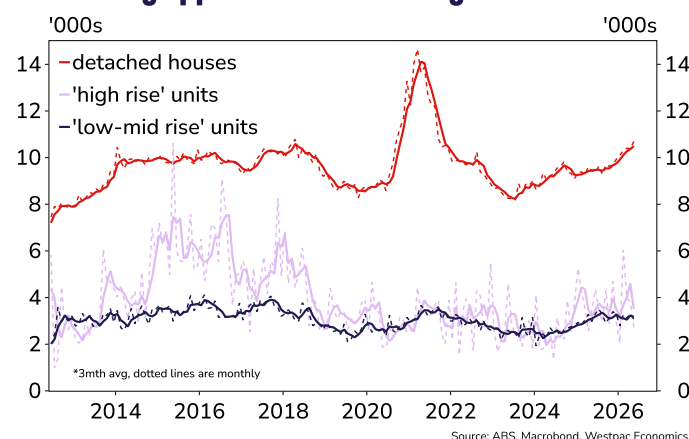
3mth avg	3mth %chg*			%yr	
	latest	Apr	May	Apr	May
Private houses	10,356	4.7	3.8	10.3	11.4
Private units	6,412	24.1	3.1	17.6	4.2
Public dwellings	389	-8.7	27.4	-3.4	8.3
Total dwellings	17,157	11.7	3.9	12.9	8.5
Total dwellings, mthly*	17,019	-0.2	-1.1	10.9	5.3
– units in 'high rise'^	3,516	45.6	-1.5	34.3	10.3
– units in 'low rise'^	3,132	5.0	1.1	7.5	2.2
Renovations, \$bn	1.344	4.1	2.4	14.0	12.6
Non-res., \$bn	8.193	-4.1	4.1	7.2	9.5

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

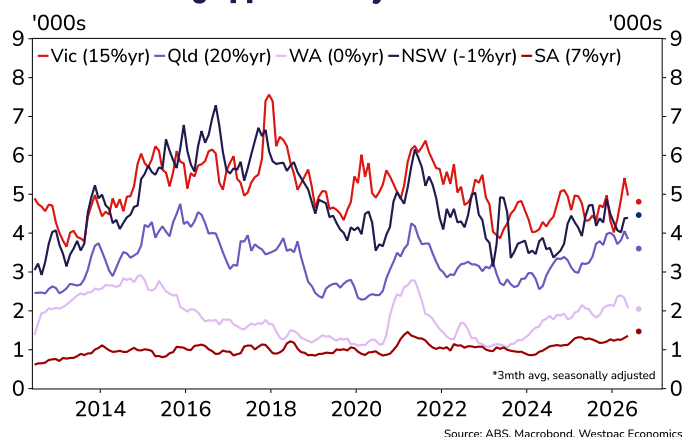
Dwelling approvals: major segment



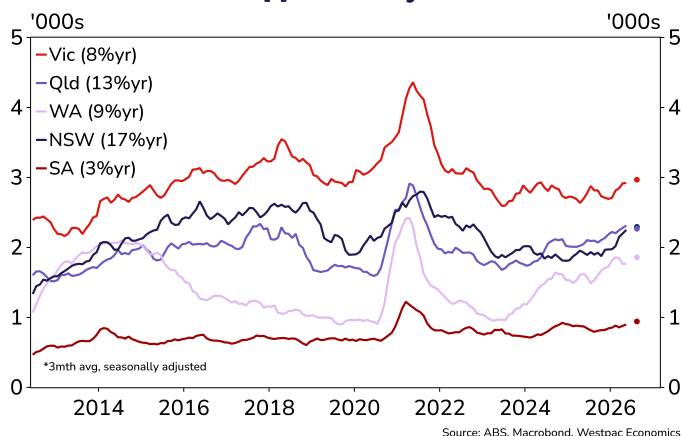
Dwelling approvals: detailed segment



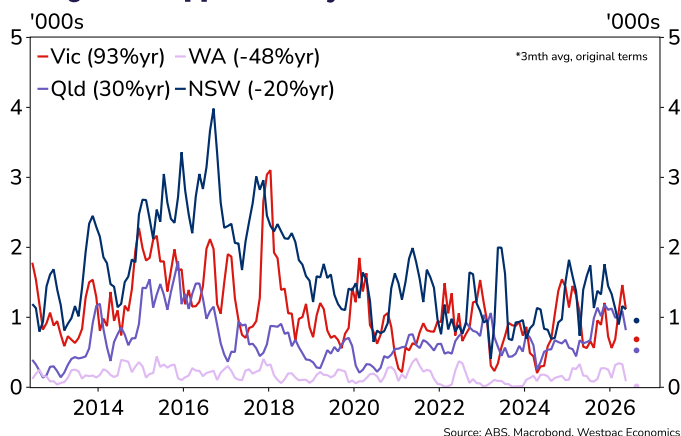
Total dwelling approvals: by state



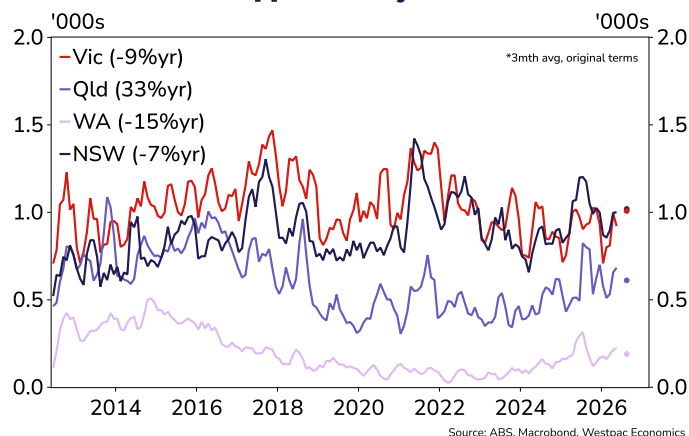
Detached house approvals: by state



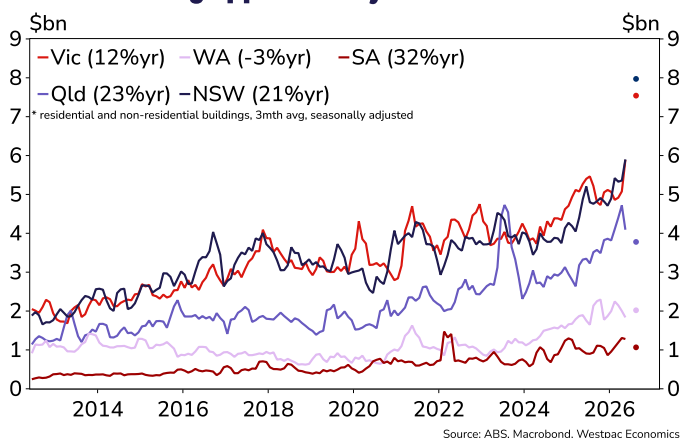
'High rise' approvals: by state



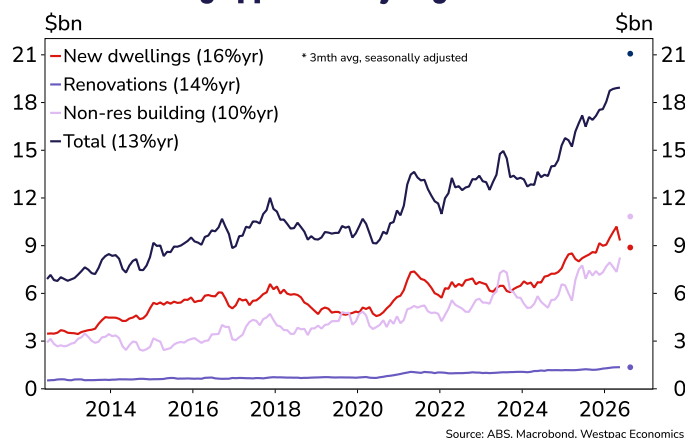
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment





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From forward guidance to framework guidance

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By [Illiana Jain](#)

Economist, Westpac

07:47 July 03 2026

Share

Key themes from the ECB's 2026 Sintra Forum on Central Banking.



The three key themes emerging from this year's ECB Forum in Sintra were:

- Greater flexibility in monetary policymaking, with central banks placing less emphasis on forward guidance and more emphasis on communicating the framework underpinning policy decisions.
- The uncertain implications of AI, which has the potential to reshape productivity and labour market outcomes but is not yet evident in the data.

- A growing focus on non-bank financial risks, as policymakers monitor the rapid growth of leveraged market participants, private credit and other sources of potential financial instability.

The European Central Bank's annual forum brought together leaders from major central banks including the ECB, Bank of England, US Federal Reserve and Bank of Canada. Three key themes were highlighted by the keynote panel: the need for greater flexibility in conducting monetary policy, how AI advances are factoring into decision making and the importance of safeguarding financial stability.

The panel began with the head of the central banks noted above outlining the method behind their recent decisions. Evident in each response is that heightened uncertainty over first round and secondary price pressures combined with mixed messages from incoming activity data necessitate flexibility in setting the policy stance and communicating risks. Constructively, panellists expressed little concern that their economies were facing a return to the stagflationary environment of the 1970s. Strong labour markets and well-anchored inflation expectations were cited as safeguards against such a turn.

ECB President Lagarde went on to discuss the ECB's move away from traditional forward guidance in favour of 'framework guidance', that is communicating the thinking that underpins its decisions versus an expectation of where to next. Governor Bailey and Chair Warsh agreed with the approach, arguing that forward guidance can ultimately make it harder to effectively manage policy if conditions evolve in an adverse manner, to the detriment of the economy. As such, inter-meeting and looking to the medium-term, market participants will be left to discern the future policy path based on policy makers' framework, their latest risk assessments and the data that follows.

A preference for optionality and careful communication was also evident in discussions around the balance sheet. While Chair Warsh again noted a preference for a smaller central bank balance sheet, he recognised that any changes must be clearly signalled to markets before implementation. Although domestic conditions remain the primary driver of policy, the panellists were cognisant that actions in one jurisdiction can have important implications elsewhere and that this should be kept in mind.

AI's impact on the economy and markets received considerable attention throughout the panel. While panellists broadly agreed that AI has the potential to lift productivity and expand the supply side of the economy, there was little consensus on the timing or magnitude of these effects. Chair Warsh did, however, suggest labour market changes could emerge rapidly once adoption becomes widespread. The net impact on inflation of AI adoption is difficult to discern ahead of time, so too the implications for monetary policy.

A discourse on AI and financial stability focused on the benefits of sharing research and coordinating approaches across jurisdictions. More broadly on financial markets, panellists noted the growing power of hedge funds in government bond markets. Though the risks associated with individual funds may be manageable, concerns arise when multiple investors employ similar strategies and rely on the same funding markets. A period of heightened volatility could trigger a rapid unwinding of positions, potentially spilling over into other markets.

Leveraged ETFs and the rapid growth of private credit markets were cited as other potential material risks, particularly given elevated valuations in some markets. Stronger productivity growth and technological innovation could, in time, justify these valuations but, warranted or not, a sharp correction would have lasting implications for market stability and the real economy. Governor Bailey noted that the Bank of England is actively assessing the potential implications of this myriad of risks.

Overall, policymakers are operating in an environment where the outlook can change quickly for many reasons including, but not limited to, shifts in trade policy, technological change and/or developments in financial markets. In this environment, the flexible application of a clearly defined policy framework is the preferred approach to manage the cyclical momentum of the economy, known risks and financial stability.

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WESTPAC WAVE

Fiji FY2026-27 National Budget Review

01 July 2026

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- The 2026–27 National Budget for Fiji projects a fiscal deficit of \$1.0bn (7.0% of GDP), up from \$0.8bn (5.5% of GDP) in 2025–26.
- Over the medium-term, the fiscal deficit is expected to remain close to \$1.0bn annually, above 6.0% of GDP. The Government does not expect to achieve an operating surplus until 2028–29. Public debt is projected to reach 88.3% of GDP by 2028–29 with annual interest payments nearing \$600mn.
- The primary balance, defined as revenue less non-interest expenditure, is projected to remain in deficit at \$449.4mn (3.0% of GDP) in 2026–27, with no meaningful improvement expected over the medium-term. By 2028–29, the primary deficit is still forecast to exceed \$400mn. This raises an important question: how will lenders and credit rating agencies assess Fiji's fiscal trajectory?
- The tax regime has largely been kept stable, apart from the introduction of a 5% Tourism Services Tax to support the aviation industry and the alignment of some duty rates. Revenue is projected to average around 25% of GDP over the medium-term.
- This is a \$4.9bn spending budget (32.8% of GDP), approximately \$200mn higher than the revised 2025–26 expenditure estimate. Most of this increase is directed towards accommodating the General Election, Population Census and key capital projects, while broad-based operating expenditure cuts of around 10% have been implemented across ministries and departments.

BIG Numbers

Revenue (25.8% of GDP)

\$3.8bn

↓ -69.8mn
over last FY

Expenditure (32.8% of GDP)

\$4.9bn

↑ +199.5mn
over last FY

Fiscal Deficit (-7.0% of GDP)

\$1.0bn

↑ +269.3mn
over last FY

Gross Debt (84.8% of GDP)

\$12.6bn

↑ +1.0bn
over last FY

Primary Deficit (3.0% of GDP)

\$449.4mn

↑ +211.2mn
over last FY

*Compared to FY2025-26 revised estimate

Promising budget requires greater caution

Shamal Chand

Senior Economist, Westpac Pacific Economics

The theme of Fiji's 2026–27 National Budget is “A Responsible Budget for Sustainable Future.” Prior to the announcement, very little information on key policy measures had been made public. There was a broad expectation that the Government would keep major revenue policies unchanged while tightening expenditure and maintaining support for households and businesses. In many ways, that is exactly what was delivered.

The Government's central message in the budget is that it recognises public spending has become bloated and that expenditure discipline needs to improve. The budget attempts to demonstrate this by largely keeping overall expenditure unchanged from the previous year. In doing so, it continues to support the critical education, health, security and social sectors of the Fijian economy.

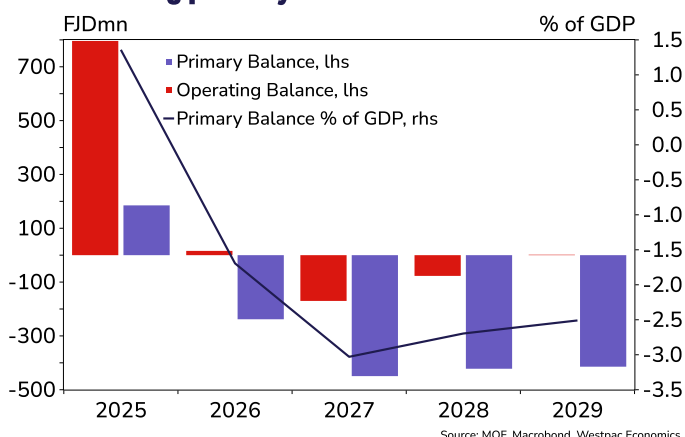
While the Government's commitment to expenditure control is commendable, the worsening primary balance requires greater scrutiny. The primary balance measures the difference between Government revenue and non-interest expenditure. A negative primary balance indicates that the Government is borrowing to meet its interest obligations, creating a potentially self-reinforcing cycle in which rising interest payments require additional borrowing.

Fiji's primary deficit is projected to widen from \$238.1mn (1.7% of GDP) in 2025–26 to \$449.4mn (3.0% of GDP) in 2026–27 and even hovering above \$400mn throughout the medium-term forecast period to 2028–29, which is a cause for concern.

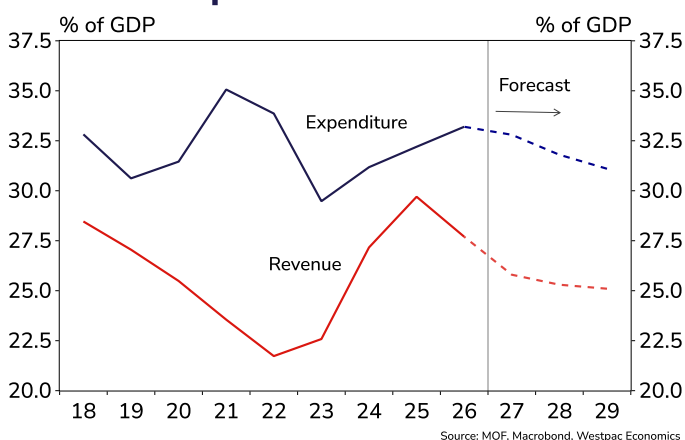
Fiji's multilateral development partners, lenders and credit rating agencies closely monitor the primary balance as a key indicator of fiscal discipline and debt sustainability. A persistent primary deficit, including over the medium-term, suggests that the Government is unable to fully finance its expenditure through its own revenues before interest costs are considered. This presents a significant fiscal and sovereign risk if left unchecked, potentially leading to credit rating downgrades and higher borrowing costs in the future.

In summary, the budget documents show that revenue is projected to decline from \$4.1bn (29.7% of GDP) in 2024–25 to \$3.8bn (25.8% of GDP) in 2026–27 before gradually recovering to \$4.2bn by 2028–29. Meanwhile, expenditure is expected to continue rising, reaching \$5.1bn (31.1% of GDP) by 2028–29, driven largely by operating costs and growing debt-servicing obligations. The fiscal deficit is projected to widen sharply from \$337.5mn (2.5% of GDP) in 2024–25 to \$1.0bn (7.0% of GDP) in 2026–27 and remain elevated thereafter. Public debt is projected to increase from 79.0% of GDP to 88.3% of GDP by 2028–29.

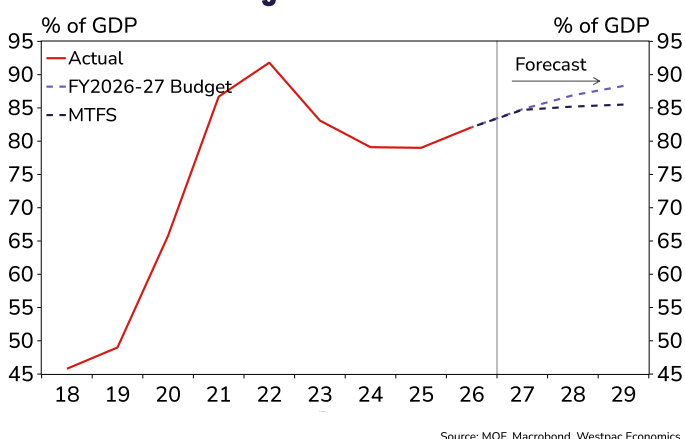
Deteriorating primary balance



Revenue and Expenditure



Debt to GDP ticks higher



Tax stability and expenditure control

Government expects revenue to remain relatively subdued initially at \$3.8bn, with no major changes to the existing tax structure, even as nominal GDP is projected to grow by 5.5%. One of the strongest features of the budget is the preservation of tax stability. VAT, personal income tax and corporate tax rates remain unchanged. The only notable tax measure is the introduction of a 5% Tourism Services Tax from September 2026 on hotels and tour operators with annual turnover exceeding \$2mn, alongside the alignment of several duty rates and other cosmetic changes.

The Government appears to be relying once again on conservative revenue assumptions. Given that the 2025–26 fiscal year is expected to finish close to the original budget estimates, it is difficult to argue that expenditures have been materially overstated this time around. Instead, the budget reflects a Government that is increasingly comfortable operating with large deficits. The lack of fiscal consolidation is no longer being disguised in the MTFS. The deficit continues to widen, and medium-term projections revised upwards.

The budget keeps overall expenditure broadly unchanged from the previous year, despite accommodating around \$200mn in new spending for the General Election, Population Census and key infrastructure projects. To create room for these priorities, Government announced a broad-based 10% reduction in operating expenditure across ministries, departments and other agencies, including no civil service pay increase.

Given rising inflation, can ministries/departments realistically absorb a 10% reduction in operating grants without cutting or reorganising their overheads?

Most support measures had already been announced before budget day, including fuel duty concessions for Energy Fiji Limited, bus operators, hotels, resorts, mining companies and manufacturers that rely on diesel generation - proactively extended until October.

The budget includes targeted incentives aimed at supporting peer-to-peer lending platforms, equity crowd-funding, EV charging infrastructure, sporting development and greater iTaukei participation in commercial investments.

A review of 2025–26 likely outcomes highlights a familiar concern: capital expenditure implementation. Operating expenditure was largely delivered, with revised estimates reaching approximately \$3.9bn, or 99.3% of budget. Capital expenditure, however, significantly underperformed. Revised estimates indicate capital spending of \$792.3mn, meaning around \$134.3mn of planned capital works and investments might not be delivered. This could also be due to the restructuring and merging of ministries mid-fiscal year.

This pattern continues to raise concerns about the Government's ability to fully translate budget allocations into productive infrastructure outcomes. It also contributes to the worsening composition of expenditure. Over the past several years, the balance between operating and capital spending has deteriorated to an 82:18 ratio.

Medium-Term Budget Plan

\$ million	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue	4,053.2	3,894.0	3,824.2	3,959.9	4,151.2
% of GDP	29.7	27.7	25.8	25.3	25.1
Tax	3,484.6	3,391.3	3,306.1	3,508.2	3,685.9
Non-Tax	568.6	502.7	518.1	451.7	465.3
Expenditure	4,390.7	4,670.4	4,869.9	4,970.7	5,134.7
% of GDP	32.2	33.2	32.8	31.8	31.1
Operating	3,257.2	3,878.1	3,994.2	4,036.9	4,149.5
o/w finance charges	522.5	538.3	596.3	588.8	569.1
Capital	1,056.9	792.3	875.7	933.8	985.2
Fiscal Deficit	-337.5	-776.4	-1,045.5	-1,010.8	-983.5
% of GDP	-2.5	-5.5	-7.0	-6.5	-6.0
Debt	10,761.8	11,538.2	12,583.9	13,594.7	14,578.2
% of GDP	79.0	82.1	84.8	86.9	88.3
Nominal GDP	13,625.6	14,055.5	14,833.5	15,649.3	16,510.1
Primary Balance	185.0	-238.1	-449.4	-422.0	-414.4
% of GDP	1.4	-1.7	-3.0	-2.7	-2.5
Operating Balance	796.0	15.9	-170.0	-77.0	1.7
% of GDP	5.8	0.1	-1.1	-0.5	0.0

Source: Westpac Fiji Analysis; Ministry of Finance budget reports

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Proposed financing plan

The 2026–27 Budget will be financed through a combination of domestic and external borrowing to meet a gross financing requirement of \$1.48bn. This comprises a projected fiscal deficit of \$1.04bn and debt repayments of \$436.3mn. While domestic financing remains the largest funding source, Government is budgeting for a significantly larger contribution from external partners than in recent years.

Total overseas financing is projected at \$628.0mn, accounting for 42.4% of total financing requirements, up from 37.6% in the revised 2025–26 Budget and 27.8% in 2024–25. Domestic financing is expected to contribute \$853.9mn (57.6%).

The external financing programme is dominated by multilateral lenders, particularly the ADB, which is expected to provide \$511.8mn, representing more than 80% of total overseas financing. The World Bank and IDA are expected to contribute \$55.9mn, while smaller amounts are anticipated from the AIFFP (\$7.5mn), OPEC Fund (\$6.9mn) and IFAD (\$1.5mn). Of the total external programme, approximately \$496.0mn is expected to be sourced through policy-based lending operations, with the balance funding project-related expenditure.

However, the financing assumptions remain exposed to significant execution risks. During 2025–26, Government experienced substantial challenges in accessing external financing, a risk we highlighted in last year's budget review. As at April 2026, only \$44.7mn in foreign financing had been secured, equivalent to just 8% of the revised external

financing target of \$559.3mn, due to delays in policy reforms. This forced Government to draw on its cash reserves to meet expenditure needs, with Government deposits in commercial banks falling to \$0.6bn in May from levels previously close to \$1.0bn.

In contrast, domestic financing performance remained strong, with \$789.9mn raised, representing around 85% of the annual domestic financing target, with an increased risk of domestic liquidity constraints in future.

The 2025–26 experience highlights the uncertainty surrounding external financing flows. Policy-based loans are generally subject to policy reform commitments, approval processes and disbursement conditions, which can delay funding beyond budget assumptions. Given the heavy reliance on ADB financing in 2026–27, any delays in approval or disbursement could create financing pressures and require Government to rely more heavily on domestic markets.

In response, Government appears to be extending the maturity profile of domestic debt. Recent auction data point to a gradual shift towards 25-year bonds, while demand for shorter tenors has generally weakened. Several 25-year bond auctions in 2026 attracted relatively strong investor interest, including a March issuance that received \$99mn in bids against \$40mn offered. Extending maturities reduces refinancing and rollover risks while better aligning Government borrowing with the long-term nature of infrastructure investment. This also meets the needs of institutions such as FNPF.

Proposed Financing Sources

Financing (\$ million)	2024-25	2025-26	2026-27
Overseas			
Asian Development Bank	10.4	35.9	511.8
World Bank & IDA	29.1	42.4	55.9
Japan International Cooperation Agency	0	0	0
Asian Infrastructure Investment Bank	0	0	0
Australian Infrastructure Financing Facility for Pacific	0	0	7.5
European Investment Bank	7.7	1.8	0
OPEC Fund	0	0	6.9
IFAD	0	0	1.5
Other unspecified policy-based / multilateral financing	159.2	479.2	44.4
Total	206.4	559.3	628.0
Domestic Bonds and Loans	534.8	928.7	853.9
Total Financing	741.2	1,488.0	1,481.9
Share			
Overseas	27.8%	37.6%	42.4%
Domestic	72.2%	62.4%	57.6%

Source: Westpac Fiji Analysis; Ministry of Finance budget reports

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Budget developed in crisis...

Budget announcements in Fiji are usually accompanied by optimism and high expectations. This year was different. The 2026–27 National Budget was developed during one of the most uncertain periods in recent years. Having said that, describing the environment as “uncertain” has become almost a budget cliché; nearly every budget over the past few years has been prepared under similar circumstances.

Global fuel markets were disrupted by conflict in the Middle East, inflation pressures were rebuilding, growth forecasts were being revised downwards, and Fiji is edging closer to a General Election. Throughout May and June, policymakers were forced to prepare for a scenario involving prolonged fuel market disruptions, elevated oil prices, and rising prices.

Yet by the time the new financial year begins, the global environment had shifted dramatically, although uncertainty remains elevated. A ceasefire between the US and Iran had largely held, shipping traffic through the Strait of Hormuz had resumed and millions of barrels of previously stranded oil were reaching international markets. Domestic fuel prices followed suit, with petrol falling by 49c and diesel by a substantial \$1.19/litre in July. As such, with these positive developments and accounting for recent budget announcements, we keep Fiji’s 2026 growth profile unchanged at 2.0%.

Inflationary pressures expected to persist

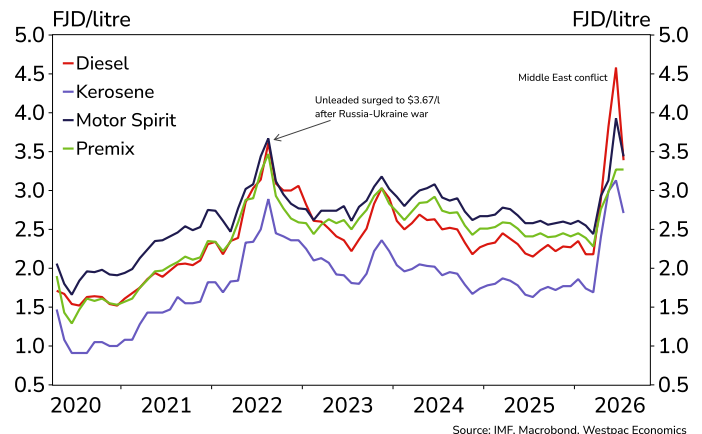
Government expects year-end inflation to exceed 6.0% with June reading already at 6.1%. While falling fuel prices should help ease some pressure during the second half of the year, households and businesses will continue to feel the cumulative effects of higher living and operating costs. Based on past experience of many, even if benchmark fuel prices decline, retail goods prices do not always adjust downwards accordingly unless they are subject to regulatory pricing mechanisms. Domestic consumption continues to be supported, including through remittances, which have surged to \$561.7mn as of April (up by 25.2%).

Aviation sector supported

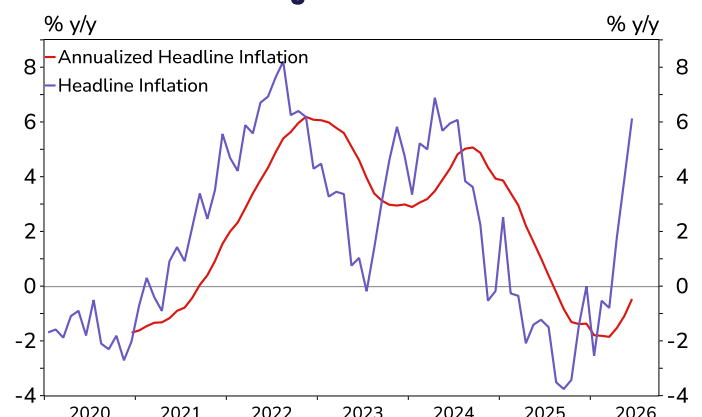
The budget provides much-needed support to the aviation sector, particularly Fiji Airways, which is facing high operating costs. The budget supports Fiji Airways through a planned \$200mn Government guarantee, \$10mn in fees relief, and an extension of tax loss carry-forward provisions to 15 years. A temporary 5% Tourism Services Tax is expected to generate approximately \$70mn to support Fiji Airways.

In addition, visitor arrivals in May 2026 totalled 85,405, down 1.4% y/y from 86,587 in the same month last year. Year-to-date arrivals reached 362,106, up 3.1% compared with 351,069 over the same period in 2025. Fiji is now in its peak tourism season, and softer arrivals over the past 2 months may signal a weaker growth trajectory this year.

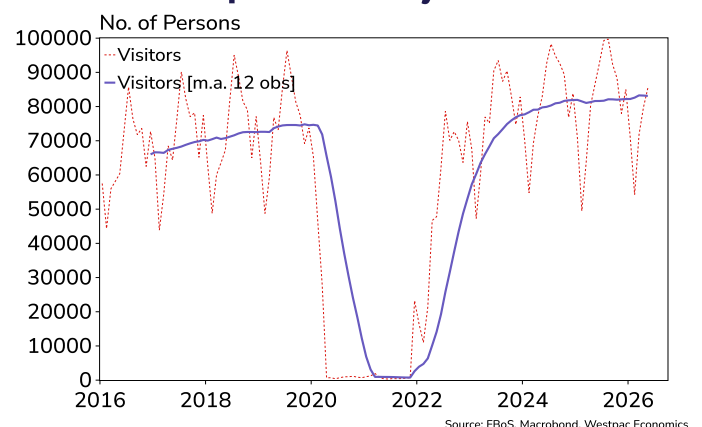
Fiji domestic fuel price



Headline inflation surges to 6.1% in June



Visitor arrivals up 3.1% as of May



...has become quite a cliché

Government asks private sector to drive growth

To spark this transition, the Government is rolling out aggressive tax holidays across key sectors. New cement manufacturing facilities and major iTaukei joint ventures in eco-tourism can qualify for tax holidays of up to 13 years, while mahogany processors and healthcare facilities receive targeted tax incentives.

Simultaneously, the Government is attempting to cut through bureaucratic red tape. Investor permit processing times are expected to be reduced from 21 days to just five, supported by a fast-track taskforce involving Investment Fiji and the Ministry of Immigration to clear project bottlenecks, alongside a \$4mn digital building permit system. The budget also seeks to reduce business costs through duty reductions on selected imported inputs, including aluminium and PVC products, with the aim of lowering construction and manufacturing costs.

Superannuation changes

One of the most notable initiatives is the temporary reduction in employer FNPF contributions from 10% to 8% for a 12-month period. For businesses, particularly in labour-intensive sectors such as tourism, retail and manufacturing, this provides immediate payroll cost relief and additional cash flow during a period of weaker growth.

For workers, lower contributions would normally raise concerns about slower accumulation of retirement savings. With no major support measures for employees announced in the budget, businesses now have the opportunity to maintain the previous 10% employer contribution rate as an additional employment incentive.

One piece of good news, which was incorporated into the announcement, was FNPF's declaration of a 9.5% interest crediting rate to member accounts, totaling \$866mn for the financial year ending 30 June.

Support to households and most vulnerable

The Ministry of Housing has been allocated \$25.6mn to address urbanisation challenges. The revamped First Home Ownership Initiative now targets households earning below \$60,000, offering grants of up to \$40,000 for home construction. A further \$10mn has been allocated to upgrade nine informal settlements, while \$1.3mn will support the relocation of 1,200 vulnerable households.

To ease cost-of-living pressures, social protection programmes receive \$211.4mn, supporting around 130,000 beneficiaries. Zero-rated VAT on 22 items has been maintained, while \$40mn has been allocated for Back-to-School Assistance in 2027. Households earning below \$30,000 continue to receive free water and subsidised electricity.

The State of state-owned entities

Another area requiring reform is the state-owned enterprise (SOE) sector. Many SOEs continue to generate returns on assets and equity well below levels generally expected in the private sector. SOEs recorded an average return on assets of 1.7% and a return on equity of 4.1% in 2025. Total dividends paid were \$18mn, despite SOEs holding assets worth more than \$10bn. The Government needs a clearer medium-term strategy for restructuring, commercialisation and, where appropriate, privatisation.

Challenges ahead

Foreign Reserves: Government projects foreign reserves to decline cumulatively by around \$522.8mn by 2029 as a result of a widening current account deficit. While foreign reserves currently stand at \$3.4bn, sufficient to cover 4.7 months of imports, the Government's projections clearly point to emerging external sector risks and the potential for tighter banking system liquidity and slower private sector credit growth over the medium-term. RBF profits transferred to the Government stood at \$115mn in 2026–27, accounting for a significant share of non-tax revenue. These profits are projected to decline to \$60mn by 2028–29, reflecting an expected reduction in foreign reserve holdings.

Productivity stagnation: Beyond the immediate challenges of fuel prices and fiscal pressures, the budget explicitly identifies productivity as one of Fiji's biggest long-term constraints. Economic growth is increasingly being undermined by labour shortages, outward migration, skills mismatches and rising operating costs that are not being matched by improvements in output. Ageing infrastructure, traffic congestion, high water losses, and emerging social challenges such as NCDs, HIV and drug use are all cited as factors weighing on productivity and competitiveness.

Government attempts to address this by restructuring the National Training Productivity Centre Levy, directing more resources towards workforce training, providing tax incentives for employee upskilling, and accelerating digitalisation initiatives. However, will this be adequate?

Motivation: One of the major challenges will be the full implementation of capital projects and securing external policy-based financing. These investments and reforms rely heavily on strong execution capacity. As of April, the Government had secured only 8% of its budgeted policy-based loans due to its inability to meet certain policy reform commitments and obligations. It is also expected to underspend its capital budget by more than \$100mn this financial year. With the civil service now on permanent contracts and no salary increases announced in this budget, it may prove challenging for the Government to deliver on these critical aspects of the budget.

The bitter decline of Fiji's sugar industry

Globally, sugar is considered the second most politically traded commodity after oil because of its strong links to Government policy and trade agreements. In Fiji, sugar has become more than an industry; it has deep historical and social significance.

Fiji's sugar production peaked in the mid-1990s and has been declining ever since. The number of growers has halved, cane quality has dropped, and farms have become smaller. Today, most growers are small-scale, and many continue farming mainly to keep their leases for residential purposes on the land. When agricultural leases started expiring decades ago, the industry decline accelerated. Large family farms disappeared as older generations passed away, and younger ones moved to urban areas for better jobs. Extended families once provided free labour, but with the shift to nuclear families, that support has vanished. Sugar yields have also declined because farmers are hesitant to replant, as sugarcane is a ratooning crop that can regrow for up to a maximum of five to six years.

Just to put some numbers in perspective: As of 2025, Fiji has around 9,127 active growers harvesting 1.5mn tonnes of sugarcane from 27,000 hectares. In 1996, there were 20,600 growers harvesting 4.4mn tonnes of sugarcane from 74,000 hectares. Back then, sugar exports earned over \$300mn, or 10% of GDP. In 2025, exports fell to \$76mn, which is 0.6% of GDP. This is according to Fiji Bureau of Statistics' [sugar industry production and prices data](#). Ultimately, most produced sugar is exported, and only about 30,000 tonnes are consumed locally. Because sugar is duty-protected, Fijian consumers pay more.

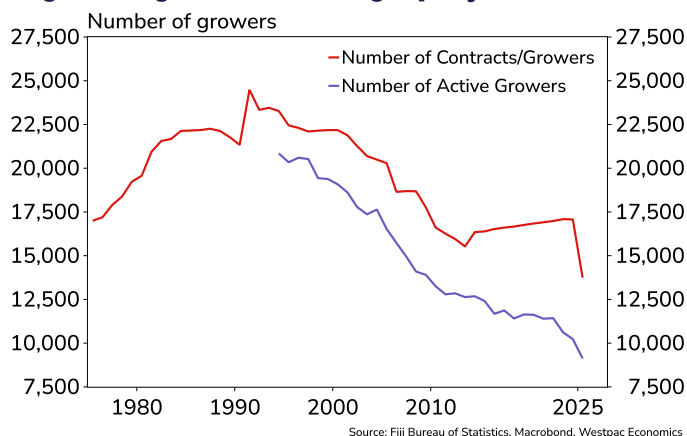
Most farmers are elderly. A 2023 estimate says over 75% are above 50 years old. Only a handful of young farmers remain engaged in the industry, typically operating larger farms or maintaining leases to reside on 30-year leased agricultural land. Existing farmers have discouraged their children from entering the industry, many of whom now work in the commercial and service sectors in urban centres, where the quality of life and pay are better.

Despite earning foreign exchange, the industry operates at a financial loss year after year. Fiji Sugar Corporation has averaged over \$30mn in annual losses for the past decade. It would cost roughly the same if Fiji imported sugar solely for domestic consumption annually. Essentially, sugar exports are heavily subsidised.

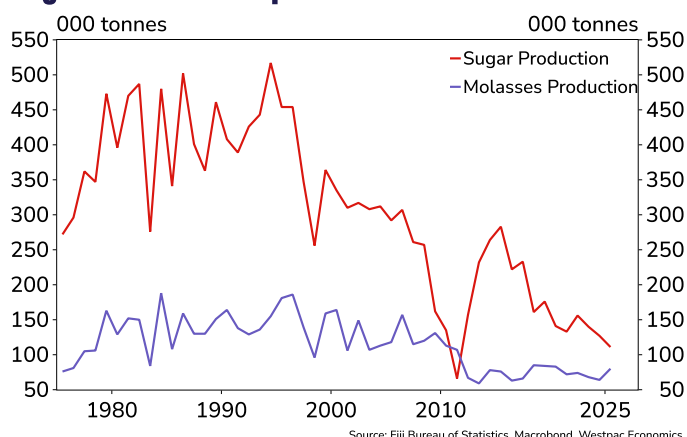
The sugar industry is kept afloat with significant financial support such as debt write-offs, grants & subsidies, and payment top-ups to mitigate global price shocks. For example, in 2024, the Fiji Government wrote off \$200.2mn in FSC debt. In 2020, \$173.8mn in loans were converted to equity. Every year, over \$60mn goes into farm development, fertiliser subsidies, road access, and more.

In the 2026-27 National Budget, the sector receives an interim

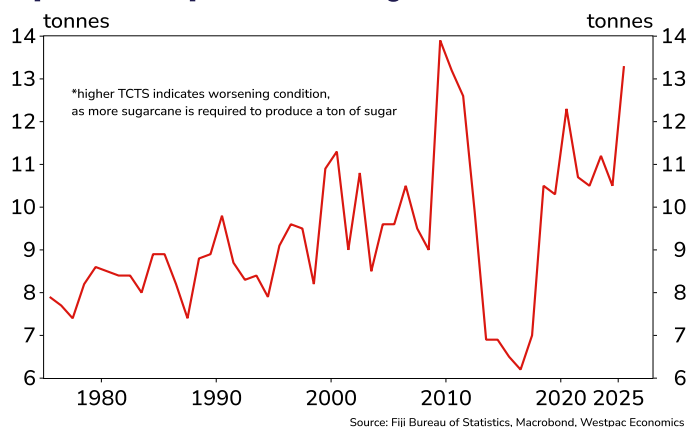
Sugarcane growers declining rapidly



Sugar and molasses production



Input of cane per tonne of sugar



The bitter decline of Fiji's sugar industry

support of \$96.3mn, with Government maintaining guaranteed price of \$85/ton and a fuel subsidy of \$5mn.

In terms of broader market projections, sugar prices are expected to fall because of global oversupply. It is currently trading just below US\$0.14/lb., one of the historic lows for the commodity. Sugar prices are expected to remain range bound through 2027, with excess supply limiting any durable recovery until 2028.

Fiji no longer benefits from the preferential prices once offered by the European Union, which at one stage paid nearly three times the prevailing world market price for sugar. The loss of that arrangement has significantly reduced the industry's export earnings and exposed local producers to the realities of competing in a highly competitive global market. Today, Fiji must compete against large-scale producers such as India and Brazil, which benefit from lower labour costs, greater economies of scale, larger state subsidies and more advanced technology, as well as Australia, where a highly capital-intensive and private sector-driven industry delivers much higher productivity. Competing under these conditions has become increasingly challenging for Fiji's sugar sector.

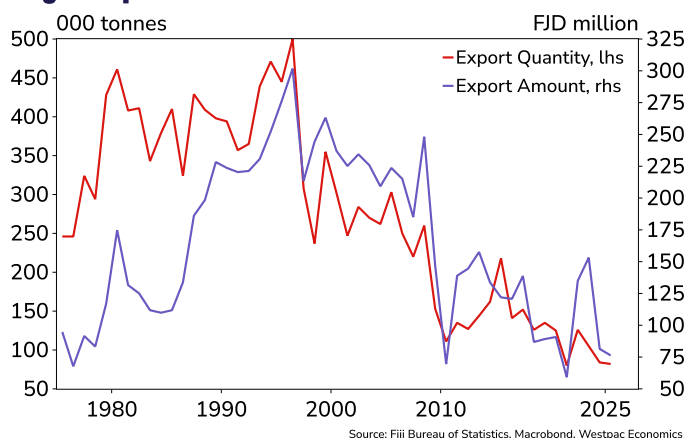
Fiji has restructured the sugar industry before independence for economic reasons. Mills have opened and closed since colonial times. For perspective, the Colonial Sugar Refinery Company established ten mills in the Rewa Valley in the 1880s, with the last one closing by 1959 as it became uneconomical to operate those mills given lower sugar content. The Penang Mill shut permanently in 2017 after cyclone damage.

The big question is whether Fiji should keep directing money into sugar or help farmers shift to other livelihoods. Mechanisation has not solved labour shortages, especially in hilly areas, and it has reduced cane quality because old mills cannot process machine-harvested cane that well. Mechanically harvested cane introduces "extraneous matter," which deteriorates yields as old mills were built to accept manually harvested sugarcane. The small farm size, distance from mills and ports together with still high dependence on labour makes the industry significantly uneconomical.

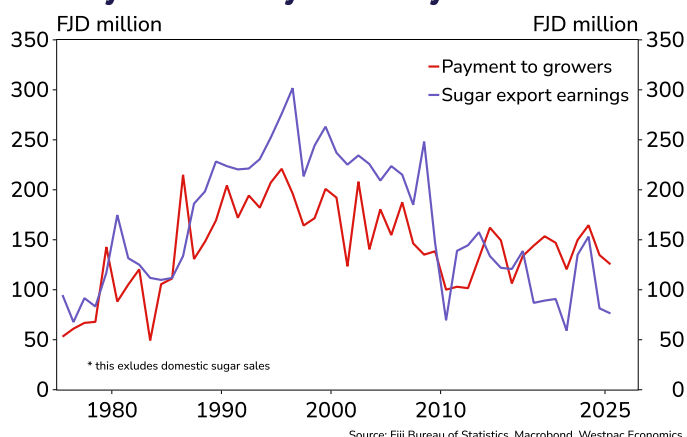
Despite the harsh realities, Fiji cannot shut the industry overnight because 10,000 growers depend on it, that is about 1% of the population, or 4% if you count family members. But reforms are needed to assist existing farmers and industry participants to gradually transition to alternative income sources. Mechanisation is essential for the industry to move toward profitability but achieving this will require substantial capital investment; something Fiji currently lacks the capacity to provide. Nonetheless, such transition will require a gradual long-term roadmap.

Sugar was once the backbone of Fiji's economy.

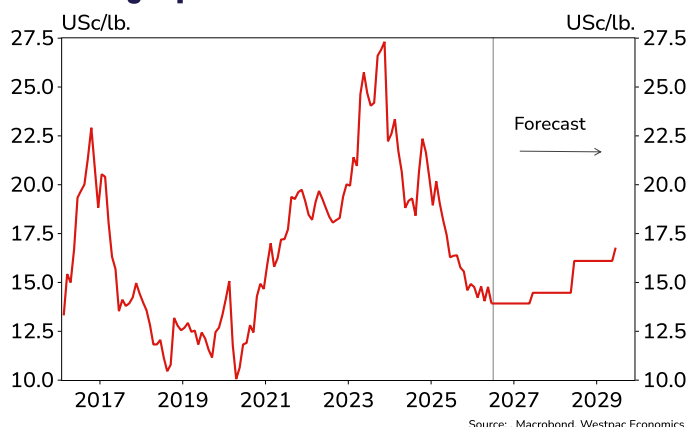
Sugar exports



Industry relies heavily on subsidy



Global sugar price



Exchange rate forecast

Majors	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
FJD/USD	0.4420	0.45	0.46	0.46	0.46	0.47	0.47	0.47	0.47	0.47
FJD/AUD	0.6385	0.63	0.62	0.63	0.63	0.63	0.63	0.64	0.64	0.64
FJD/EUR	0.3869	0.39	0.39	0.39	0.39	0.39	0.38	0.38	0.38	0.39
FJD/JPY	71.86	71	71	71	71	70	69	68	67	66
FJD/NZD	0.7782	0.76	0.76	0.74	0.72	0.72	0.71	0.71	0.71	0.71
AUD/USD	0.6912	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73
EUR/USD	1.1413	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21
USD/JPY	162.63	158	156	154	152	150	148	146	144	142
NZD/USD	0.5674	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66

Source: Bloomberg, Westpac Economics Market Outlook, Westpac Pacific Economics

Fiji's medium-term growth forecast

Sectors	2020	2021	2022	2023	2024	2025	2026	2027	2028
Primary	-3.8%	9.1%	3.0%	3.8%	4.4%	4.0%	2.4%	4.6%	3.8%
Industry	-15.3%	-8.8%	10.2%	0.3%	2.4%	1.1%	0.2%	1.6%	1.0%
Service	-20.9%	-6.9%	25.1%	13.5%	3.6%	3.3%	2.3%	3.2%	3.0%
Net taxes	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%
Real GDP	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%

Source: Westpac Pacific Economics

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025	2026	2027	2028
World	6.6	3.8	3.5	3.3	3.4	3.1	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.1	1.8	1.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.1	0.6	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Europe	6.4	3.7	0.5	0.9	1.5	0.2	1.1	1.5
Australia	5.4	4.2	2.1	1.0	2.0	1.7	1.3	2.3
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	2.7	3.4

Source: Westpac Economics Market Outlook

Fiji Government yields

Month	3 mths	6 mths	12 mths	10 yrs	15 yrs	20 yrs	25 yrs
May-26	0.20	0.45	1.17	3.90	4.15	5.75	7.25
Apr-26	0.20	0.45	1.13	3.90	4.15	5.75	7.01
Mar-26	0.20	0.45	1.12	3.90	4.15	5.75	7.20
Feb-26	0.20	0.45	1.12	3.90	4.15	5.75	7.00
Jan-26	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Dec-25	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Nov-25	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Oct-25	0.20	0.45	1.13	3.90	4.15	5.46	6.75

Source: Westpac Pacific

Interest rate forecast

Economies	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Australia										
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10
10 Year Bond	4.72	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.38	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80
New Zealand										
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00
10 Year Bond	4.36	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05

Source: Westpac Economics Market Outlook



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25 June 2026

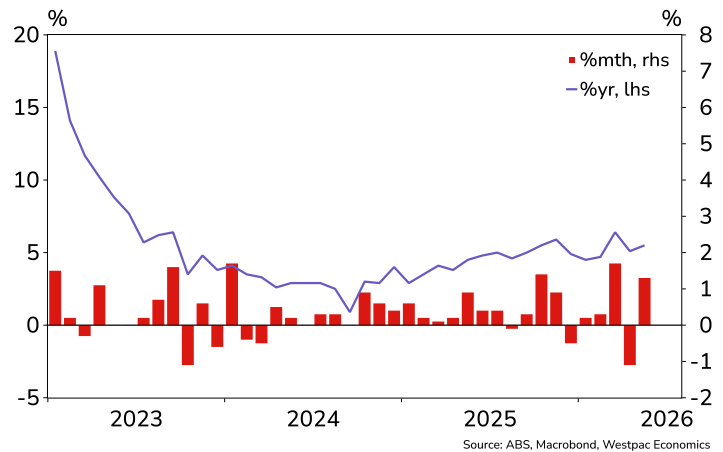
HOUSEHOLD SPENDING INDICATOR BULLETIN

Spending sees broad-based support

Key points

- Household spending rose 1.3%_{mt} in May, fully unwinding April's -1.1%_{mt} fall, with annual growth strengthening to 5.5%_{yr}.
- Services led the rebound after a sharp fall in April, while goods spending rose modestly. Discretionary spending outperformed, while non-discretionary spending edged lower.
- The increase was broad based, with all nine spending categories recording gains. Clothing & footwear, miscellaneous goods & services, and hotels, cafes & restaurants led the gains, while transport spending rebounded as travel-related refunds normalised following April's disruption.
- All states except Tasmania posted gains, with WA outperforming and recording its strongest monthly increase since 2022.
- The outlook for consumer spending remains soft, with consumer sentiment continuing to decline and card activity pointing to a clear moderation in momentum.

Monthly Household Spending Indicator Growth



May household spending indicator: 1.3%_{mt}, 5.5%_{yr}

All spending categories see a rise



Luka Belobrajdic
Economist

The monthly household spending indicator rose 1.3%*mt* in May, fully unwinding April's -1.1%*mt* fall. Today's result came in stronger than both our expectation for a 0.7%*mt* rise and the market's expectation of 0.5%*mt*. With March data revised slightly higher to a 1.7%*mt* increase, annual growth strengthened to 5.5%*yr*. The three-month growth pace also firmed, rising to 1.7%*qtr* from 1.1%*qtr* previously.

By broad category, services led the rise, posting a 2.6%*mt* gain (5.1%*yr*) following a -1.8%*mt* result in April. Meanwhile, goods spending rose a modest 0.1%*mt* (5.9%*yr*), nevertheless marking a reversal in last month's weakness. Discretionary spending increased 2.1%*mt* (5.6%*yr*), while non-discretionary spending declined -0.2%*mt* (5.2%*yr*).

Across the detail, all nine spending categories recorded gains, highlighting the broad-based nature of the increase. Clothing & footwear led the gains, rising 2.7%*mt*, with the ABS attributing the increase to base effects associated with sales events in April. Miscellaneous goods & services also posted a solid rise, increasing 2.2%*mt* in May. Hotels, cafes & restaurants rose 1.9%*mt*, driven primarily by restaurant meals, takeaway and dining out, supported by sporting and cultural events across Australia as well as higher hospitality prices.

Transport spending rose 1.4%*mt*, following April's sizeable decline associated with the halving of the fuel excise. The ABS noted that the increase largely reflected travel-related refunds returning to more typical levels after being significantly elevated in April due to flight cancellations associated with the Middle East conflict. Excluding air transport spending, total household spending would have risen 0.6%*mt*. Elsewhere, all remaining categories recorded gains, with food spending rising 1.1%*mt*, alcoholic beverages & tobacco 1.0%*mt*, furnishings & household equipment 0.8%*mt*, recreation & culture 0.8%*mt*, and health 0.2%*mt*.

State outcomes were broadly positive, with all jurisdictions except Tasmania recording gains. Tasmania declined -0.5%*mt*, while WA outperformed, rising 2.6%*mt*, its strongest result since 2022, consistent with the state's strength in non-fuel spending observed in our latest Westpac-DataX Card Tracker data (see [here](#)). Victoria (+1.7%*mt*), SA (+1.6%*mt*), Queensland (+1.1%*mt*) and NSW (+0.7%*mt*) also posted gains in the month.

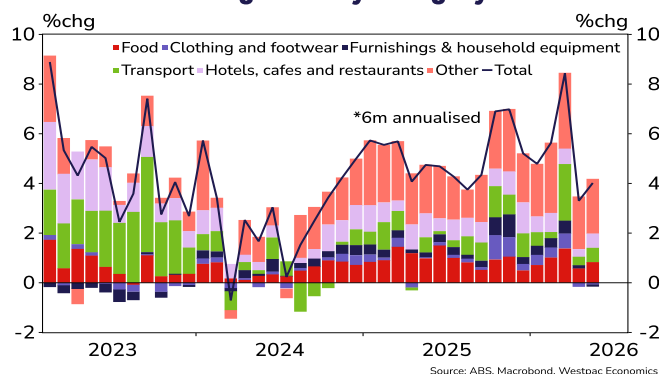
Looking ahead, the outlook for consumer spending remains soft. Our Westpac-DataX Card Tracker points to a clear moderation in activity excluding fuel through to end-May, while consumer sentiment declined further in June from already historically low levels, with cost-of-living pressures remaining front of mind (see [here](#)).

Household spending indicator – May 2026

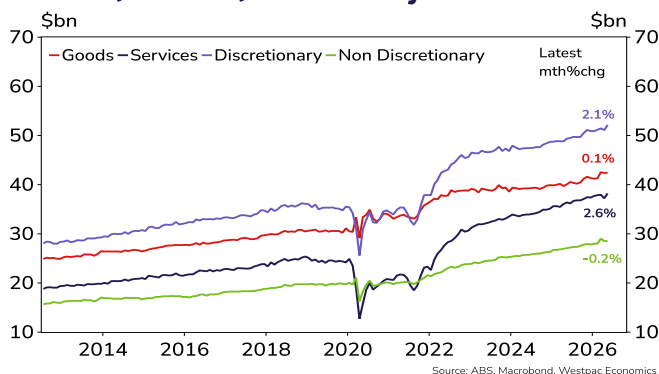
	\$bn	% chg mth		% chg yr	
	May-26	Apr-26	May-26	Apr-26	May-26
sa	80.64	-1.1	1.3	5.1	5.5
trend	80.20	0.4	0.3	5.1	5.1

Source: ABS, Macrobond, Westpac Economics.

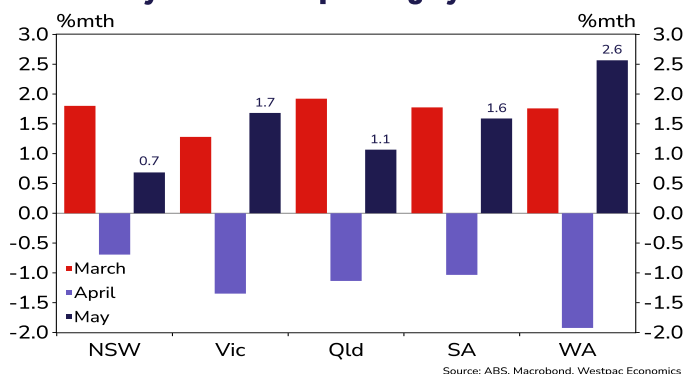
Contribution to growth by category



Goods, services, discretionary & non-discret.



Monthly household spending by state





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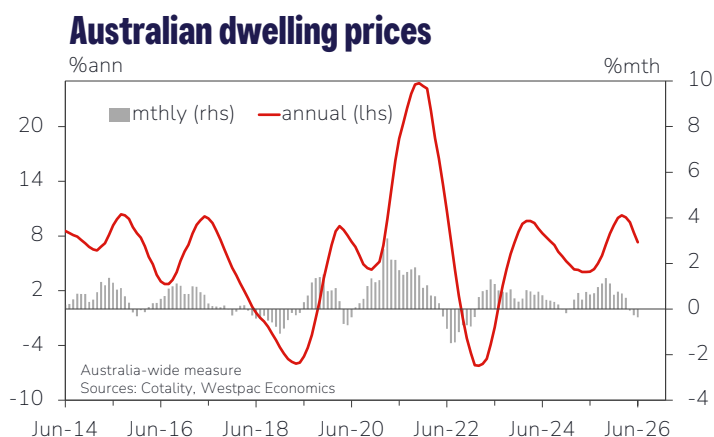
1 July 2026

AUSTRALIAN DWELLING PRICES BULLETIN

Sydney-Melbourne correction deepens

Key points

- The Cotality home value index – covering all of Australia – fell 0.4% in June, following a 0.3% decline in May and a 0.1% dip in April. Annual growth slowed to 7.3%yr. The quarterly decline is the most significant since the 2022-23 price correction.
- Corrections in Sydney and Melbourne are becoming more pronounced, led by material declines in 'top tier' segments with turnover also down sharply. Momentum is slowing elsewhere but price and turnover growth are still mostly positive.
- Uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term.



**June Cotality
home value
index: -0.4%**mth**;
+7.3%yr**

Markets heading south or slowing



Matthew Hassan
Head of Australian Macro-Forecasting

The Cotality home value index, covering all of Australia, fell 0.4% in June following a 0.3% decline in May and a 0.1% dip in April. The cumulative 0.7% fall over the quarter is the biggest quarterly decline since the 2022-23 correction. Annual growth has slowed to 7.3%yr.

The detail continues to show deepening price corrections in Sydney and Melbourne, a moderation in previously strong gains in Brisbane, Adelaide and Perth and slowing momentum in other cities and regional areas. Across the fifty detailed sub-markets covered, 28% recorded price declines in Q2 compared to 16% in Q1.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

The slowdown to date mainly reflects the rate hikes in February, March and May and uncertainty around the Middle East conflict with some likely added drag more recently from tax policy changes announced in the Federal budget in mid May.

Turnover is starting to weaken more materially in the Sydney and Melbourne markets where price corrections have been more pronounced. Preliminary estimates points to a 4.6%qtr decline in turnover nationally in Q2, following a 5%qtr decline in Q1. The same estimates point to falls of around 15%qtr for Sydney and Melbourne, compared to 7% declines in Q1. The gap between sales and new listings, which have been relatively steady, is narrowing quickly, particularly in these softer markets. The shift is reflected in auction markets, with clearance rates moving further below average in Sydney and Melbourne and a notable rise in pre-auction withdrawals.

By dwelling type, the price cycle continues to be slightly more pronounced houses than units. Price growth is also weaker for 'top-tier' properties across each market (defined as the top 25% of properties by value). Indeed, weighted across cities, prices in this segment declined 1% in June to be down 2.6%qtr. The same measures for mid and low price tiers show 1.4%qtr and 0.1%qtr declines respectively.

The June price results by capital city were as follows:

- **Sydney:** with a sharp 1.2% fall in June coming on top of a 1.1% decline in May, Sydney is now leading the correction nationally with prices down 3.2%qtr and annual price growth dropping back to just 0.3%yr. 'Top tier' houses are down more meaningfully, -4.6%qtr and -4.7%yr. 'Bottom tier' houses are still sitting on a 9%yr annual gain.

Cotality home value index: June 2026

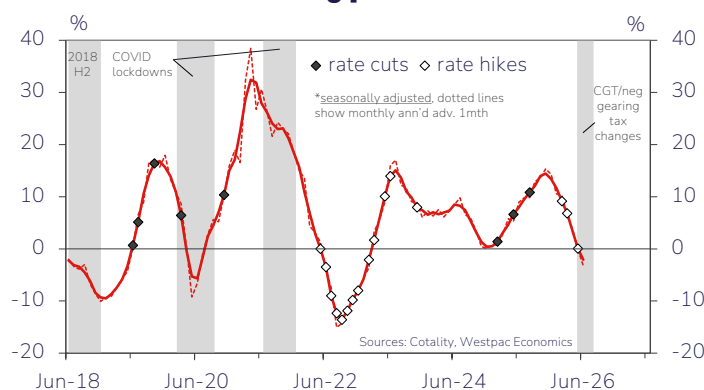
	%mth				%ann			
	Mar	Apr	May	Jun	Mar	Apr	May	Jun
Australia*	0.5	-0.1	-0.3	-0.4	10.0	9.5	8.4	7.3
seas. adjusted	0.3	0.0	-0.3	-0.2	10.0	9.6	8.5	7.4
- houses	0.5	-0.1	-0.3	-0.4	10.9	10.3	9.0	7.8
- units	0.4	-0.1	-0.1	-0.2	7.0	6.8	6.1	5.6
Major capital cities								
Sydney	-0.4	-0.9	-1.1	-1.2	5.2	4.1	2.1	0.3
Melbourne	-0.7	-0.8	-0.8	-1.0	3.3	2.1	0.6	-0.9
Brisbane	1.5	0.7	0.3	0.3	18.9	18.9	18.3	17.4
Adelaide	1.2	0.9	0.3	0.0	11.3	12.0	12.0	11.6
Perth	2.0	0.7	0.6	0.7	24.5	24.5	24.2	23.9
Turnover^	-5.0	-3.4	-3.2	-4.6	2.0	0.3	-1.8	-7.0

* Australia-wide measure, covering both capital cities and regional areas.

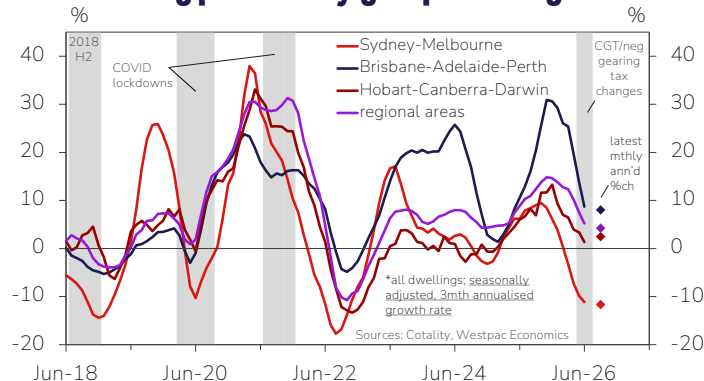
Sources: Cotality, Westpac Economics.

^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas

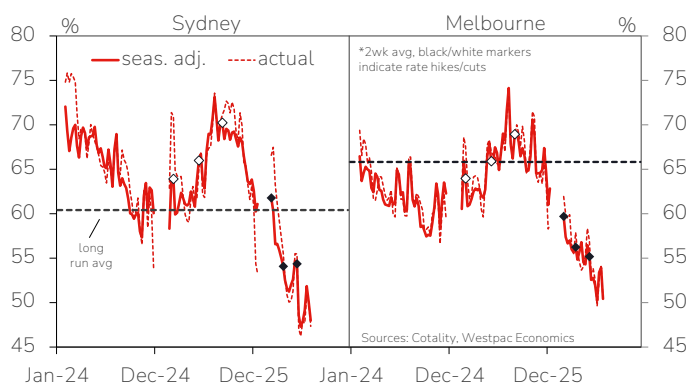


- **Melbourne:** a -1%^{mth} decline, a slight acceleration on the -0.8%^{mth} falls in May and April, leaving prices off 2.6%^{qtr} and tipping annual growth into outright negative (-0.9%^{yr}). 'Top tier' house prices are down 4.5%^{yr}, comparable to the weakness in this segment in Sydney. However, that follows a much poorer price performance in Melbourne in recent years – 'top tier' house prices have declined 4.4% since mid-2021 in Melbourne but are up 4.6% for this segment in Sydney and by just over a third for capital city dwelling prices more generally.
- **Brisbane:** prices rose 0.3% in June, in line with May's rise and consistent with a continued tapering in growth back from the very strong gains seen over the ten months to March. At 17.4%^{yr}, annual growth remains strong but gains have been tracking a 6% annualised pace more recently. The detail continues to show the familiar pattern of outperformance across lower-priced tiers although the wedge is narrowing. Notably, all tiers are still seeing positive, albeit slower, price growth.
- **Adelaide:** stalled flat in June, annual price growth slowing back 11.6%^{yr} with a clearer step-down in recent months. Interestingly, the detail here shows the latest slowing has been a little more pronounced for 'low and middle tier' segments. South Australia has seen a more meaningful rise in new dwelling construction than other states and this price pattern could be a sign that new supply is starting to ease pressures in some segments.

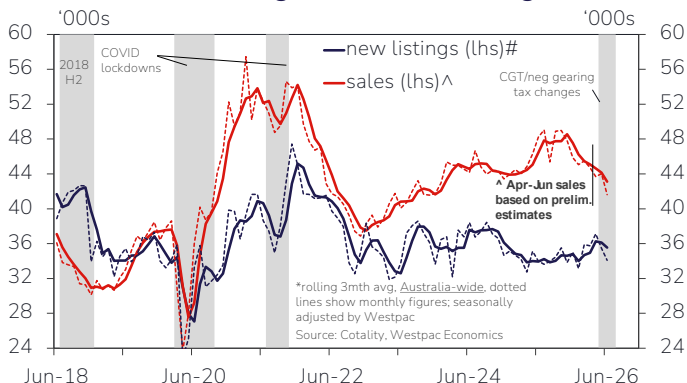
- **Perth:** continues to lead the major capitals price-wise posting another 0.7%^{mth} gain in June, broadly in line with May and April but a significant step-down on the string of 2%+ monthly rises between August and March. Annual price growth is still very strong at 24%^{yr} but gains in recent months have been at around a 10% annual pace.
- Outcomes across the smaller capitals were again more mixed, price growth holding up in Darwin (1.4%^{mth}, 19.8%^{yr}), more subdued in Hobart (0.6%^{mth}, 9.3%^{yr}), and dipping in Canberra (-0.6%^{mth}, 2.9%^{yr}).
- **Regional markets** showed flat prices in NSW and Victoria but and modest gains in Queensland (which includes the Gold and Sunshine Coasts).

Overall, the June update showed a similar picture to May with deepening corrections underway in Sydney and Melbourne and momentum slowing everywhere else. As we highlighted in our recent [Housing Pulse](#), tight supply, the likely absence of 'urgent' selling and relatively well anchored consumer price expectations should limit downside risks to prices going forwards. Notably, new listings are starting to show some pull back as well. However, current uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term. If these were to emerge, thin trading conditions could result in sharper price moves.

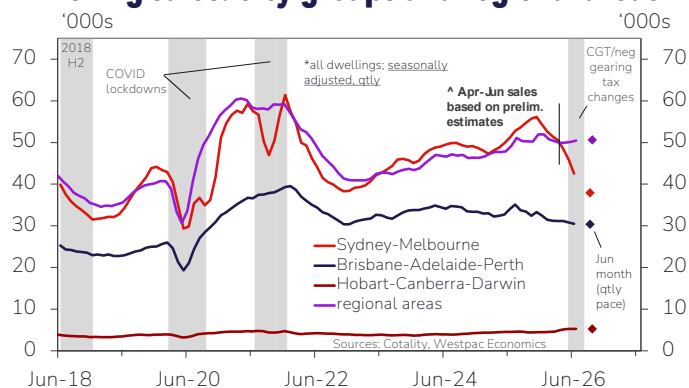
Auction clearance rates



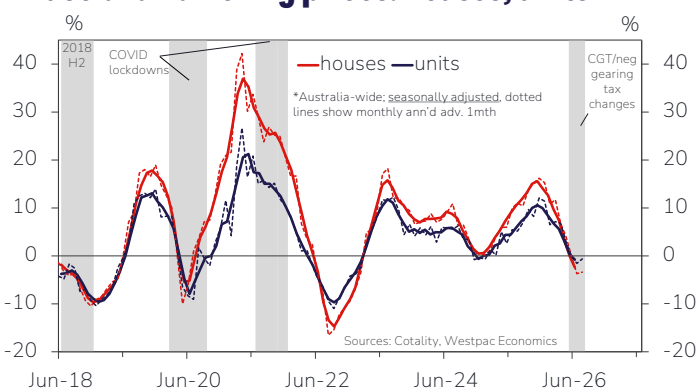
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas

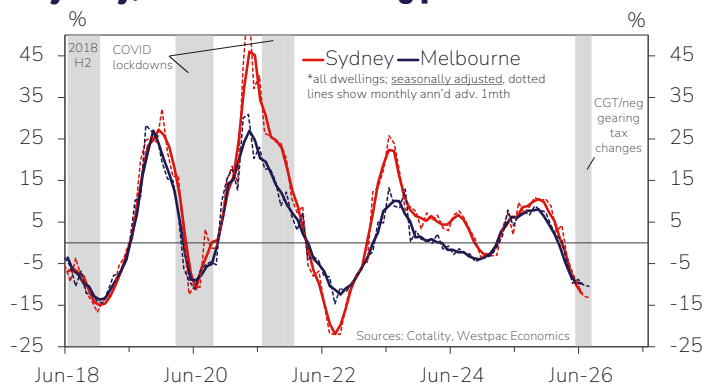


Australian dwelling prices: houses, units

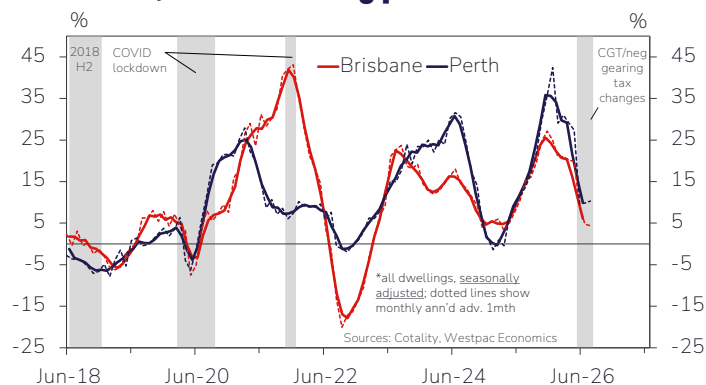


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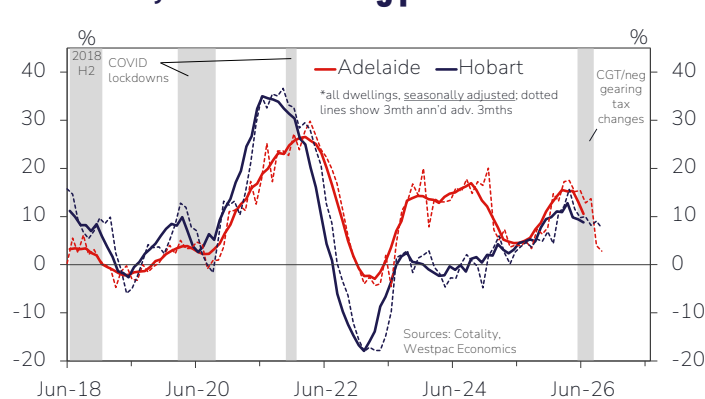
Sydney, Melbourne dwelling prices: 3mth ann'd



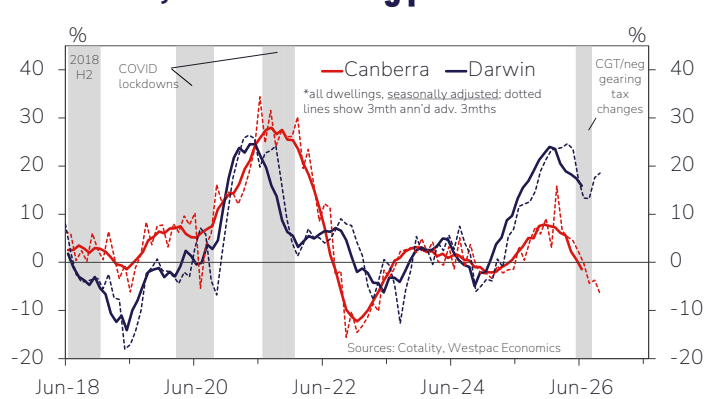
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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Q2 Job Vacancies: drifts lower

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By Neha Sharma
Economist, Westpac

15:00 June 25 2026

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The number of job vacancies fell by 7.1k (–2.1%) between February and May. Much of the decline was concentrated in public sector vacancies which fell –7.9%, with a shallower –1.4% drop in private sector vacancies.

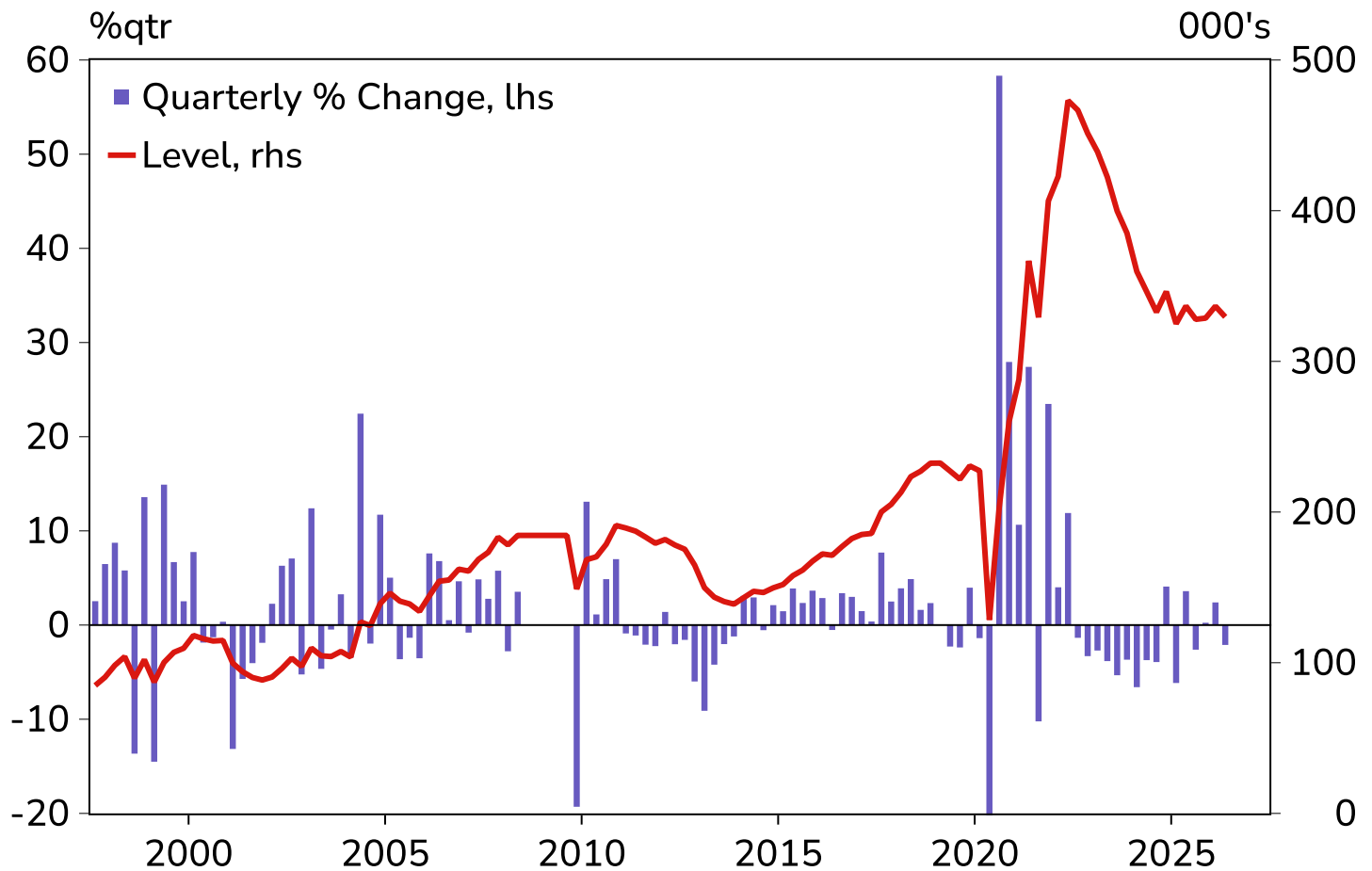


The number of job vacancies fell by 7.1k (–2.1%) between February and May, a slightly smaller decline than our expectation of a –3.5% quarterly fall. The February estimate was also revised lower, to 336.6k from 338.0k. Overall, today's result was broadly consistent with the softness signalled by the monthly partial indicators.

Much of the decline was concentrated in public sector vacancies which fell –7.9%, with a shallower –1.4% drop in private sector vacancies.

Despite the declines, vacancies have largely moved sideways since early 2025. Between 2022 and 2024, vacancies fell rapidly from their post-pandemic peak as labour supply recovered and labour market imbalances eased. The subsequent stabilisation is somewhat surprising given the gradual softening that has emerged in the labour market over the past year. Overall vacancies are still around 40% above pre-pandemic levels.

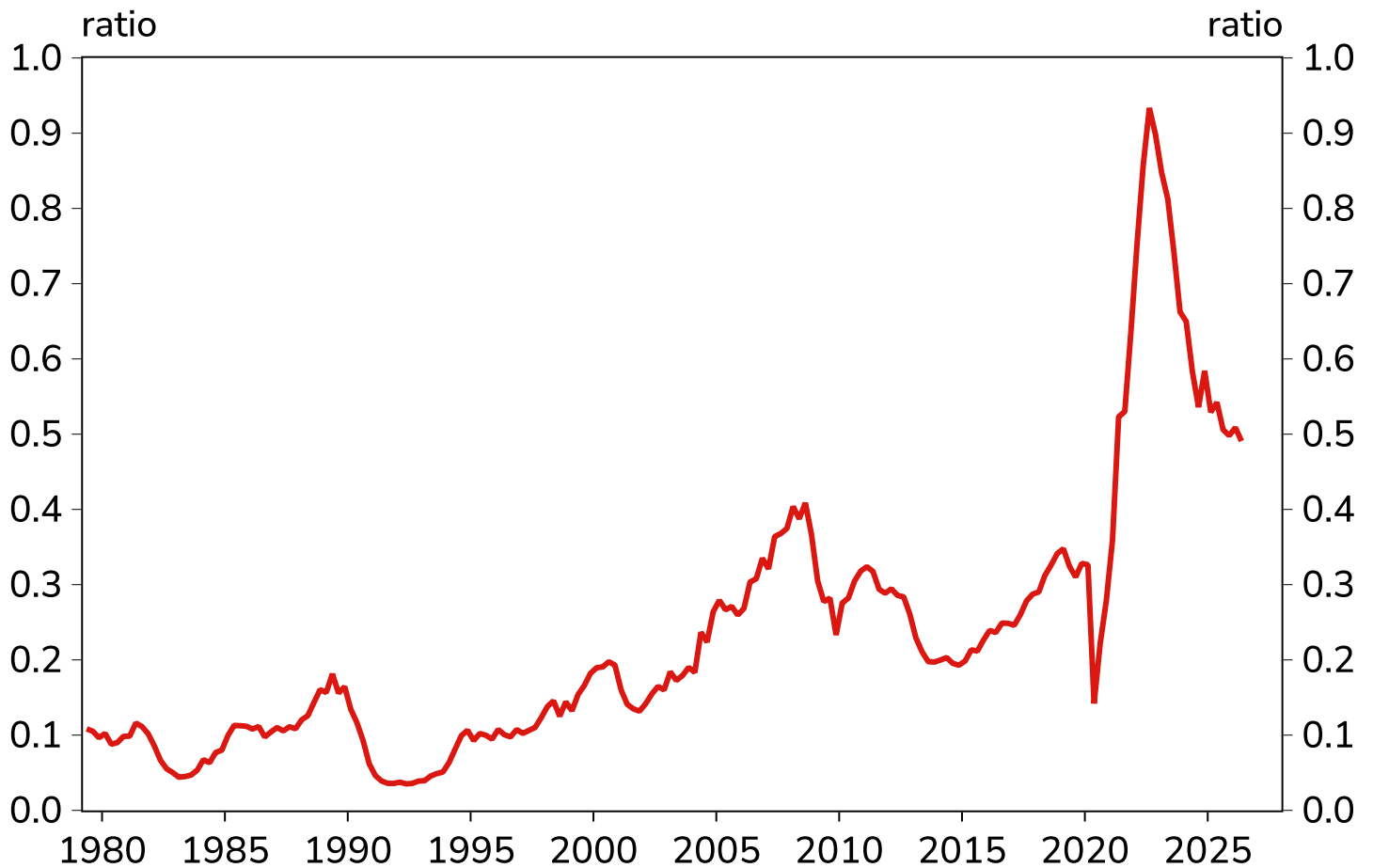
Job Vacancies



Source: ABS, Macrobond, Westpac Economics

The vacancy-to-unemployment ratio – a key measure of labour market tightness closely monitored by the RBA – continued its gradual and somewhat uneven decline, easing from 0.51 in February to 0.49 in May. This reflected both the fall in vacancies and a 1.4% increase in the number of unemployed people over the period. While the move points to a further easing in labour market tightness, the ratio remains well above its historical average of around 0.2.

Vacancy-to-Unemployment Ratio

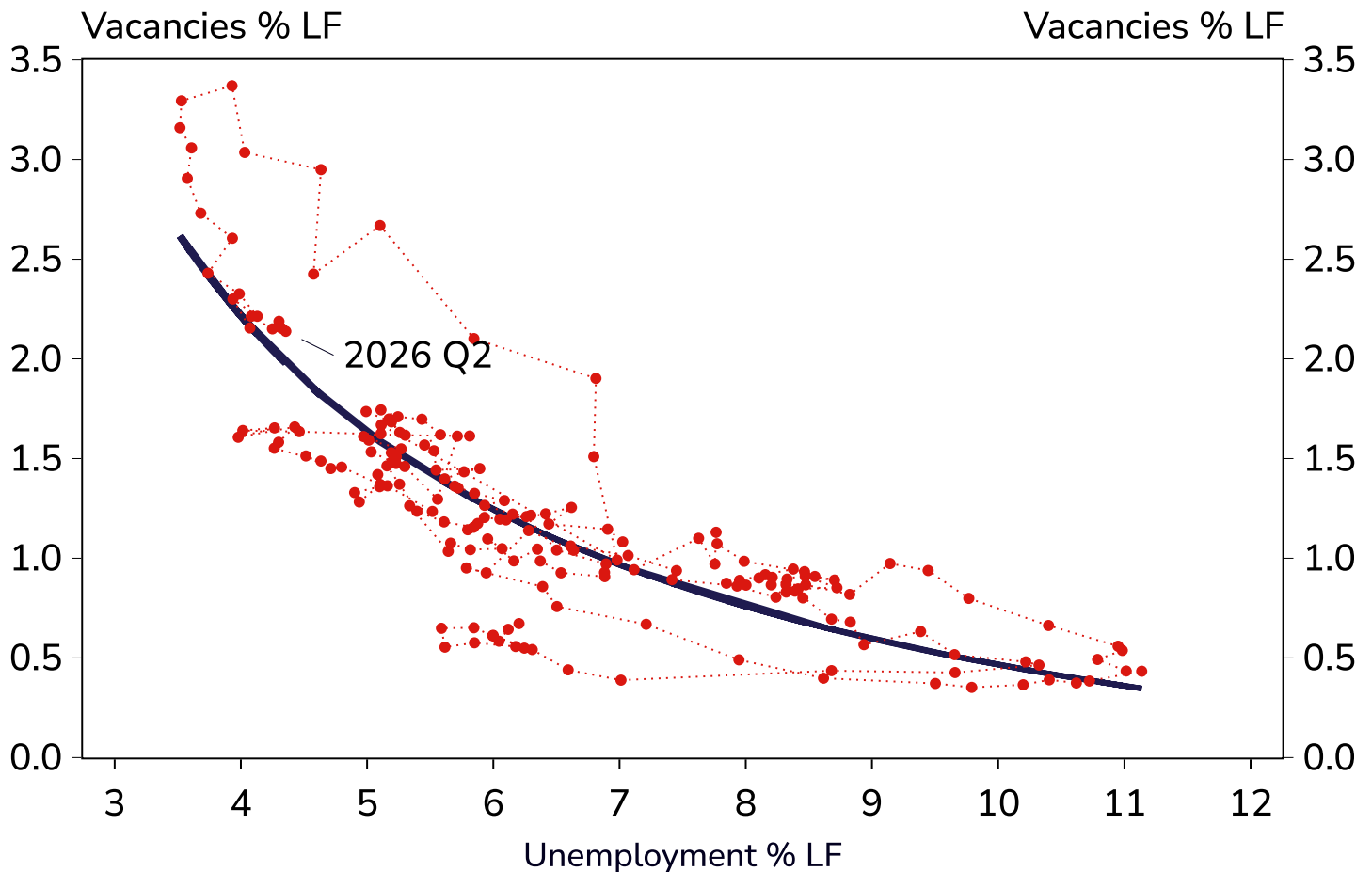


Source: ABS, Macrobond, Westpac Economics

The Beveridge curve can help us place recent developments in a historical context – comparing the relationship between vacancies and unemployment, each as a share of the labour force to better control for growth in the size of the overall labour market. Between 2022 and 2024, the labour market moved down the ‘steeper’ part of the Beveridge curve, where substantial declines in vacancies occurred alongside only modest increases in unemployment.

Vacancies have nudged lower over the past three months and at the same time the size of the labour force continued to grow. This drove the vacancy rate tick lower in the quarter but it was managed without a large increase in the unemployment rate suggesting that the labour market continues to operate around the steeper part of the Beveridge curve, in line with what is expected based on longer-run historical relationships.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

By industry, 14 of the 18 industries saw job vacancies decline over the three months. The largest fall was seen in financial & insurance services (–21.2%). This was followed by weakness in a string of consumer facing sectors including: food & accommodation (–16.3%); retail trade (–15.3%); and arts & recreation services (–13.3%). Areas with rises include manufacturing (16.7%), information, media & technology (9.1%), wholesale trade (5.3%) and mining (1.0%).

Overall market services vacancies fell –8.4%, the strongest since mid-2023. Other parts of the market sector saw vacancies rise 2.6%. Non-market sector vacancies fell –3.5%, with the largest declines concentrated in education & training (–6.8%)

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Week beginning 6 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: China's greatest opportunity and biggest threat.

The Week That Was: On the minds of policy makers.

Focus on New Zealand: Keep calm and focus on the data.

For the week ahead:

Australia: RBA Assistant Governor Hunter speaking.

New Zealand: RBNZ policy decision, Matariki public holiday.

Japan: Household spending, current account balance.

China: CPI, PPI, new lending data.

Euro Area: Retail sales, PPI, Sentix investor confidence.

United States: FOMC minutes, ISM services PMI, existing home sales, initial jobless claims.

Information contained in this report current as at 3 July 2026.

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China's greatest opportunity and biggest threat



Elliot Clarke
Head of International Economics,
Westpac Group

- The first half of 2026 has highlighted China's industrial strength. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.
- If authorities take the initiative and reset the consumer story, GDP growth at or above 4.5% can be sustained, even as the impetus from trade fades.
- Successfully holding Chinese GDP growth around 4.5% through 2028 should allow the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30.
- The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand its sourcing network across Asia, Africa and Latin America. Australia is therefore unlikely to receive a material, sustained dividend from increased commodity volumes.
- However, if we lean into Asia's development, our productivity and income prospects will grow, and our dollar strengthen.

The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline.

With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

"the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry."

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

Cliff Notes: on the minds of policy makers

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

This week's [RBA minutes](#) provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, "increasing the cash rate target" will be considered if required.

Last week's speech from [Deputy Governor Hauser](#) shed more light on the RBA's thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA's successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. [Cotality's](#) latest home value index fell 0.4% in June, Sydney and Melbourne's correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing [credit growth](#), evidence that the RBA's rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and [tight supply](#) will limit their scale.

Before moving offshore, a final note on trade. The [goods trade balance](#) surprised materially to the downside in May, flipping from a surplus of \$1.4bn to a deficit of \$3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June's result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in

June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from 2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the [ECB's Sintra Forum on Central Banking](#), highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

Keep calm and focus on the data

Westpac New Zealand
Economics team

We expect the Reserve Bank of New Zealand (RBNZ) will leave the Official Cash Rate (OCR) unchanged at 2.25% at its 8 July policy meeting, while maintaining a data-dependent tightening bias. The Monetary Policy Committee (MPC) is likely to emphasise that future policy adjustments will depend on evidence of second-round inflation pressures, sustained wage growth, and rising medium- to long-term inflation expectations. In addition, signs that the economic recovery is gaining traction and that the output gap is narrowing will also be important considerations in determining when policy tightening becomes appropriate.

The RBNZ's communications are expected to retain language indicating that OCR increases are likely at upcoming meetings. However, this guidance will increasingly be framed as conditional, rather than indicative of a predetermined path. This shift is important, as it reflects the MPC's intention to re-anchor expectations around the flow of data, particularly after markets became overly focused on the prospect of a July rate hike following the May Monetary Policy Statement (MPS).

While it is notable that three MPC members voted in favour of a rate hike in May, developments over the past six weeks have significantly altered the economic backdrop. In particular, the easing of tensions in the Middle East and the associated sharp decline in oil prices have materially reduced inflation risks. As a result, it is entirely plausible that a formal vote on raising the OCR may not be required at the July meeting.

If a vote does take place, we expect only a small minority to support an immediate increase. It is unlikely that members who favoured holding rates in May will shift towards tightening at this stage. In addition, those who previously supported a hike may instead prefer to wait for the upcoming flow of key economic data before revisiting the case for higher interest rates at the September meeting.

A key objective for the RBNZ's communications at this meeting will be to redirect market attention towards upcoming data releases as the key determinants of future OCR decisions. The MPC is likely to use this opportunity to correct the perception that a July hike was effectively "pre-committed." Instead, the Bank will reaffirm that its forward guidance is conditional and responsive to evolving economic conditions.

Looking further ahead, we expect the RBNZ to continue signalling a path towards eventual policy normalisation, but with a recalibrated timeline. Prior to the war in the Middle East, the MPC's baseline view, as articulated in their February

Statement, was for a single OCR increase no earlier than the end of 2026. Given that inflation remains above previous forecasts, the Bank may now indicate that the first increase could occur as early as September. However, this will likely be presented as a possibility rather than a certainty, with a clear emphasis on the need for supporting evidence.

The trajectory of tightening beyond the initial move is also expected to be gradual, particularly if second-round inflation pressures remain contained. And on that front, this week's business confidence survey showed that the number of businesses who are planning on raising prices has been dropping back again as oil prices have eased. This week's consumer confidence survey similarly showed that inflation expectations have dropped back to pre-Iran war levels. Evidence on persistent second round pricing pressures from oil prices now looks very thin indeed.

While consecutive rate increases from September cannot be ruled out, this scenario is unlikely to be presented as the central case. A slower pace of tightening would be more consistent with the gradual recovery in activity and less-worrying inflation outlook. Indeed, if incoming data point to weaker growth or if the detail of the June quarter inflation report (out on 21 July) is softer than expected, the start of the tightening cycle could be pushed back to December.

In terms of financial markets pricing, we anticipate some moderation in expectations for policy tightening over the remainder of 2026. Pricing is likely to converge towards one to two 25 basis point increases by year-end, with further adjustments contingent on the evolving data flow.

Arguments in favour of a July hike

Arguments in favour of an immediate rate hike have centred largely on interpretations of the May MPS as signalling a July move. However, we think that is a misinterpretation of what the RBNZ's projections intended to signal. While the RBNZ's May Statement did indicate that the OCR was expected to rise over the coming months, that was not a precommitment. The projected path for the OCR is always dependent on the evolution of economic conditions. Indeed, the Governor's remarks at the time deliberately emphasised uncertainty, noting that rate increases would depend on factors such as oil prices, the strength of growth, and evidence of persistent inflation pressures. Similarly, comments from Assistant Governor Silk have reinforced the message that all policy options remain on the table heading into the July review.

Other arguments for tightening include the recent depreciation of the New Zealand dollar, driven in part by widening interest rate differentials with other economies. While a weaker currency does add to inflation pressures, its persistence remains uncertain. Moreover, currency depreciation also supports the tradable sector and contributes to a rebalancing of the economy. As such, exchange rate movements alone are unlikely to justify an immediate policy response.

On the growth side, the easing of tensions in the Middle East is expected to provide some support to activity in the second half of 2026. Lower energy prices have improved the terms of trade and have already underpinned modest gains in business and consumer confidence. However, these improvements are unlikely to fully restore the more optimistic growth outlook presented in the February MPS. Survey evidence continues to point to weak momentum, with backward-looking indicators suggesting that the recovery remains in its early stages.

Arguments in favour of no change

In contrast, [the case for holding the OCR steady](#) is supported by several factors. Most notably, the sharp decline in oil prices (down around \$40 /barrel since May) has significantly altered the inflation outlook. Oil prices are now well below the levels assumed in the RBNZ's May projections, and forecasts for inflation have been revised lower. We now expect CPI inflation will peak at 4% in the June quarter before slowing to 3.5% by the end of this year. That would be well below the 4.1% rate the RBNZ assumed for year-end inflation in its May MPS projections.

Furthermore, with lower oil prices and near-term inflation, the risk of higher fuel costs passing through to a broader uplift in inflation pressures is also lower. That risk was a key concern highlighted by MPC members who voted for a hike in May. Measures of shorter-term inflation expectations have eased as energy prices have declined. Similarly, the labour market remains relatively soft, limiting the risk of wage-driven inflation.

Crucially, a substantial amount of new data will become available between the July and September meetings. This includes the June quarter CPI, business surveys, labour market indicators, and key measures of inflation expectations. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action, we suspect even more hawkish MPC members will now be content to see what this data reveals.

Economic activity also appears to have been subdued in the June quarter, with most indicators pointing to little or no growth. This suggests that the output gap may have widened, reinforcing the case for patience.

Globally, expectations for further interest rate increases have also moderated, with many central banks adopting a more cautious stance. This international backdrop supports a more measured approach by the RBNZ.

Scenarios

The most likely outcome remains a balanced approach that retains a tightening bias while underscoring data dependence. However, more hawkish and dovish possibilities exist including:

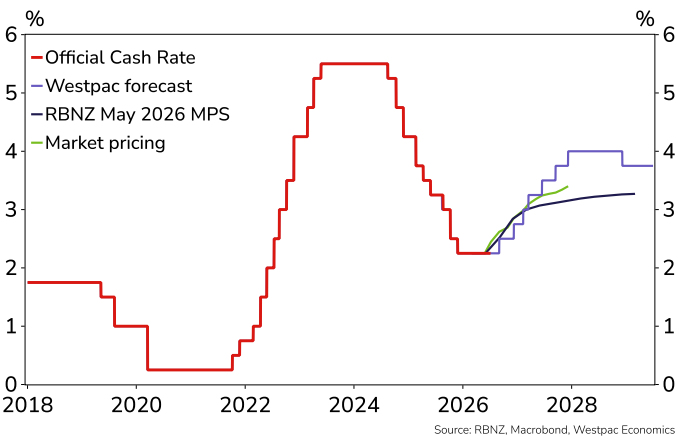
- A hawkish scenario where the OCR is increased and language suggesting the RBNZ's views haven't shifted much. In such circumstances, markets would assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. The press statement could note that evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and that such evidence is lacking at this stage. This is more plausible and we attach a 30% probability to this scenario.

NZ: RBNZ Monetary Policy Review

July 8, Last: 2.25%, Westpac: 2.25%, Market: 2.50%

We expect the RBNZ to leave the OCR at 2.25% at its 8 July Review. Much has changed over the past six weeks, most notably oil prices have fallen much more rapidly than expected. The related moderation in inflation pressure gives the RBNZ more time to wait-and-watch how the economy is tracking, especially with a large amount of important economic data to be released after the July review. Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the May Statement. While three MPC members had voted for a rate hike in May, we think the “on hold” decision may well be reached by consensus.

RBNZ Official Cash Rate



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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
Aus	Jun	MI Inflation Gauge	%ann	4.4	–	–	Provides a general gauge of inflation pressures.
	Jun	ANZ-Indeed Job Ads	%mth	1.8	–	–	Indicative of broadly stable labour demand.
NZ	Jun	ANZ Commodity Prices	%mth	0.7	–	–	Favourable supply and demand conditions supporting prices.
Eur	Jul	Sentix Investor Confidence	index	–13.4	–	–	Better news on US-Iran should support a recovery.
	May	PPI	%ann	4.9	–	–	Upstream price pressures mounting across Europe ...
	May	Retail Sales	%mth	–0.4	0.3	–	... and consumers are starting to feel the pinch.
US	Jun	S&P Global Services PMI	index	51.3	51.3	–	Final estimate.
	Jun	ISM Services PMI	index	54.5	54.1	–	Activity burgeoning, employment rising, prices surging.
Tue 07							
Jpn	May	Household Spending	%ann	–0.5	–2.3	–	Still in decline despite solid real wage gains.
US	May	Trade Balance	US\$bn	–55.9	–78.7	–	US upped oil exports materially in recent months.
Wed 08							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter speaking at 11:00am AEST.
NZ		RBNZ Policy Decision	%	2.25	2.50	2.25	RBNZ to hold the OCR but signal data-dependent rate rises.
Jpn	May	Current Account Balance	¥bn	3908	4120	–	Surplus strengthening underneath usual seasonal noise.
US	May	Wholesale Inventories	%mth	0.3	0.3	–	Final estimate.
	Jun	FOMC Minutes	–	–	–	–	Will provide more colour on the Committee's deliberations.
	May	Consumer Credit	\$bn	20.7	17.5	–	Credit flowing against a backdrop of income pressures.
Thu 09							
NZ	Jun	Manufacturing PMI	index	49.9	–	–	Business conditions starting to firm as oil prices have dropped.
Chn	Jun	CPI	%ann	1.2	1.1	–	Consumer inflation benign despite pressure from Middle East ...
	Jun	PPI	%ann	3.9	4.1	–	... aiding much-needed discretionary spending capacity.
	Jun	New YTD Loans	CNYbn	9110	11110	–	Credit growth softer than last year as domestic demand ...
	Jun	M2 Money Supply	%ann	8.6	8.4	–	... struggles to gain momentum note data due 9–15 July.
US		Initial Jobless Claims	000s	215	218	–	Still at low levels versus history.
	Jun	Existing Home Sales	%mth	3.2	0.9	–	Elevated mortgage rates keep sales volumes range-bound.
Fri 10							
NZ		Matariki Public Holiday	–	–	–	–	Public holiday, markets closed.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (3 July)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.39	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.41	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.80	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	32	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.48	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.73	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.39	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.45	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	-4	-10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (3 July)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6940	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5697	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.19	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1444	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3365	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7813	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2147	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	-	-	-	-
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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2 JUL 2026

WESTPAC-DATAX CARD TRACKER

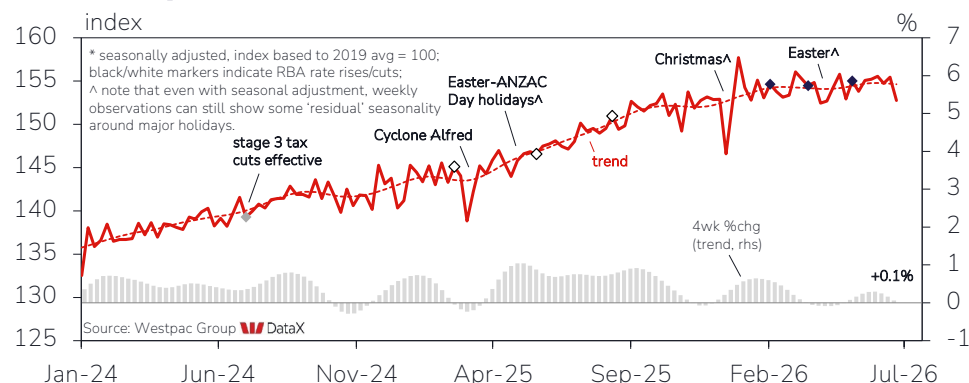
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Card activity still looking very subdued

- The **Westpac-DataX Card Tracker Index*** moved sideways through late May and most of June, declining sharply in the latest week. At 152.8, the Index read for the week ending June 27 is 2.3pts lower than month ago and on a par with Easter lows.
- The softening reflects a mixture of lower fuel prices and continued weakness in non-fuel spending.
- Quarterly growth momentum has seen a further slowing to around 0.2% in the most recent week, down from the 0.5% pace a month ago. This compares to a 1.3% pace seen in Q1 and the 2% average over the second half of 2025.
- Despite the pull back in the latest week, the monthly and weekly data suggest there has been a slight improvement in momentum since the start of June. This likely reflects some easing in budget pressures as fuel prices have declined.
- At a broad category level, the slight improvement in recent weeks has centred on discretionary segments, services in particular. Growth across essentials has dipped into slight negative, partly due to lower fuel prices rather than weaker volumes. Some of the pick-up in discretionary may also be price-related.
- By state, both the slowing in momentum compared to a month ago and the slight lift in recent weeks have been fairly broad based. Activity has been weaker in NSW where consumer-related card transactions are contracting at a 0.4% quarterly pace with a much more muted lift over the last month. Notably, Victoria is now seeing gains more in line with the pace nationally, having underperformed materially over Q4 and Q1.
- While there are still a few days of transactions and potential revisions to come, the latest figures suggest Q2 is headed for a subdued 0.2%qtr gain in nominal consumer-related card activity. That in turn points to a likely decline in real, inflation-adjusted terms. The broader consumption measure in the national accounts will get some additional positives. In particular, vehicle sales, which are undercovered in the card data, look to have posted a robust 5%qtr gain in Q2. But at this stage the risks to our forecast of a flat result for real spending look tilted slightly to the downside.

“... Q2 is headed for a subdued 0.2%qtr gain ...”

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.

Matthew Hassan, Head of Australian Macro-Forecasting

Email: economics@westpac.com.au

This issue was finalised on 3 July 2026.

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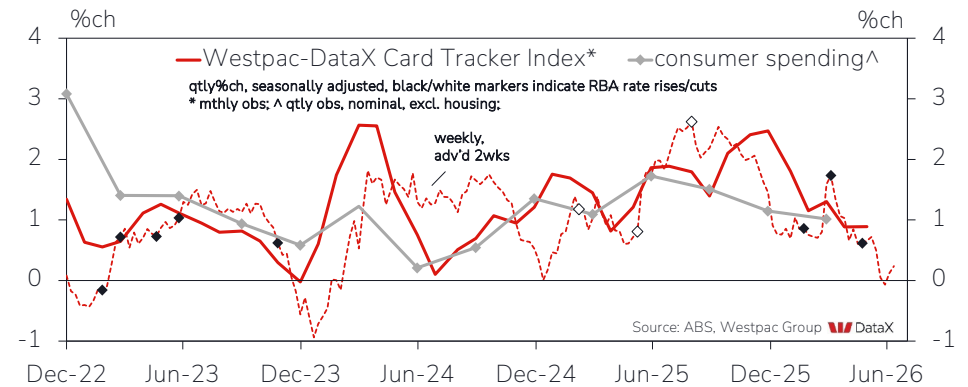
Quarterly momentum stalls but partly due to lower fuel prices

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a further moderation since early June, dropping to just 0.2% in the latest week, down from 1.3% in Q1. This is the slowest pace since the start of 2025, and prior to that, since the start of 2024.
- The same growth rate excluding fuel is 0.3%qtr, a slightly firmer pace with the slowdown on this measure coming through more in May than June.
- The implication is that some of the more recent softening in quarterly growth is due to a price-driven slowing in fuel spend. The latest weekly updates point to monthly growth holding about flat. Fuel price effects are likely to turn positive again as the temporary fuel excise tax cut is reduced from July 1.
- The ABS household spending indicator recorded a 1.3%^{mt} rise in May, fully reversing April's -1.1%^{mt} fall but broadly in line with the signal from our card tracker (see [here](#)).
- The June update, including estimates of real spending for Q2 will be released on August 4.

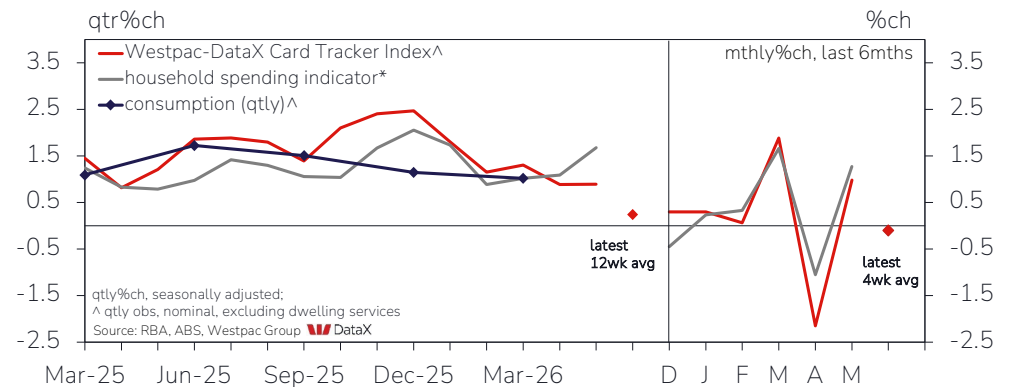
qtrly%ch	Q3	Q4	Q1	latest [^]
Westpac-DataX Card Tracker	1.4	2.5	1.3	0.2
ABS monthly household spending indicator*				
Nominal	1.1	2.1	1.0	1.7
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtrly)#				
Nominal	1.5	1.1	1.0	n.a.
Real	0.5	0.4	0.5	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



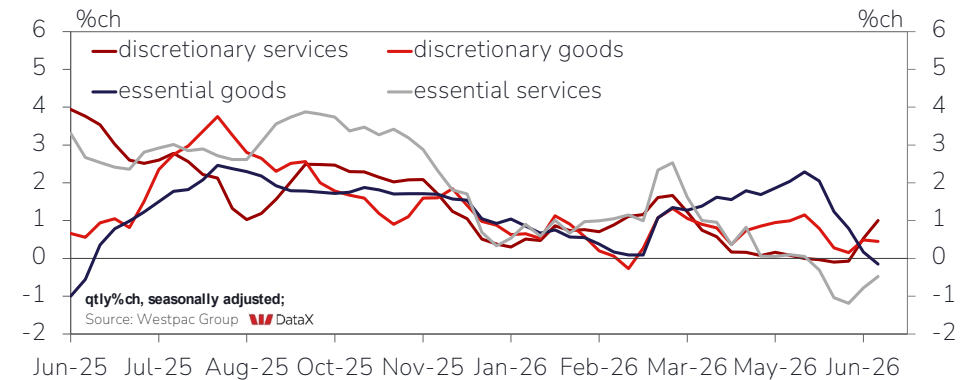
Essentials contract, discretionary perks up a little

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown since Q1 has been fairly broad-based but slightly more pronounced for essentials which have seen quarterly growth dip into negative (noting that for essential goods that this is partly due to the unwinding fuel price spike).
- Discretionary categories have also seen growth moderate. However, momentum has perked up a little in recent weeks, particularly for the discretionary services segments. The sub-category detail here points to slightly firmer tone to travel and hospitality spend. Note that this may also be partly a price story.
- Chart 5 shows card activity across the major states. Again the picture is of a broad-based slowing since Q1. NSW has posted a slightly more pronounced moderation with quarterly growth now weak at -0.4%qtr. This compares to flat growth in Queensland and South Australia and slight positives in Victoria (+0.3%qtr) and Western Australia (+0.4%qtr).
- Card activity is notably firmer in Victoria compared to the lows in late 2025/early 2026 when the state was a marked underperformer. South Australia has also improved in a relative sense although growth is a touch weaker in absolute terms.

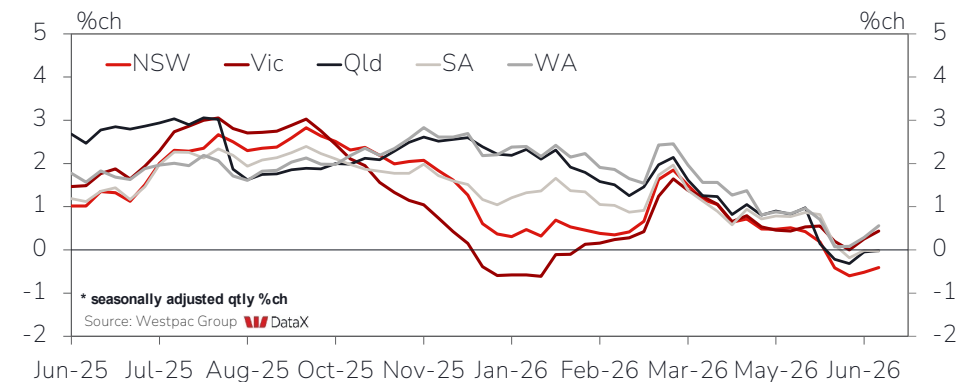
	Mar	Apr	May	27/6
Westpac-DataX Card Tracker	157.4	154.0	155.5	152.8
By category				
– discretionary*	156.4	153.8	157.1	155.6
– essential*	155.9	151.5	151.2	147.3
By state				
– NSW	149.1	148.8	149.0	147.4
– Vic	147.7	144.3	146.2	145.7
– Qld	169.4	168.9	169.1	168.4
– WA	172.1	169.9	172.1	171.1
– SA	165.5	162.1	163.6	159.8

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.
 * indexes revised due to re-classification.
 Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

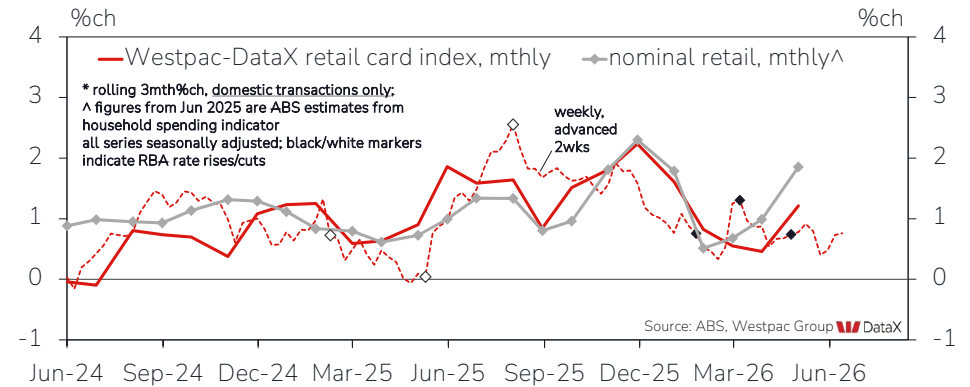


Retail segments faring slightly better than others in May

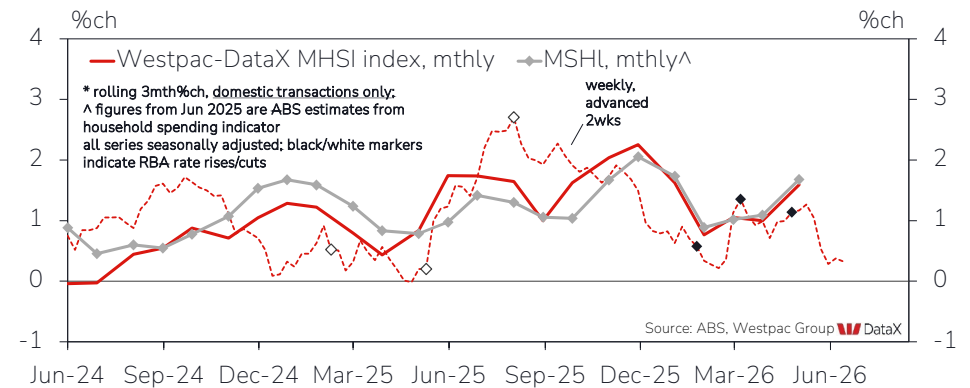
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures show quarterly momentum slowing with retail outperforming wider measures of spending slightly. Note that fuel spend is in-scope for the MHSI measures but out of scope for the retail card index.
- As noted, the latest ABS MHSI showed a 1.3% rise in May, quarterly growth lifting to 1.7%qtr.
- Our MHSI index had the quarterly pace running at 1.7% in May, the latest weekly read point to an abrupt slowing to 0.3%qtr in June. That points to a significant pull-back in the June month. While much of that reflects lower fuel prices, our retail index suggests retail components have also moderated in the month.
- Note that compared to our wider WCTI index, these measures exclude electricity, education, insurance and other services as well as international transactions. The ABS MHSI also includes separate data on new vehicle sales.

	Mar	Apr	May	27/6
MHSI card index	154.6	152.1	153.4	150.7
– qtly%ch	1.0	1.0	1.6	0.3
– qtly, ann%ch	6.2	6.1	6.2	4.9
ABS MHSI				
– %ch	1.7	-1.1	1.3	n.a.
– qtly%ch	1.0	1.1	1.7	n.a.
– qtly ann%ch	5.4	5.6	5.4	n.a.
Retail card index	152.3	151.8	154.4	151.8
– qtly%ch	0.6	0.5	1.2	0.8
– qtly, ann%ch	5.6	5.3	5.6	5.1
ABS retail sales				
– %ch	1.2	-0.6	-0.4	n.a.
– qtly%ch	0.7	1.0	1.9	n.a.
– qtly ann%ch	4.8	5.0	4.8	n.a.

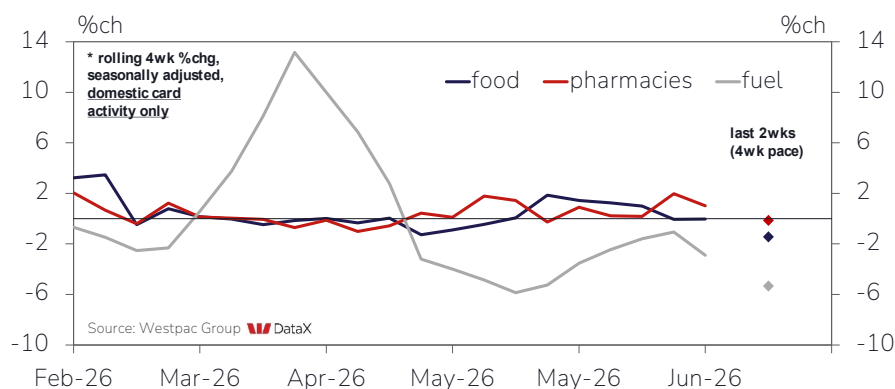
6. Card activity: retail



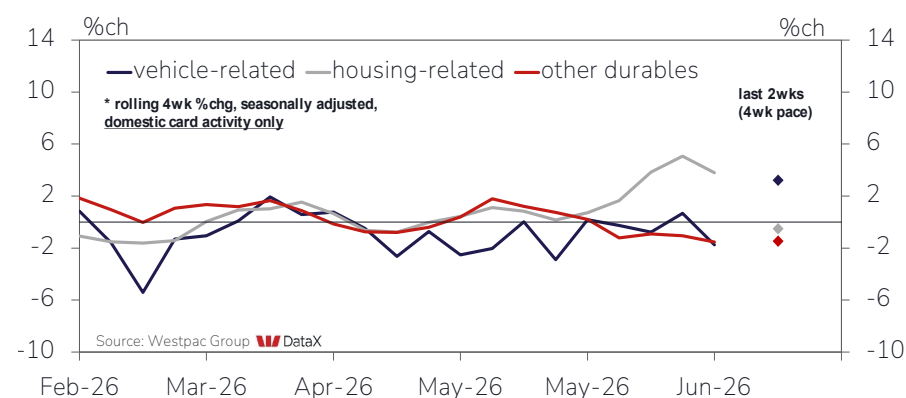
7. Card activity: MHSI measures



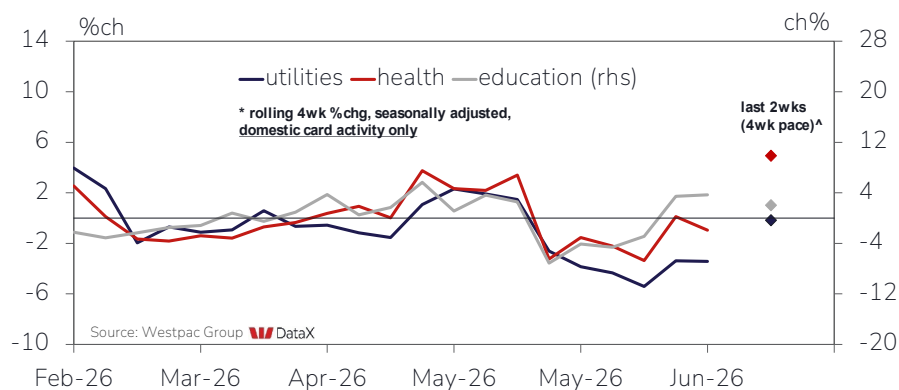
12. Card activity: essential goods



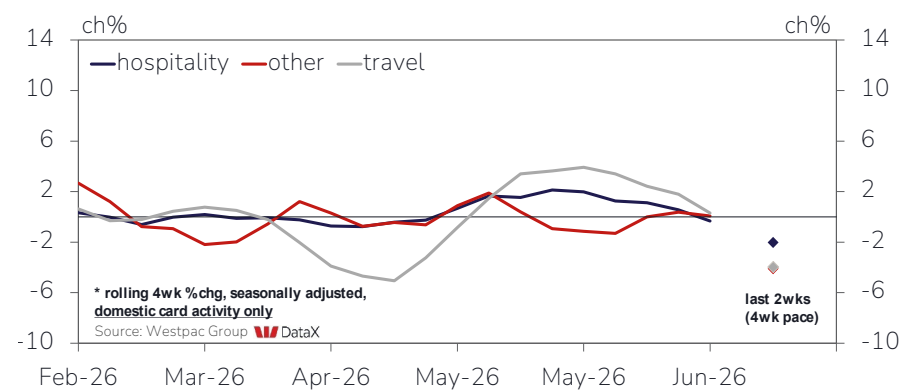
13. Card activity: discretionary goods



14. Card activity: essential services

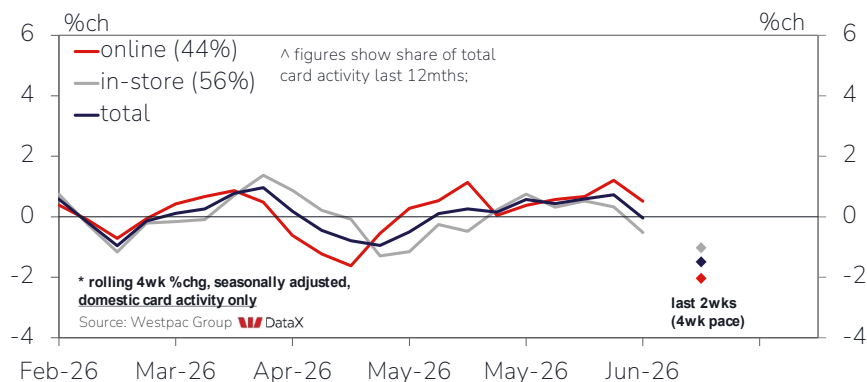


15. Card activity: discretionary services

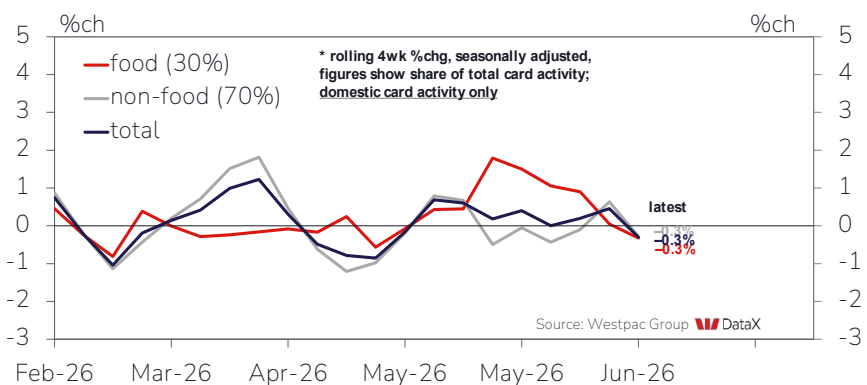


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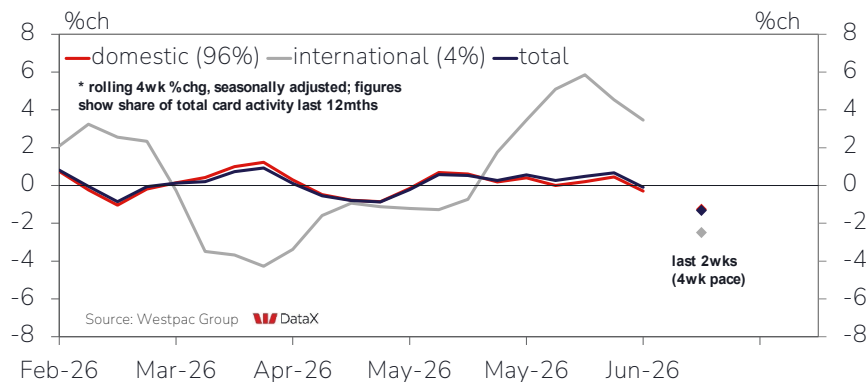
16. Card activity: online and in-store



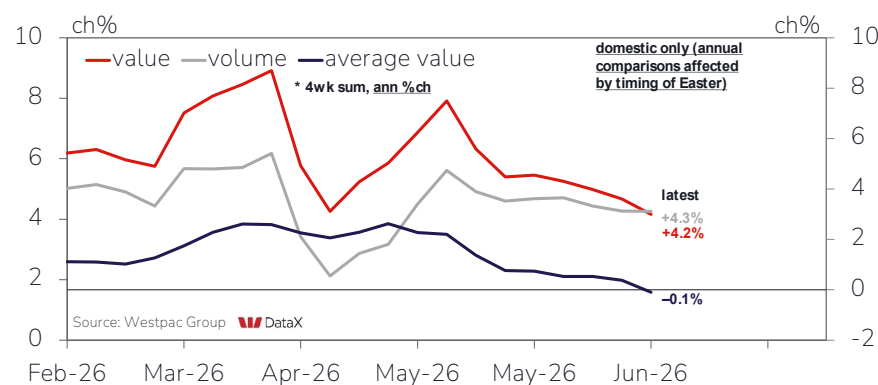
18. Card activity: food and non-food



17. Card activity: domestic and international



19. Card activity: value and volume



	2024			2025			2026			week ending:					
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Mar	Apr	May	6/6	13/6	20/6	27/6
Westpac–DataX Card Tracker Index	140.2	141.2	142.9	145.0	147.7	149.7	153.4	155.4	157.4	154.0	155.5	155.6	154.7	155.5	152.8
qtly%ch	0.7	0.7	1.2	1.4	1.9	1.4	2.5	1.3	1.3	0.9	0.9	0.0	-0.1	0.1	0.2
qtly, ann%ch	4.2	4.0	5.3	4.1	5.3	6.1	7.4	7.2	7.2	6.8	6.4	5.7	5.5	5.4	5.3
By category															
– discretionary	141.6	143.1	145.5	146.2	149.3	151.2	155.4	156.0	156.4	153.8	157.1	158.1	157.1	159.0	155.6
– essential	137.8	138.0	138.4	141.6	143.6	145.9	148.4	151.7	155.9	151.5	151.2	150.7	149.8	149.6	147.3
services	145.5	147.6	150.4	153.2	156.4	159.9	164.3	166.2	166.2	161.8	164.7	167.0	165.4	166.6	164.1
– discretionary services	148.0	151.0	154.5	155.1	158.7	161.2	166.3	166.9	166.5	162.3	166.5	170.2	167.9	170.1	167.1
– essential services	141.8	142.8	144.7	150.5	153.1	157.9	161.3	165.3	165.7	161.2	162.2	162.5	161.8	161.6	159.7
goods	135.1	134.9	135.2	136.4	138.4	139.3	141.9	143.8	147.8	145.2	145.6	144.1	143.7	144.4	141.4
– discretionary goods	134.8	134.7	136.0	136.7	139.3	140.5	143.7	144.5	145.5	144.7	147.2	145.2	145.6	147.2	143.4
– essential goods	135.4	135.1	134.6	136.1	137.7	138.4	140.3	143.2	149.8	145.6	144.2	143.2	142.2	142.0	139.7
MHSI card index*	140.0	140.8	142.3	143.4	145.9	147.3	150.7	152.2	154.6	152.1	153.4	152.9	152.3	154.0	150.7
qtly%ch	0.3	0.5	1.0	0.8	1.7	1.0	2.3	1.0	1.0	1.0	1.6	0.5	0.3	0.4	0.3
qtly, ann%ch	3.3	3.2	4.6	2.7	4.2	4.7	5.9	6.2	6.2	6.1	6.2	5.6	5.3	5.0	4.9
retail card index*	140.0	141.1	142.6	143.4	146.1	147.3	150.6	151.5	152.3	151.8	154.4	153.6	153.5	153.9	151.8
qtly%ch	-0.3	0.7	1.1	0.6	1.9	0.8	2.2	0.6	0.6	0.5	1.2	0.4	0.5	0.7	0.8
qtly, ann%ch	2.6	2.9	4.1	2.1	4.3	4.4	5.6	5.6	5.6	5.3	5.6	5.4	5.3	5.1	5.1
By state															
– NSW	135.7	136.4	138.5	139.6	142.4	144.2	148.2	148.6	149.1	148.8	149.0	149.9	148.4	149.7	147.4
– Vic	134.6	135.8	136.9	138.2	139.8	142.8	144.8	146.1	147.7	144.3	146.2	148.6	148.2	148.9	145.7
– Qld	148.9	151.0	153.2	154.8	159.4	162.3	167.8	168.7	169.4	168.9	169.1	171.2	170.2	170.8	168.4
– WA	148.7	151.1	153.4	156.5	159.7	162.8	167.8	170.4	172.1	169.9	172.1	175.5	176.1	174.3	171.1
– SA	146.9	147.8	149.9	152.2	154.4	157.3	160.3	162.0	165.5	162.1	163.6	163.9	161.8	164.2	159.8

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



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Economic Calendar

July 2026



MON	TUE	WED	THU	FRI
		1	2	3
		AUSTRALIA Cotality Home Value Index Jun exp -0.5% prev -0.1% (11:30am) Dwelling Approvals May exp -1.0% prev -3.4% (11:30am) CHINA RatingDog Manufacturing PMI Jun exp 52.0 prev 51.8 (11:45am) EURO ZONE CPI Jun y/y (P) exp 3.0% prev 3.2% (7:00pm) JAPAN Tankan Large Manufacturers Index Q2 exp 16 prev 17 (9:50am) UNITED KINGDOM Nationwide House Prices Jun prev -0.6% (4:00pm) UNITED STATES ADP Employment Change Jun exp 120k prev 122k (10:15pm) ISM Manufacturing Jun exp 53.8 prev 54.0 (12:00am) Construction Spending May exp 0.2% prev 0.4% (12:00am) GLOBAL S&P Global Manufacturing PMI Jun (F) ECB Forum Panel – Warsh, Lagarde, Bailey, Macklem (11:00pm)	AUSTRALIA Goods Trade Balance May exp \$2.5bn prev \$1.8bn (11:30am) EURO ZONE Unemployment Rate May exp 6.3% prev 6.3% (7:00pm) NEW ZEALAND Building Permits May prev 10.9% (8:45am) UNITED STATES Employment Report Jun (10:30pm) Nonfarm Payrolls Chg exp 110k prev 172k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.3% Factory Orders May exp -2.0% prev 4.8% (12:00am) Durable Goods Orders May (F) exp -4.5% prev -4.5% (12:00am)	CHINA RatingDog Services PMI Jun exp 53.0 prev 54.4 (11:45am) NEW ZEALAND ANZ Consumer Confidence Jun prev 86.5 (8:00am) UNITED STATES Independence Day – Markets Closed GLOBAL S&P Global Services PMI Jun (F)
6	7	8	9	10
AUSTRALIA MI Inflation Gauge Jun y/y prev 4.4% (11:00am) ANZ-Indeed Job Ads Jun prev 1.8% (11:30am) EURO ZONE Ger. Factory Orders May prev -3.8% (4:00pm) Sentix Investor Confidence Jul prev -13.4 (6:30pm) PPI May y/y prev 4.9% (7:00pm) Retail Sales May prev -0.4% (7:00pm) UNITED STATES S&P Global Services PMI Jun (F) prev 51.3 (11:45pm) ISM Services Jun prev 54.5 (12:00am)	CHINA Foreign Reserves Jun prev US\$3442bn EURO ZONE Ger. Industrial Production May prev 0.4% (4:00pm) JAPAN Household Spending May y/y prev -0.5% (9:30am) UNITED STATES Trade Balance May prev -US\$55.9bn (10:30pm)	AUSTRALIA RBA's Hunter – Speech (11:00am) JAPAN Current Account May prev ¥3907.8bn (9:50am) NEW ZEALAND RBNZ Policy Decision prev 2.25% (12:00pm) UNITED STATES FOMC Minutes (4:00am) Consumer Credit May prev US\$20.733bn (5:00am)	CHINA CPI Jun y/y prev 1.2% (11:30am) PPI Jun y/y prev 3.9% (11:30am) NEW ZEALAND BusinessNZ Mfg PMI Jun prev 49.9 (8:30am) UNITED STATES Existing Home Sales Jun prev 3.2% (12:00am)	NEW ZEALAND Matariki – Markets Closed

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian and New Zealand data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Economic Calendar

July 2026



MON	TUE	WED	THU	FRI
13 NEW ZEALAND Performance Services Index Jun prev 47.5 (8:30am)	14 AUSTRALIA Westpac-MI Consumer Sentiment Jul prev 80.6 (10:30am) NAB Business Survey Jun (11:30am) Conditions prev 3 Confidence prev -14 CHINA Exports Jun y/y prev 19.4% Imports Jun y/y prev 27.4% Trade Balance Jun prev US\$105.43bn JAPAN Industrial Production May (F) prev 0.5% (2:30pm) NEW ZEALAND Net Migration May prev 3090 (8:45am) UNITED STATES NFIB Small Business Optimism Jun prev 95.3 (8:00pm) CPI Jun prev 0.5% (10:30pm) Fedspeak - Goolsbee (3:00am)	15 CHINA GDP Q2 y/y prev 5.0% (12:00pm) Activity Indicators Jun ytd y/y (12:00pm) Retail Sales prev 1.4% Industrial Production prev 5.4% Fixed Asset Investment prev -4.1% EURO ZONE Industrial Production May prev 0.1% (7:00pm) JAPAN Core Machinery Orders May prev 8.7% (9:50am) NEW ZEALAND Retail Card Spending Jun prev 1.7% (8:45am) UNITED STATES NY Fed Empire Manufacturing Jul prev 5.7 (10:30pm) PPI Jun y/y prev 6.5% (10:30pm)	16 AUSTRALIA MI Inflation Expectations Jul y/y prev 5.5% (11:00am) EURO ZONE Trade Balance May prev €1.3bn (7:00pm) UNITED KINGDOM Monthly GDP May prev -0.1% (4:00pm) UNITED STATES Phily Fed Manufacturing Index Jul prev 10.3 (10:30pm) Retail Sales Jun prev 0.9% (10:30pm) NAHB Housing Market Index Jul prev 35 (12:00am) Business Inventories May prev 0.5% (12:00am) Pending Home Sales Jun prev 3.8% (12:00am)	17 EURO ZONE CPI Jun (F) (7:00pm) NEW ZEALAND Selected Price Indices Jun (8:45am) UNITED STATES Import Price Index Jun prev 1.9% (10:30pm) Housing Starts Jun prev -15.4% (10:30pm) Building Permits Jun (P) prev -0.9% (10:30pm) Industrial Production Jun prev 0.1% (11:15pm) UoM Consumer Sentiment Jul (P) prev 49.5 (12:00am)
20 NEW ZEALAND Trade Balance Jun prev NZ\$800mn (8:45am) UNITED KINGDOM Rightmove House Prices Jul prev -0.6% (9:01am) UNITED STATES Leading Index Jun prev 0.1% (12:00am)	21 EURO ZONE EU ZEW Expectations Jul prev 9.5 (7:00pm) NEW ZEALAND CPI Q2 (8:45am) q/q prev 0.9% y/y prev 3.1% UNITED KINGDOM Public Sector Borrowing Jun prev £23.3bn (4:00pm) ILO Unemployment Rate May prev 4.9% (4:00pm)	22 AUSTRALIA Westpac-MI Leading Index Jun ann'd prev -0.17% (10:30am) UNITED KINGDOM CPI Jun y/y prev 2.8% (4:00pm)	23 AUSTRALIA Labour Force Survey Jun (11:30am) Employment Change exp 15k prev 40.3k Unemployment Rate exp 4.4% prev 4.4% Participation Rate exp 66.7% prev 66.7% EURO ZONE ECB Policy Decision (Deposit Rate) prev 2.25% (10:15pm) EC Consumer Confidence Jul (P) prev -17.7 (12:00am) UNITED STATES Chicago Fed Nat Act Index Jun prev -0.1% (10:30pm) Kansas City Fed Manufacturing Index Jul prev 11 (1:00am)	24 JAPAN CPI Jun y/y prev 1.5% (9:30am) UNITED KINGDOM GfK Consumer Sentiment Jul prev -23 (9:01am) Retail Sales Jun prev 1.2% (4:00pm) UNITED STATES New Home Sales Jun prev -7.3% (12:00am) GLOBAL S&P Global PMIs Jul (P) Manufacturing Services

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian and New Zealand data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Economic Calendar

July 2026



MON	TUE	WED	THU	FRI
27 CHINA Industrial Profits Jun y/y prev 21.1% (11:30am) EURO ZONE IFO Business Climate Survey Jul prev 85.6 (6:00pm) M3 Money Supply Jun y/y prev 3.2% (6:00pm) UNITED STATES Durable Goods Orders Jun (P) (10:30pm) Dallas Fed Manufacturing Index Jul prev 0.0 (12:30am)	28 AUSTRALIA RBA's Bullock – Speech (1:05pm) UNITED STATES FHFA House Prices May (11:00pm) S&P CoreLogic CS House Prices May (11:00pm) Richmond Fed Manufacturing Index Jul prev 4 (12:00am) Consumer Confidence Index Jul (12:00am)	29 AUSTRALIA CPI Q2 (11:30am) Headline q/q exp 1.0% prev 1.4% Headline y/y exp 4.4% prev 4.1% Trimmed Mean q/q exp 1.0% prev 0.8% Trimmed Mean y/y exp 3.8% prev 3.5% NEW ZEALAND Filled Jobs Jun prev 0.3% (8:45am) UNITED STATES FOMC Policy Decision prev 3.625% (4:00am)	30 AUSTRALIA RBA's Hunter – Fireside Chat (8:40am) Dwelling Approvals Jun (11:30am) Trade Price Indices Q2 (11:30am) Export Prices prev 0.5% Import Prices prev 0.1% EURO ZONE EC Economic Confidence Jul (7:00pm) EC Consumer Confidence Jul (F) (7:00pm) GDP Q2 (P) prev –0.2% (7:00pm) Unemployment Rate Jun (7:00pm) NEW ZEALAND ANZ Business Confidence Jul prev 36.6 (11:00am) UNITED KINGDOM BoE Policy Decision prev 3.75% (9:00pm) UNITED STATES Personal Income Jun prev 0.7% (10:30pm) Personal Spending Jun prev 0.7% (10:30pm) PCE Deflator Jun prev 0.4% (10:30pm) GDP Q2 (P) ann'd prev 2.1% (10:30pm)	31 AUSTRALIA PPI Q2 prev 0.4% (11:30am) Private Sector Credit Jun (11:30am) CHINA NBS PMIs Jul (11:30am) Manufacturing prev 50.3 Non-Manufacturing prev 50.2 EURO ZONE CPI Jul y/y (P) (7:00pm) JAPAN Tokyo CPI Jul y/y prev 1.7% (9:30am) Jobless Rate Jun prev 2.5% (9:30am) Industrial Production Jun (P) (9:50am) BoJ Policy Decision prev 1.00% NEW ZEALAND ANZ Consumer Confidence Jul (8:00am) UNITED STATES Employment Cost Index Q2 prev 0.9% (10:30pm) Chicago PMI Jul (11:45pm) UoM Consumer Sentiment Jul (F) (12:00am)

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ECONOMIC BULLETIN

RBNZ July 2026 Monetary Policy Review.

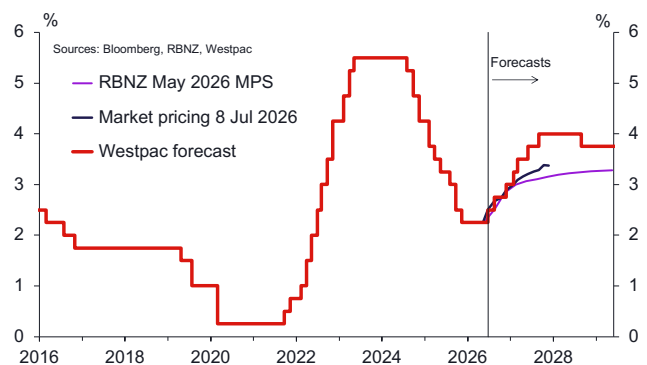


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Dovish hike?

- The RBNZ raised the OCR by 25bps to 2.5%. The decision was reached by consensus.
- The balance of the Committee seems unchanged: Gai, Gourley and Hansen remain hawkish while Breman, Conway and Silk remain more dovish.
- A key argument for the hike is a concern that financial conditions would have eased further if the OCR was left unchanged.
- The MPC seems to be comfortable with an end 2026 level of the OCR in the 2.75%-3% range – not very different from that shown in the May forecasts.
- Westpac expects follow-up 25 bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. Hence the peak OCR of 4% is reached in September, instead of December 2027.

Official Cash Rate forecasts



OCR raised by 25bps to 2.50%.

Today the RBNZ raised the OCR by 25bps to 2.50%, in contrast to our expectations for an 'on hold' decision. The decision was reached by consensus and hence no vote was required.

A comparison of key quotes from the July MPR statement and Record of Meeting with that from the May MPS meeting is provided at the end of this document.

The RBNZ has recognised the fall in oil prices and inflation risks that has been seen since May. Their forecasts for inflation have been revised down such that annual inflation is expected to be 3.9% in Q2 and 3.3% in Q3. These forecasts are a bit lower than our own (3.7% for Q3 in our case) but still demand OCR increases in 2026 by the MPC's thinking.

The RBNZ recognizes that the risks around the global growth outlook are better balanced relative to those seen back in May when energy prices were much higher.

A key argument cited as supporting the case for an OCR hike today was the risk that an unchanged OCR might have prompted a further easing in financial conditions.

This could have occurred through some combination of expectations of a lower end 2026 OCR and a weaker exchange rate. This suggests the RBNZ remain comfortable with the end 2026 OCR in the 2.75-3% range given where market pricing has sat in the last week or so.

The RBNZ indicates some further tightening is likely over coming meetings but notes the timing of these interest rate increases remains uncertain. The strategy seems to be to bring the OCR back to the neutral zone. For now, an OCR in the low 3% area seems to be viewed as consistent with that objective. However, there is uncertainty around where the neutral OCR is. Prasanna Gai noted a risk the neutral rate is rising in this less certain geopolitical environment. Paul Conway noted in the press conference that short-term estimates of the neutral OCR are being boosted by the higher short term inflation profile and the resultant impact on short term inflation expectations.

The balance of the MPC appears unchanged: the hawks remain Gai, Gourley and Hansen while the more dovish group includes Breman, Silk and Conway. Gai and Gourley see upside risks to the inflation outlook while the rest see the inflation risks as better balanced.

The RBNZ's rhetoric on the key factors driving future OCR increases has shifted a little. In May the Governor emphasized the importance of indicators of second round pricing pressures, rising inflation expectations and wage pressures. No evidence has accumulated since May on these risks. Nevertheless, these factors are still seen as important, but now signs of strengthening domestic and global growth are being added to the list of relevant factors. Trends in financial conditions seem also to be on the list of relevant factors. The potential inflationary impact of the exchange rate is playing a role here.

The RBNZ also decided to bring forward slightly the time at which the LSAP portfolio will be fully extinguished to June 2027. This does not have any monetary policy implications and is portrayed as being largely technical in nature.

Westpac outlook – 4% peak in the OCR reached a little earlier in 2027.

Looking ahead, we continue to expect the 25bp increases in the OCR that we forecast prior to today's meeting – at the September and December meetings – although these will now leave the OCR 25bps higher at year end (at 3.0%) than we had forecast previously. Thereafter, we continue to forecast a peak OCR of 4.0% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting. In the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve (we summarise the near-term economic diary below). Therefore, as the RBNZ noted itself today, the exact timing of the tightening profile is highly uncertain and even the tightening we

forecast at the September 2026 meeting should not be regarded as a "done deal".

Things to watch ahead of the 2 September meeting.

The RBNZ's next policy review is on 2 September, when it will also publish a full Monetary Policy Statement (MPS) and refreshed economic forecasts. How the RBNZ's policy stance evolves between now and then will depend on the path the Middle East conflict takes and what indicators and anecdotes continue to suggest about the impact of the conflict on New Zealand's economic recovery and inflation.

In contrast to the period ahead of today's meeting, there are many important domestic economic indicators scheduled for release ahead of the 2 September meeting. We think the following are the key ones to watch.

- **Q2 CPI** (21 July) and **July Selected Prices** (17 August): These pricing indicators will reveal whether the earlier surge in fuel prices has generated upward pressure across a broader range of goods and services.
- **Q3 RBNZ surveys** (13 August, 14 August, 21 August): Inflation expectations measures from the RBNZ's surveys of professional forecasters, households and businesses will be analysed closely to see whether there has been a reversal of the energy-induced increase in inflation expectations observed in Q2.
- **Q2 QSBO** (14 July) and **July/August ANZ Business Outlook** (30 July/31 August): The data-rich QSBO survey was likely in the field before Middle East tensions eased so it will be interesting to see where the NZIER provide a breakdown of early and late responses. The ANZ surveys may provide a timelier account of how businesses are responding to the easing of the conflict and the resulting decline in oil prices.
- **July/August PMI and PSI surveys** (mid-July/mid-August): These may provide some early insight as to whether GDP growth has resumed in Q3.
- **Q2 labour market surveys** (5 August): Employment and hours worked data from the HLFS and QES surveys will cast light on the performance of the economy in Q2, while the LCI will cast light on underlying inflation pressures.

In addition to the above, we will monitor a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities.

RBNZ comparison table July 2026 vs May 2026

Category	May 2026 quotes	July 2026 quotes
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Committee agreed that while further OCR increases appear likely at upcoming meetings, their timing is highly uncertain. Future OCR decisions will depend on the Committee's judgement about how price-setting behaviour and excess productive capacity affect medium-term inflation pressures. Increasing the OCR at this meeting is intended, in part, to avoid an unwarranted further easing in financial conditions.
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement. With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	With inflation still above target and economic activity expected to strengthen, some further reduction in monetary stimulus is likely to be required to return inflation to the 2 percent target mid-point. The Committee agreed that it was appropriate to start reducing the degree of monetary stimulus to ensure that inflation returns to target over the medium term.
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Committee assessed that the current level of the OCR remains accommodative. However, members noted that there is some uncertainty around where to judge the current level of the neutral interest rate. Prasanna Gai noted that recent geoeconomic shocks may have increased New Zealand's neutral interest rate by reducing global productive capacity and raising investment demand relative to available global savings.
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending. Consumer confidence has fallen sharply, and the housing market remains weak. Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict. These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	New Zealand's economic recovery was underway before the Middle East conflict, but lost momentum in the June quarter as the oil shock weighed on economic activity. Growth is expected to resume in the September quarter as these effects fade and confidence improves. The Committee noted that domestic economic activity slowed in the June 2026 quarter. Domestic economic growth is projected to resume in the September 2026 quarter.
The global economic outlook	The global economic backdrop remains uncertain. On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation. The Middle East conflict poses downside risks to global economic activity.	Global growth has been resilient to the effects of tariffs and conflict in the Middle East, largely because of strong AI-related investment and spending on defence and economic security. The Committee noted that global economic activity had remained robust through 2025 and into early 2026, despite significant headwinds. Consensus forecasts imply that trade-weighted global inflation will moderate close to 2 percent in 2027.
The labour market	The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Unemployment remains elevated, indicative of spare capacity in the labour market. Wage pressures could also arise from labour shortages in some sectors and regions.	Over the medium term, inflation returning to the 2 percent target mid-point will lift household purchasing power and help support a sustained recovery in growth and employment. Members noted that high inflation erodes households' purchasing power and dampens domestic demand. Inflation declining towards the target mid-point will help to ensure a sustainable recovery in economic growth and a stronger labour market.

Category	May 2026 quotes	July 2026 quotes
The short-term inflation outlook	The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. First round direct and indirect effects from higher petrochemical prices will increase inflation this year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.	The forecast for near-term inflation has declined, given that current oil futures pricing is now significantly lower than assumed in the May Statement. Despite progress towards conflict resolution in the Middle East and the recent fall in energy prices, annual consumers price inflation is expected to remain above the Monetary Policy Committee's 1 to 3 percent target range in coming quarters. Annual headline inflation is expected to have peaked at 3.9 percent in the June 2026 quarter, before declining to 3.3 percent in the September 2026 quarter.
The medium-term inflation outlook	Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term. The outlook for medium-term inflation pressures is also uncertain. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.	Although energy prices have decreased, the effects of the shock will linger for some time and the outlook for medium-term inflation pressures remains uncertain. Spare capacity in the economy is expected to limit firms' ability to pass on higher costs, meaning many businesses may need to absorb them in margins. However, some firms may look to rebuild margins as demand recovers. If sustained, a lower exchange rate could also add to medium-term inflation pressures.
The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Committee judged that there are both risks to the upside and the downside. In the discussion, Prasanna Gai and Hayley Gourley assessed that risks were skewed to the upside, while Anna Breman, Paul Conway, Carl Hansen and Karen Silk viewed risks as broadly balanced. The Committee agreed that all these upside and downside risks are relevant for the medium-term inflation outlook and will be important for the monetary policy stance going forward.
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanna Gai noted that, despite the recent decline in energy prices, some indirect effects from earlier increases in energy-related input costs may also still flow through to consumer prices. Prasanna Gai also highlighted the risk that the Middle East shock could coordinate price-setting behaviour, licencing firms to pass on costs more readily than otherwise. Carl Hansen noted that lower energy prices could support a stronger recovery in household and business demand.
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated. Spare capacity in the economy is likely to dampen second-round inflationary pressure.	Anna Breman, Paul Conway, Carl Hansen and Karen Silk viewed risks as broadly balanced. Anna Breman noted that if demand remains weak, firms may have less ability to pass higher costs on to consumers and intelligence from recent business engagements point to divergence in ability to pass on cost increases. Paul Conway noted uncertainty around how quickly the recovery will broaden beyond currently strong sectors and regions. Several members observed that household consumption and investment remain weak, reflecting caution and the lingering effects of repeated shocks.

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ECONOMIC BULLETIN

Preview of RBNZ July 2026 Monetary Policy Review (Wednesday 8 July, NZT 2pm).

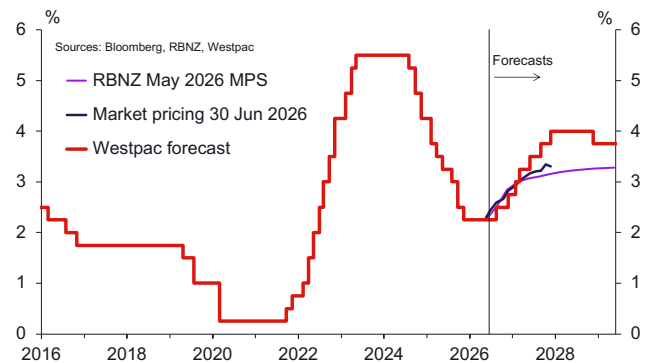


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Keep calm and focus on the data

- We expect the RBNZ to leave the OCR at 2.25% at the 8 July Review.
- Much has changed over the past six weeks. Therefore, while three MPC members had voted for a rate hike in May, we think the “on hold” decision may well be reached by consensus.
- Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the *May Statement*.
- The press release will likely reaffirm that the timing of OCR increases will depend on what data and other developments suggest about the outlook for medium-term inflation pressures.

Official Cash Rate forecasts



“What we’re saying is it’s likely we’ll see OCR hikes at coming meetings, but we’re not being, you know, exact... how much and at what meeting because we will consider, you know, the incoming data and how the inflation outlook evolves. So, if we see oil prices falling really much more than expected, if we see much much weaker growth, then we may not hike.”

– Governor Anna Breman, Heather du Plessis-Allan
Drive interview, 27 May 2026

RBNZ decision and communication.

We expect the OCR to remain at 2.25% at next week’s 8 July policy meeting. A tightening bias will remain in place that will be explicitly data dependent. In determining when that bias might be acted upon, key factors cited will be the extent of second round pricing pressures, wages pressures and evidence of increasing medium to long term inflation expectations. Evidence that the economic recovery is resuming and the output gap narrowing would also prompt policy tightening at some stage, as was the RBNZ’s forecast in the *February Statement*. The language

pointing to OCR increases as likely in coming meetings could be kept but with a more explicit rider that these are conditional on evidence warranting those increases.

While three MPC members voted for a rate hike in May, the significant developments over the past six weeks make it quite possible that a vote is not required on this occasion. It would be perfectly reasonable for those previously hawkish members to change their view given the relatively quick resolution of the Iran tensions have caught most if not all commentators by surprise. Data dependence is a virtue not a failing in a well-functioning MPC.

Should a vote be needed, then we expect only a small minority of external members to support an OCR increase in July. We don't think any of the doves from the May meeting will want to join the hawkish group. There is also a strong prospect that the hawks from last time will be happy to review the key data that will be released in the week's that follow the July meeting and raise the case for an OCR rise at the September meeting, should that data support that stance.

The discussion will aim to redirect market attention on upcoming data to justify future OCR hikes. Markets became unduly fixated on a July hike after the May meeting and saw it as relatively independent of incoming data and developments in the Middle East, which was unfortunate. We expect the MPC to take the opportunity to correct that impression.

Prospects for a normalisation of the OCR will remain a feature of the RBNZ's communication. But we expect the Bank to shift the frame of reference towards the view the MPC held pre-war. This envisaged a single OCR hike no sooner than the end of this year. As inflation is still higher than anticipated back in February, we think they will signal bringing forward of the date of lift off in the OCR to September but suggest a gradual trajectory from there if second-round inflation pressures from the Middle East supply shock remain in check. The option of consecutive increases in the OCR from September might still be a possibility but would not be presented as base case and would be dependent on data warranting a less gradual cadence of OCR increases. We don't expect the MPC to present a September OCR increase as a given. A slow bounce back of economic activity and evidence of weak underlying inflation pressures in the June quarter CPI could justify delaying to December and thus moving the RBNZ's stance all the way back to that communicated in the February 2026 *Statement*. Reintroducing data dependence into the MPC's future decision-making framework will aim to preserve the option to push the tightening cycle back to December should data suggest that appropriate.

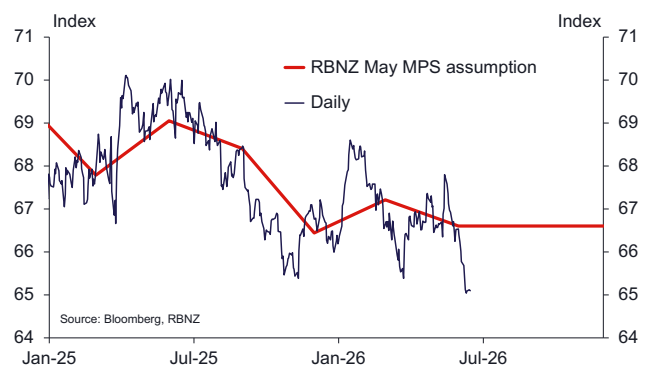
We expect market pricing to take a bit more out of the amount of tightening expected for 2026 and move to a situation where markets price between one and two 25 bp increases by year end. From there the data will determine how market pricing evolves.

Arguments in favour of a hike.

The most prominent argument we have heard among market participants expecting a July hike is that this was more-or-less promised in the May Statement. It's certainly the case that the RBNZ's Q3 2026 assumption of an average OCR of 2.51% is most consistent with a July hike and for some members a July hike may have been the presumption in the absence of a marked change in the inflation outlook. But we certainly don't agree that a hike was in any way promised.

The Governor described OCR increases "in coming meetings", which was deliberately and appropriately vague given the uncertain nature of the environment. The quote we included on the front page of this note illustrates the conditionality of the policy outlook. The Governor explicitly noted in a radio interview after the May meeting that "... if we see oil prices falling really much more than expected, if we see much much weaker growth, then we may not hike". And in various speaking engagements the Governor has referred to a desire to see evidence of second-round pricing dynamics, rising wage pressures and increasing inflation expectations to confirm that any earlier hike in the OCR was necessary. No such evidence has accumulated since May. Similarly, in her public appearances, Assistant Governor Silk has noted that all options were on the table for the July meeting, including a "hold". We think that the near \$30/bbl decline in oil prices since the May meeting was probably beyond even the most optimistic scenario that Silk might have envisaged when she made that comment.

NZD Trade Weighted Index



Another argument is the weakening in the exchange rate in the face of wide interest rate differentials. It is the case that the US dollar has been stronger since the FOMC shifted towards a tightening bias at their last meeting. Similarly, the Reserve Bank of Australia Board sent a message in their last meeting that cash rate increases were still possible. The associated weakening in the NZD has added to inflation pressures. But it's still unclear how persistent these will prove to be in much the same way we don't know how persistent energy related costs pressures will be. More generally the weaker NZD is a positive economic influence as it is assisting the competitive parts of the economy that are the key drivers

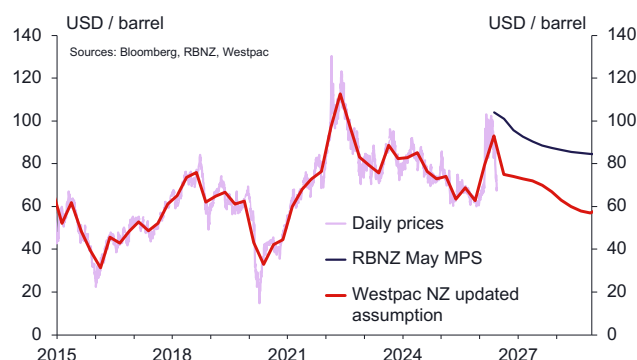
of economic recovery. It's also useful additional pressure on less competitive parts of the economy to adjust (for example import demand, the construction and real estate sectors). The risks of FX depreciation are more likely better managed by retaining the view that the OCR will eventually need to return to developed country norm levels, adjusted for risk premia, as opposed to justify what might be premature OCR increases.

The resolution of at least some of the uncertainty associated with the Iran war will be a fillip to growth in the second half of 2026. The RBNZ has modest expectations for Q3 GDP (0.2% growth) that should be revised higher. Similarly, forecasts for later quarters could be revised higher in line with the stronger anticipated terms of trade now energy prices are lower. Business and consumer confidence, along with housing market prospects, should bounce as the Iran war uncertainty is reduced. Indeed, there is some evidence of this in today's monthly business confidence survey that shows general business confidence rising in June. We think there is some merit to these arguments. But importantly it seems very unlikely that future upgrades to the growth outlook will be sufficient to restore the RBNZ's February *Statement* growth outlook, when recall the RBNZ forecast no more than one 25bp hike in the OCR this year. Today's business survey also shows that its very much early days in the business sector recovery given that backward looking measures of activity suggest still weakening growth momentum. Also the level of business confidence, while higher than that seen in May, is some distance below the levels seen in early 2026, when the RBNZ saw OCR increases coming at the end of 2026.

Arguments in favour of no change.

No further evidence on second round inflation impacts, rising wages pressures or increasing inflation expectations has accumulated since the May meeting. Indeed, short term inflation expectations appear to have reduced in business and consumer surveys as energy prices have fallen and will likely continue to decline if current energy price levels are sustained. Westpac's employment confidence survey shows a still fragile labour market that seems unlikely to support upward pressure on wages.

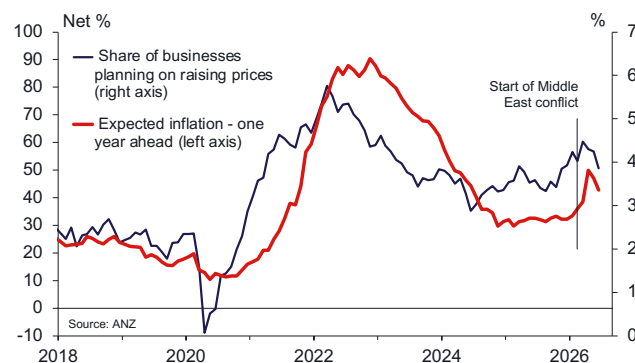
Dubai oil prices



The Iran war has resolved (at least for now) unexpectedly quickly. A \$30/bbl decline in oil prices is big news, sufficient to change the medium-term outlook, just as a \$30/bbl increase was on the way up. With oil and refined fuels prices now well below the levels assumed in prior forecasts (including the RBNZ's May forecasts), forecasts of peak and end year inflation are being revised lower. For example, Westpac now sees CPI inflation peaking a quarter earlier in the June quarter at 4% and ending 2026 at 3.5%. The risks of prolonged inflation dynamics – such as those that had clearly bothered MPC member Prasanna Gai – taking hold must have a much lower probability now compared to that contemplated back in May. Similarly risks to inflation expectations have reduced.

Importantly, further key information will be available soon. The June quarter CPI (released 21 July) will show how widespread inflation pressures are. The monthly indicators provide little insight but to the extent they do, they have shown less inflation than previously feared. The June quarter QSBO will be available in a week and will similarly provide indicators on businesses' pricing and margins as well as activity indicators. The June quarter labour market reports due early August will shed light on the strength of the labour market and wage pressures. The best measures of inflation expectations are also available in August. This avalanche of relevant data scheduled between the July and September meetings always made a July hike a courageous move. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action we suspect even the hawkish MPC members will now be content to see what this data reveals.

Businesses inflation expectation and pricing intentions

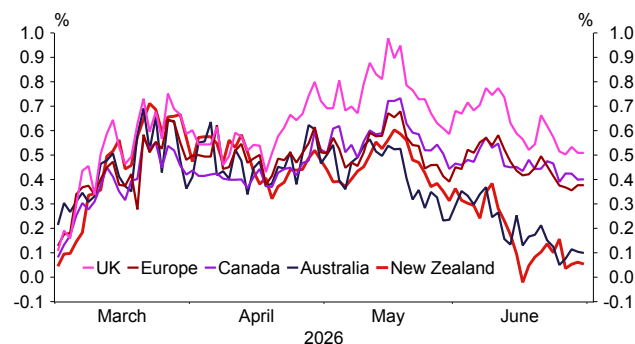


Activity data seemingly confirm a stagnant economy in the June quarter. Most indicators suggest little growth occurred in the June quarter, hence the output gap should have widened. Q1 GDP data was pretty much in line with RBNZ views once revisions are considered (the economy was just 0.1% larger than assumed in the May MPS).

It's also useful to remember that global views on the need for interest rate increases have generally pulled back noticeably (with the key exception of the United States). Market pricing of the expected change in 90-day rates

in the coming 2 years has pulled back across most peer economies with the adjustment to Australasian interest rate expectations being greater than for most. We note that the Bank of Canada remains cool on the potential for interest rate increases this year. This is interesting as Canada seems to be the closest comparator to New Zealand in that both countries are operating with a negative output gap and have similar monetary policy frameworks.

Change in the 3 mth rate 2 years ahead relative to February



Sources: Macrobond, Bloomberg, Westpac

Scenarios.

More hawkish and dovish possibilities exist including:

- A hawkish scenario where the OCR is increased and language suggesting the RBNZ's views haven't shifted much. Markets would rationally assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. Evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and the statement could note that such evidence is lacking at this stage. The February MPS forecasts could be explicitly referred to as being nearer to the MPC's current frame of reference. This is more plausible and we attach a 30% probability to this scenario.

Kelly's take.

This is an easy decision. While I advocated for an increase in May, there seems much to be gained from waiting to see the outcome of the June quarter CPI. Certainly, the risks of prolonged second-round price impacts are lower than thought earlier given the Iran conflict seems to have resolved much sooner than expected and energy prices have declined far sooner than expected.

Higher interest rates are in prospect in time. But the urgency to begin the process now when such critical evidence is available just around the corner is gone. I suspect a gradual approach of 25bp increases in September and December should prove sufficient for now. The economy will continue to recover through the second half of the year, calling for a return of the OCR to hopefully not much higher than neutral levels (in the high 3s in my view) next year.

I see the risk that the exchange rate will depreciate further over the balance of the year given steep negative interest rate differentials. But if this occurs, this will aid the needed rebalancing of the economy. The market needs to be reminded of the importance of data dependence in determining future OCR adjustments.

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First Impressions: RBNZ Monetary Policy Review July 2026

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By [Kelly Eckhold](#) & [Westpac New Zealand Economics](#)

12:26 July 08 2026

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The RBNZ unexpectedly raised the OCR to 2.5%. We review some key quotes side by side relative to the May meeting below and provide an initial take on the implications.



The RBNZ has unexpectedly increased the OCR to 2.5%. The decision was reached by consensus. It seems that the balance of the Committee remains similar: Gai, Gourley and Hansen remain hawks while Conway, Breman and Silk remain Doves. There is perhaps a modest shift in the bias of the group

regarding the balance of risks for inflation as one hawk (Hansen) sees a balanced inflation outlook now.

The MPC are pointing toward follow on tightening and we still expect an OCR rise at the September Monetary Policy Statement. The MPC seemed concerned that not raising the OCR today would prompt further easing in financial conditions and hence it seems the RBNZ continues to see an end-of-year OCR of 2.75-3% as being reasonable.

A comparison of the RBNZ's updated policy assessment compared to their previous statement is shown in the table below. If the table does not display properly, please click the red 'Read more' button for the desktop version.

We will provide more detail after the press conference.

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RBNZ comparison table July 2026 vs May 2026

Category	May 2026 quotes	July 2026 quotes
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Committee expects that the OCR will increase in the near term. The timing is uncertain. Future Committee decisions will depend on Committee members' assessment of inflationary pressures and the Committee's assessment of the impact of the OCR on inflation. Increasing the OCR will be required in part, to ensure that inflation remains on target.
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement.	With inflation expectations anchored, the Committee expects that the OCR will increase in the near term. The timing is uncertain.

	With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	The Cor start rec ensure t medium
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Cor the OCF
		Howeve uncertai of the ne Prasanr shocks i interest and rais global s
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending.	New Ze before tl in the Ju econom Growth quarter improve
	Consumer confidence has fallen sharply, and the housing market remains weak.	
	Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict.	The Cor activity :
	These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	Domest the Sep
The global economic outlook	The global economic backdrop remains uncertain.	Global c tariffs ar because spendin
	On balance, New Zealand's trading partners are expected to see weaker growth and higher inflation.	The Cor had rem 2026, de Consen
	The Middle East conflict poses downside risks to global economic activity.	global ir 2027.

The labour market

The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter.

Unemployment remains elevated, indicative of spare capacity in the labour market.

Wage pressures could also arise from labour shortages in some sectors and regions.

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The short-term inflation outlook

The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation.

First round direct and indirect effects from higher petrochemical prices will increase inflation this year.

Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.

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The medium-term inflation outlook

Currently, core inflation, wage growth, and medium-to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term.

The outlook for medium-term inflation pressures is also uncertain.

However, weak demand and elevated unemployment will dampen medium-term inflation pressures.

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The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Committee judges that the upside for inflation is more pronounced than the downside for growth. In the domestic economy, spare capacity is being drawn down while firms' ability to pass on higher costs is more constrained than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity. The Committee judges that the upside for inflation is more pronounced than the downside for growth.
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanna Gai, Hayley Gourley, and Carl Hansen preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. Prasanna Gai, Hayley Gourley, and Carl Hansen emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. Prasanna Gai, Hayley Gourley, and Carl Hansen judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Prasanna Gai, Hayley Gourley, and Carl Hansen viewed moving earlier as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated.	Anna Breman, Karen Silk, and Paul Conway judged that holding the OCR at 2.25 percent was appropriate at this meeting. Anna Breman, Karen Silk, and Paul Conway emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Anna Breman, Karen Silk, and Paul Conway noted that indicators of economic activity have deteriorated, in some cases more quickly than anticipated.

Spare capacity in the economy is likely to dampen second-round inflationary pressure.

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Week beginning 29 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Between a rock and a hard place.

The Week That Was: Patience is a virtue.

Focus on New Zealand: RBNZ to scale back OCR hikes as energy prices recede.

For the week ahead:

Australia: RBA minutes, private sector credit, home value index, goods trade balance, dwelling approvals.

New Zealand: Monthly employment indicator, business confidence, consumer confidence, building permits.

Japan: Jobless rate, Q2 Tankan large manufacturers index, industrial production.

China: NBS PMIs.

Euro Area: CPI, unemployment rate, economic confidence, consumer confidence.

United Kingdom: Q1 GDP (final estimate).

United States: Unemployment rate, nonfarm payrolls, average hourly earnings, ADP employment change.

Global: S&P Global manufacturing PMIs.

Information contained in this report current as at 26 June 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Between a rock and a hard place



Matthew Hassan
Head of Australian Macro-Forecasting,
Westpac Group

- The detailed June quarter CPI release on July 29 will be the most important domestic update ahead of the RBA Monetary Policy Board's August meeting.
- This week's monthly releases on inflation and the labour force were clearly of interest as well but would probably not have shifted the RBA's views.
- Concerns about a more prolonged period of high inflation are expected to dominate the Board's thinking. It's assessment of risks will be key but are likely to lean in favour of a further 25bp hike in August.

The RBA's 'hawkish hold' in June included a clear warning that inflation was too high and that it was prepared to raise interest rates further if required. If a further move is required, it is most likely to involve a hike at the Monetary Policy Board's next meeting on August 9–10, a little over seven weeks away. As always – and paraphrasing the Board's June decision statement – its judgement will rest on the evolving assessment of the outlook and risks, informed by developments in the global economy and financial markets and by trends in domestic demand and the outlook for inflation and the labour market.

Information-wise, the detailed June quarter CPI release on July 29 will be the most important update. However, this week's monthly releases on inflation and the labour force were clearly of interest as well. These did contain some surprises but not ones big enough to really shift the RBA's views.

Underlying inflation still uncomfortably high

As set out in our regular **Cliff Notes** recap on p3, headline inflation surprised to the downside in May, dropping back to 4%yr, but with the all-important Trimmed Mean measure of underlying inflation lifting from 3.4%yr to 3.6%yr.

On balance, we think the detail would have underscored the RBA's concerns about the pass-through of higher energy costs, particularly in the dwelling construction space, noting that the high weight of housing in the CPI means this often sets the pace for underlying inflation. The full June quarter update will be important here given the reversal lower in fuel prices since April and a clearer weakening now showing through in housing markets more generally (see our latest [Housing Pulse](#), released at the start of this week, for more details).

There was some evidence of pass-through effects in other CPI items as well while some significant direct effects may not have shown through yet. Specifically, the 'holiday travel and accommodation' component, which was a notable downside

surprise in May, includes air travel costs that get captured with a one-to-two-month lag (reflecting the typical timing difference between booking and travel). As such, the sharp re-pricing due to spiking jet fuel costs in April-May will likely only start to appear in the CPI from June (noting that this may only affect the headline measure with no impact on the Trimmed Mean).

Overall, inflation is likely to still be uncomfortably high for the RBA going into its August meeting and there will be ongoing concerns that high inflation is becoming embedded in domestic wage and price setting behaviour.

“... inflation is likely to still be uncomfortably high for the RBA going into its August meeting ...”

Labour force softening slowly, growth sluggish

The May labour force update would not have been a game-changer for the RBA either. Employment bounced-back as expected but from a slightly bigger, downwardly revised, decline in April. While the underlying pace of growth is a touch softer, the tick-down in the unemployment rate from 4.5% to 4.4% was as expected. That is a touch higher than the RBA's May forecasts, which had 4.2% pencilled in for the June quarter average, but the difference mainly comes down to the RBA's more pessimistic assessment of labour participation rates rather than a significantly different picture on employment growth.

There is likely to be more softness to come as the full impact from higher interest rates and the Middle East conflict works through but for now the labour market is broadly unfolding in line with expectations.

The wider pool of high frequency data continues to point to weak growth through the middle of the year. Our first **Westpac-Now** estimate for Q2 GDP points to growth of around 0.2%qtr in line with the sluggish 0.3%qtr outcome in Q1 2026. The signals suggest there is about a one-in-four chance that the economy could jag a negative result in the quarter, but month to month, there are tentative signs that growth is stabilising at this pace rather than weakening further (see [here](#) for more detail). Again, this is likely a touch weaker than implied by the RBA's current forecasts.

Inflation rather than growth is the Board's dominant concern at the moment. As such, it would take a substantially weaker than read on this front to influence its decisions. The extent of any additional slowing is of interest but slow growth on its own will be seen as an unavoidable cost of ensuring inflation makes a sustained return to the 2-3% target over a reasonable time-frame.

Judging the risks

All up, we expect the RBA will view this week's domestic data flow as broadly in line with its forecasts. As always, it should be remembered that the Bank's base case forecasts, set down in May, were conditioned on an assumed path for the cash rate that had an additional increase (worth about one and a half 25bp hikes). As such, outcomes that are 'as expected' tend to endorse some further tightening. Or, to put it another way, the data needs to provide evidence that the economy is undershooting baseline forecasts for inflation and growth, for this alone to be the basis for the Board to leave rates unchanged.

The May updates do not seem to meet these criteria. The June round of data may do so but at this stage we still see the risks stacked towards an uncomfortably high CPI update and an August interest rate hike.

The Board's judgement of risks may prove to be just as critical as the data flow. Here the question will be whether the better-than-expected improvements in the Middle East and in global energy markets are likely to be sustained and enough to ensure a domestic disinflation without the need for additional interest rate tightening. On balance, we expect oil and gas supply normalisation to be a slow and bumpy process and that concerns about a more prolonged period of high domestic inflation will carry the August decision. With growth already sluggish, that decision will be a difficult one for the Board. This week's updates have not made its deliberations any easier.

Cliff Notes: patience is a virtue

Elliot Clarke, Head of International Economics

Ryan Wells, Economist

Illiana Jain, Economist

Australian consumer prices fell 0.7% in May, bringing the annual rate of headline inflation down from 4.2%yr to 4.0%yr. The main cause of the decline was an 11.9% fall in auto fuel prices; but, relative to our own forecast, it was holiday travel and accommodation that was the primary contributor.

Stripping out these factors, trimmed mean inflation lifted from 3.4%yr to 3.6%yr. Housing inflation was, once again, key with rents surprising to the upside and new dwelling costs recording their strongest monthly increase since late-2022. The latter contrasts with growing evidence of cooling demand in the [housing market](#), pointing to margin pressure for homebuilders. Cost pass-through was also evident in the detail, though weak [household spending](#) may stop businesses from recouping costs through mid-year and beyond. The abrupt reversal in energy supply and prices through June (see below) may also see businesses write off margin compression as a transient concern.

[Employment](#) subsequently bounced back from holiday-related weakness in April as expected, jobs up +40.3k and the unemployment rate ticking down to 4.4%. That said, revisions to April offset May's gain, stalling growth in Q2-to-date after a robust Q1. Looking past the month-to-month volatility, the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.

Offshore, the past week saw the Memorandum of Understanding between the US and Iran take effect and a consequent rapid opening up of the Strait of Hormuz, freeing circa 20 million barrels of oil from the Strait in recent days. For the most part, the price of oil has trended down, reaching USD72 mid-week, a level last seen before the conflict began in February. It has not been all smooth sailing, however, an attack on a commercial ship off the coast of Oman overnight sparking concern and an increase in the oil price back above USD75. Several points still require detailed negotiation, including Iran's nuclear program and the management of the Strait beyond the first 60 days. Discussion on a framework to resolve differences on these matters began at the weekend in Switzerland, and are likely to continue for weeks, if not months. Risks for energy supply and price will therefore linger for the foreseeable future.

On the data front, US personal income surprised to the upside in May, rising 0.7% after being unchanged in April. Compensation growth was more modest at 0.4%, consistent with the average since the beginning of the year. Personal spending growth also accelerated to 0.7%, although much of the gain was driven by inflation, with real spending up just

0.3% after a flat April print. PCE inflation was a touch softer than expected in May at 0.4%, while core inflation was in line at 0.3%. Q2 is therefore looking like another soft period for the US consumer. Notable too is that revisions have been against the consumer, the third estimate of Q1 GDP this week seeing quarterly consumption growth revised down to just 0.5% annualised. An upgrade to business investment and a material reduction in import growth in the quarter more than offset for GDP; but being more than 70% of the economy, the weakness in consumption will have a significant bearing on the aggregate pulse hence.

“...the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.”

In our view, this data and events in energy markets warrant the FOMC remaining on hold for the remainder of the year as inflation risks slowly abate. However, the market is likely to continue to price the risk of further tightening, particularly while the White House remains out of the monetary policy debate and AI optimism persists.

RBNZ to scale back OCR hikes as energy prices recede

New Zealand Economics team

A great deal has changed since early May, when we last reviewed our forecasts for both the global and domestic economies – more than financial markets appear to have fully appreciated, judging by the continued pricing of an RBNZ rate hike at next month's policy review. At the centre of these developments has been the unexpectedly rapid progress in reducing Middle East tensions. In particular, the prospect of a faster-than-expected restoration of shipping flows through the Strait of Hormuz has materially altered the outlook for global trade. This has implications not only for oil, petrochemical products and natural gas, but also for a broader set of inputs such as fertiliser – goods that play a crucial role in global economic activity and, by extension, New Zealand's macroeconomic environment.

While it is still too early to conclude that geopolitical tensions in the region have been durably resolved, there is now sufficient evidence to suggest that diplomatic efforts are gaining traction. A sustained ceasefire and a return to more normal shipping conditions appear increasingly plausible. Against that backdrop, it is appropriate to incorporate this new information into our macroeconomic assessment.

The most important revisions to our assumptions relate to the level and expected path of oil and refined fuel prices. These prices have pulled back much more rapidly than anticipated, reaching levels that we previously did not expect until the middle of 2027. Brent crude oil is currently trading at around US\$73 per barrel, broadly in line with pre-conflict levels. We now expect prices to ease further, reaching around US\$69 per barrel over the course of 2027. Refined fuel prices have followed a similar, though more gradual, downward trajectory. After peaking at around US\$195 per barrel in March, they have fallen to approximately US\$110, compared with roughly US\$92 prior to the conflict. We anticipate further declines, with prices easing to around US\$102 per barrel by the end of this year and to US\$90 by the end of 2027.

Crucially, current oil and fuel price levels are now materially below those assumed by the RBNZ in its May forecasts. This divergence has important implications for the inflation outlook, the pace of economic recovery, and the stance of monetary policy.

Alongside these developments, our updated forecasts also take into account recent domestic economic data, including the latest data on GDP, selected price indices, and a range of high-frequency indicators of activity. We have not, at this stage, updated our global growth forecasts or exchange rate projections aside from incorporating the latest starting point for the New Zealand dollar, as these will be reviewed

more comprehensively in the upcoming July Market Outlook. Similarly, we have not yet incorporated the implications of the fiscal position set out in Budget 2026. However, we expect those effects to be modest and will integrate them fully in our next quarterly Economic Overview.

Turning to growth, the faster-than-expected easing in energy prices has led us to upgrade our GDP forecasts, particularly for the June quarter and the second half of this year. Much of this reflects a bringing forward of the recovery that had previously been delayed by the oil shock. As a result, while growth in 2026 is now expected to be stronger, there is a corresponding moderation in the growth profile for 2027.

We now forecast GDP growth of 2.0% for 2026 and 2.9% for 2027. This compares with a previous forecast of around 1.5% growth for 2026. Nonetheless, it is worth noting that this remains well below the 3.3% growth we had anticipated prior to the outbreak of the Iran conflict, underscoring the lasting effect that the shock has had on economic momentum.

Recent data suggest that the economy has held up better than expected during the peak of the oil price shock in April and May. We now expect GDP to decline by just 0.1% in the June quarter, rather than the 0.3% contraction previously forecast. This estimate incorporates ongoing seasonal distortions in the data; on an underlying basis, we judge that the economy has continued to expand modestly, with growth of around 0.2%, partially offset by seasonal factors.

Looking ahead, as oil prices continue to recede, we expect the economy to return to a more typical recovery trajectory. Quarterly growth is forecast to rise to around 0.6% in the September quarter and 0.7% in the December quarter. This would result in a solid, albeit incomplete, recovery over the remainder of the year.

In the labour market, the improved growth outlook translates into a slightly more favourable trajectory for unemployment. While some near-term softness remains likely (reflecting the uncertainty that has weighed on hiring decisions), we are now less concerned about a sustained deterioration in labour market conditions. High-frequency indicators point to broadly flat employment in the June quarter. However, this is unlikely to absorb ongoing population growth, suggesting that the unemployment rate could edge higher in the near term, rising to around 5.4% after easing to 5.3% in the March quarter. We expect a gradual improvement beyond that time (previously we expected unemployment to rise further to a peak of 5.6%), dropping below 5% by late 2027.

The housing market, meanwhile, continues to show limited momentum. House prices have remained flat in recent months, with softness in related indicators such as days to sell. Nevertheless, there are signs that conditions may begin to improve modestly. The combination of lower energy costs and reduced expectations of near-term OCR hikes has contributed to an easing in mortgage rates, which in turn should support sentiment.

We've revised up our forecast for house prices in 2026, and now expect a small increase of around 0.6%yr (in contrast to our earlier forecast for a modest decline). In 2027, we continue to expect growth of around 2%yr. Regional markets are still likely to outperform the major North Island urban centres, with the strength in commodity exports underpinning firmer economic conditions and labour markets in regions with strong rural backbones, like Canterbury.

Inflation dynamics have also shifted materially. The faster-than-expected decline in oil prices has led us to lower our inflation forecasts. We now expect annual inflation to peak at around 4.0% in the June quarter (down from our previous estimate of 4.5%), before easing to around 3.5% by the end of the year. This is notably below the RBNZ's May projection of 4.1% for year-end inflation.

Lower fuel costs have already been reflected in retail prices. Petrol and diesel prices have fallen significantly from their peaks, directly subtracting around 0.5 percentage points from our inflation forecast. In addition, we now expect that the pass-through of high fuel costs to other prices will be more moderate, reflecting both the smaller magnitude and shorter duration of the cost shock.

Looking further ahead, inflation is expected to decline through 2027 as the effects of the oil shock fade. Indeed, base effects may temporarily push headline inflation below 2% at some point, before a gradual pickup as economic activity strengthens. Core inflation measures, however, remain relatively firm, reflecting underlying pressures that have persisted despite weak demand in recent years.

These developments have important implications for monetary policy. The improved inflation outlook reduces the urgency for the RBNZ to raise the Official Cash Rate and will likely reduce the need for at least one of the rate hikes that had been factored into the RBNZ's May projections. That would leave a baseline outlook of one to two rate increases over the course of the year. This would represent a meaningful recalibration, albeit not a complete reversal to pre-conflict assumptions, given that inflation remains elevated in the near term.

For the upcoming 8 July policy meeting, we continue to expect that the OCR will be left on hold. The sharp decline in energy prices and the associated improvement in the inflation outlook have significantly weakened the argument for pre-emptive tightening. While some members of the Monetary Policy Committee may still favour rate increases later in the year, there appears to be little pressure to act immediately.

Moreover, additional key data covering inflation, the labour market, and business conditions will be released between the July and September meetings. Waiting for this information seems prudent, particularly given ongoing uncertainty around geopolitical developments and the durability of the recent improvement in oil prices.

We continue to expect that the RBNZ will leave the OCR on hold at 2.25% in July. This decision is likely to be less contentious than the previous meeting and could potentially be reached by consensus.

We expect the RBNZ will begin lifting the OCR at the September MPS meeting and move again once more towards neutral settings before the end of the year – most probably at the December MPS meeting.

But even these forecasts are not a slam dunk and have two-sided risks. Should the June quarter CPI reveal benign core inflation, then the RBNZ could leave the OCR unchanged until December. In contrast, if the CPI runs hot, then we could still see the three 25bp rate hikes that we previously anticipated.

Our central view implies one less rate hike this year than we had forecast most recently. However, the elevated path for inflation means that increases in the OCR are still expected.

We have retained the same OCR changes that we had previously forecast to occur in 2027. But with one less hike now expected in 2026, the OCR is now forecast to peak at 4.0% – 25bps lower than we previously anticipated. A lower peak OCR is consistent with the smaller and shorter duration oil-related supply shock now assumed. Our view on the neutral OCR remains at 3.75%.

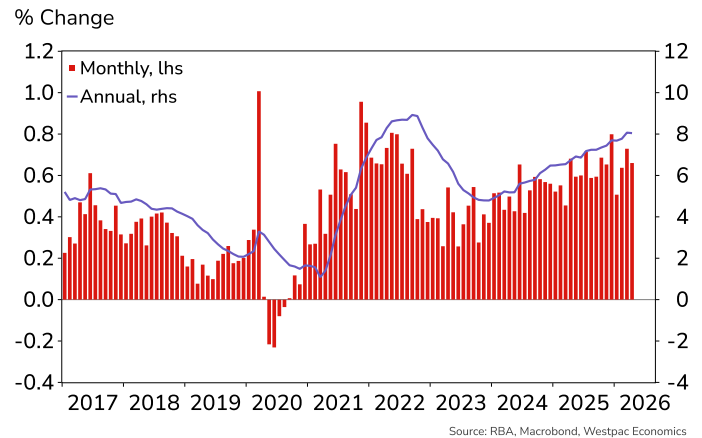
AUS: May Private Sector Credit (%mth)

Jun 30, Last: 0.7, Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.5 to 0.7

Despite the weaker economic outlook and higher interest rates, the latest private sector credit figures showed no signs of softening in April, with growth holding steady at 0.7%*mth*. All major categories maintained solid momentum, with investor housing credit leading the way, up 0.9%*mth*, and business credit growth close behind at 0.7%*mth*.

We expect May to bring the first signs of slowing. Following the RBA's first cash rate hike in early February, enough time has likely passed for the impact of higher interest rates to begin flowing through. The drag from increased economic uncertainty amid the war in the Middle East should also begin to play a role. We expect growth to slow to 0.6%*mth* but would not rule out a 0.5%*mth* increase. Please note that the data may be delayed – last month, it was released three working days later.

Private Sector Credit Growth



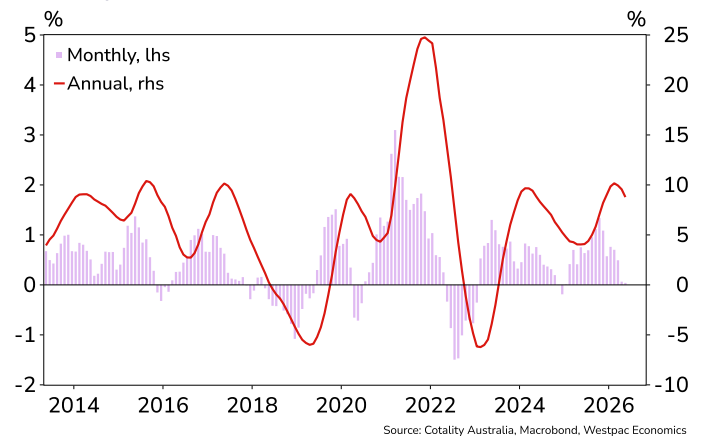
AUS: Jun Cotality Home Value Index (%mth)

Jul 1, Last: -0.1, Westpac f/c: -0.5

The Cotality home value index dipped -0.1% in May with revisions showing price growth stalled flat over the three months to May led by a deepening price correction in Sydney and Melbourne and more pronounced slowdowns in other capital cities.

June will reveal a more marked deterioration with the daily measure now pointing to a 0.5% fall nationally, dip for the month as a whole. The detail shows Sydney and Melbourne prices declining at a 1.2% and 0.9% monthly pace and a further slowing in momentum in Brisbane, Adelaide and Perth. Turnover will be a key area to watch as tax policy changes announced at the Federal budget start to impact investor activity.

Cotality home value index



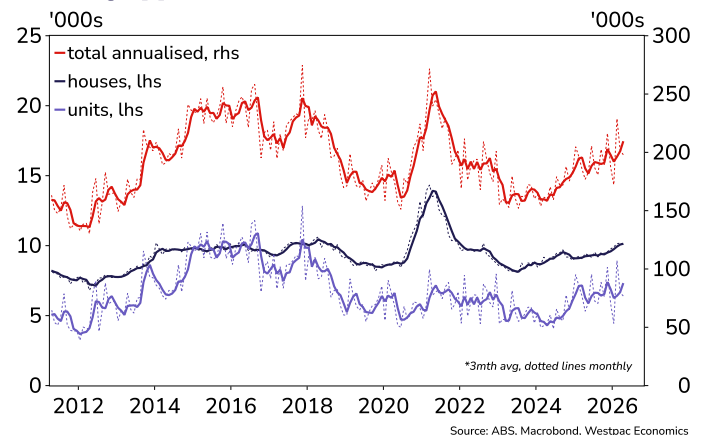
AUS: May Dwelling Approvals (%mth)

Jul 1, Last: -3.4, Westpac f/c: -1.0
Market f/c: 0.0, Range: -5.0 to 5.0

Dwelling approvals fell 3.4%*mth* in April but with the annual pace still lifting to 10.2%*yr*. Activity looks to be normalising back towards the 2025 average monthly run rate after a brief surge earlier in the year.

That normalisation is likely to continue in May with high rise approvals still above average 2025 levels in April. Non-high rise components are likely to show some flattening. The key question is the extent to which rate rises impact – these tend to have a delayed impact on approvals activity, usually taking several months to show through. Meanwhile there are some potential countervailing forces coming through state government policy measures aimed at lifting supply, which likely work through even longer lags.

Building approvals



AUS: May Goods Trade Balance (\$bn)

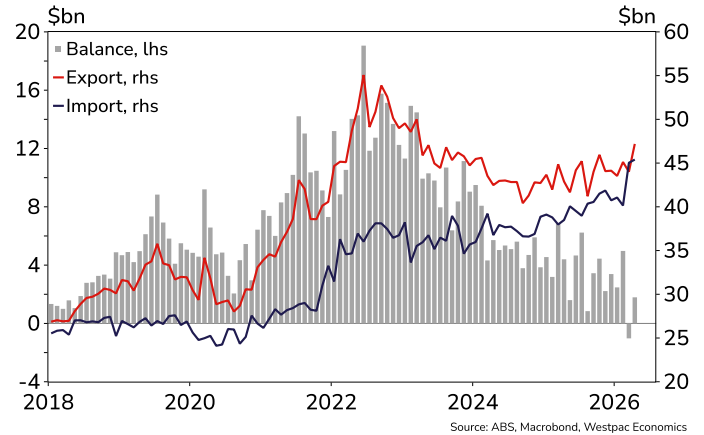
Jul 2 Last: 1.8, Westpac f/c: 2.5

Mkt f/c: 2.4, Range: 1.0 to 3.5

Having dipped below zero in March, the headline goods trade balance recovered to \$1.8bn in April, supported by strong commodity outflows after a weak Q1. We are expecting a further improvement in May to \$2.5bn.

The May picture again looks nuanced, with multiple categories pulling in different directions. Major commodity exports are set to decline, led by LNG. Rural goods exports should rise, with meat exports taking another step higher from already elevated levels. On the imports side, the key categories to watch are fuel and ADP equipment. The former more than doubled in March and April, and lower oil prices point to some reversal this time. The ADP is much harder to judge, given the recent volatility. We have pencilled in a recovery after the April retreat, although total imports may still fall.

Goods trade balance

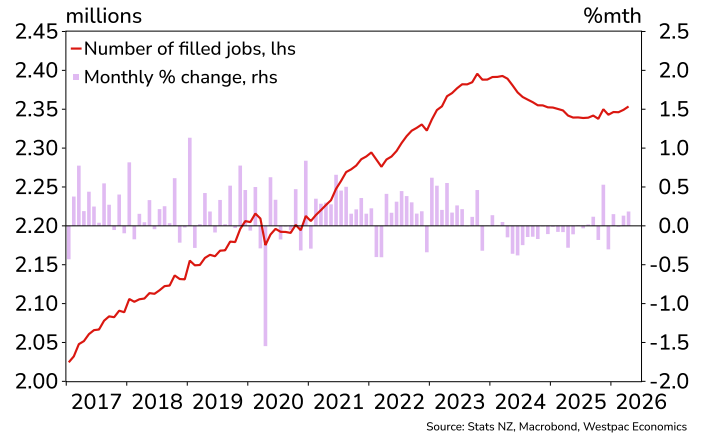


NZ: May Monthly Employment Indicator (%mth)

Jun 29, Last: 0.2, Westpac f/c: 0.2

The MEI has been showing a modest uptick in employment since late 2025, adding to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ suggest that the labour market has held its ground during the conflict, with the number of filled jobs continuing to track slightly above year-ago levels. Given that the MEI tends to be overstated on the first release, we expect to see a 0.2% rise for May initially, which is then likely to be revised closer to flat. The April increase is also likely to be revised lower.

Monthly Employment Indicator

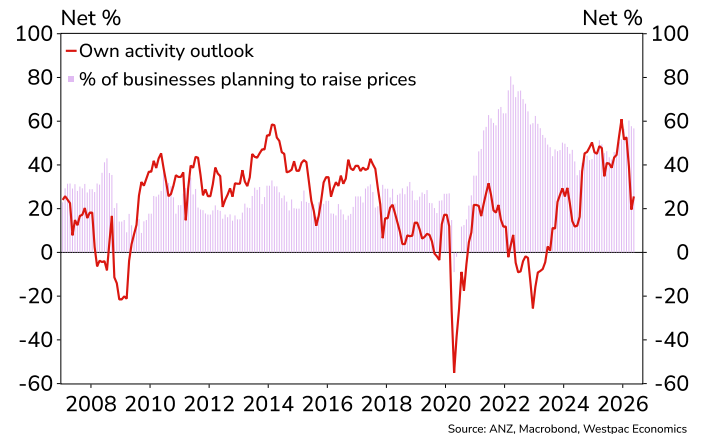


NZ: Jun ANZ Business Confidence (index)

Jun 30, Last: 10.0

Business sentiment improved a bit in May, after falling sharply in March and April in response to the Iran conflict. With domestic fuel prices easing further in recent weeks, we should see a further lift in confidence in the June survey – although given the timing of the US-Iran peace agreement, we could see another sharp distinction between early and late responses during the month (the latter group typically being smaller). With a critical RBNZ decision looming next month, the focus will also be on the inflation indicators in this survey such as pricing intentions and expected wage growth.

ANZ Business Outlook survey

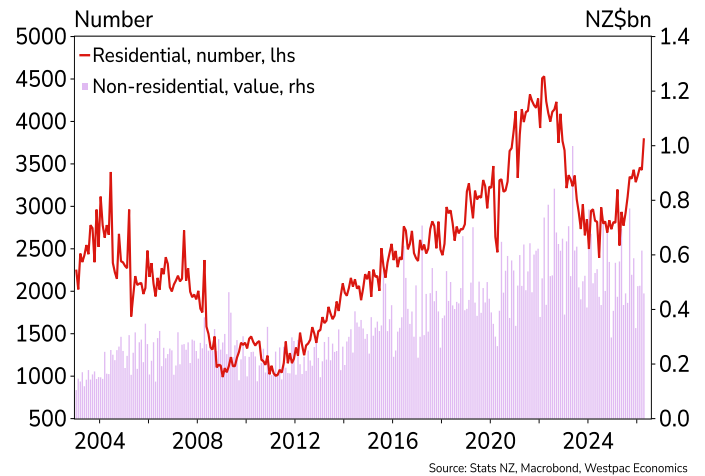


NZ: May Building Consents (%mth)

Jul 2, Last: 10.9, Westpac f/c: -5

April saw an 11% rise in dwelling consent numbers, underpinned by a large number of apartment consents. As such consents are typically issued in batches, we expect they will drop back this month. However, the underlying trend in consent issuance more generally has remained firm, with the annual total rising to its highest level since 2023. Even with the expected easing in the May month, the annual total is set to continue climbing. On the non-residential front, nervousness about economic conditions means that the amount of commercial building work planned is expected to continue tracking broadly sideways, though trends are mixed across segments.

Building consents



US: Jun employment report (000s)

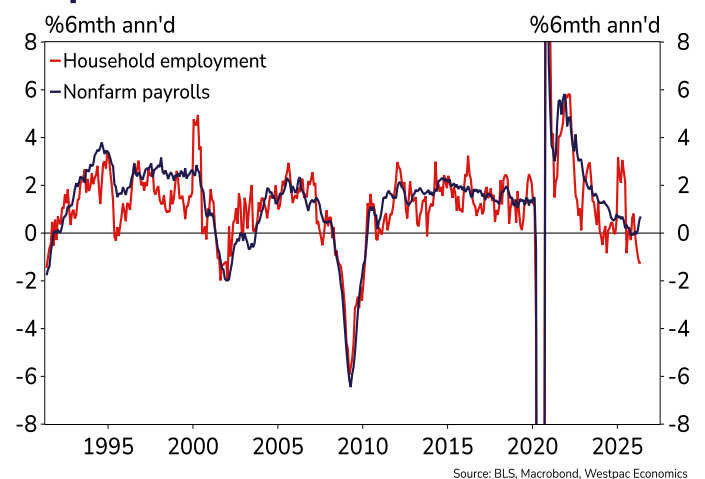
Jul 2, payrolls, Last: 172, Mkt f/c: 115, WBC f/c: 100

Nonfarm payrolls surprised materially to the upside in May, a gain of 172k reported in the month as well as 93k in back revisions to March and April. The 3-month average more than doubled to 188k as a result, a pace of employment growth well in excess of new labour supply.

Household employment growth remained weak, however, and the unemployment rate unchanged at 4.3%. Average hourly earnings growth was also benign at 3.5%yr.

June's report will provide guidance on whether the labour market is just marking time or tightening anew. It will also provide clarity on whether one-off's were behind May's surge, most notably owing to the staging of the World Cup.

Job pulse to be determined



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 29						
Aus	RBA Speak	–	–	–	–	Speech by Assistant Governor Kent in Sydney, 9:30am AEST.
NZ	May Monthly Employment Indicator	%mth	0.2	–	0.2	Jobs have held their ground through the Iran conflict.
Eur	May M3 Money Supply	%ann	2.7	2.7	–	Tight credit conditions and weak demand keep supply weak.
	Jun Economic Confidence	index	93.5	94.8	–	Confidence stabilising but remains at levels consistent...
	Jun Consumer Confidence	index	–17.7	–	–	...weak activity offering limited support for spending.
US	Jun Dallas Fed Manufacturing	index	0.4	–	–	Weak conditions highlight ongoing industrial softness
Tue 30						
Aus	RBA Minutes	–	–	–	–	Detail the deliberations of the hawkish hold.
	May Private Sector Credit	%mth	0.7	0.6	0.6	Likely to see the first signs of slowing post RBA rate hikes.
NZ	Jun ANZ Business Confidence	index	10.0	–	–	Should see a lift but especially among later responses.
Jpn	May Jobless Rate	%	2.5	2.5	–	Structural forces keep labour markets tight.
	May Industrial Production	%mth	0.5	0.1	–	Underlying momentum mixed with volatile output figures.
Chn	Jun NBS Manufacturing PMI	index	50.0	50.1	–	Manufacturing activity remains soft reflecting weak...
	Jun NBS Non-Manufacturing PMI	index	50.1	49.9	–	...demand and ongoing headwinds.
UK	Q1 GDP	%ann	1.1	–	–	Consistent with a subdued expansion.
US	Apr FHFA House Prices	%mth	0.1	–	–	House price growth easing as affordability..
	Apr S&P/CS Home Price Index	%mth	–0.2	–	–	...constraints weigh on demand.
	Jun Chicago PMI	index	62.7	–	–	Reinforcing broader industrial softness.
	Jun Conf. Board Consumer Confidence	index	93.1	94.3	–	Confidence remains fragile amid ongoing cost pressures
	May JOLTS Job Openings	000s	7618	7275	–	Job openings trending lower, signalling easing labour demand
Wed 01						
Aus	Jun Cotality Home Value Index	%mth	–0.1	–	–0.5	Turnover will be a key area to watch.
	May Dwelling Approvals	%mth	–3.4	0.0	–1.0	Activity looks to be normalising after a brief surge.
Jpn	Q2 Tankan Large Manufacturers	index	17	16	–	External demand is supporting business sentiment.
Wrld	Jun S&P Global Manufacturing PMI	index	–	–	–	Global factory activity remains subdued
Eur	Jun CPI	%ann	3.2	3.1	–	Soft demand sees inflation ease.
US	Jun ADP Employment Change	000s	122	118	–	Hiring is moderating consistent with a cooling labour market.
	Jun ISM Manufacturing	index	54.0	53.8	–	Likely to show continued contraction in the industrial sector
Thu 02						
Aus	May Goods Trade Balance	\$mn	1.8	2.4	2.5	Nuanced result with categories pulling in opposite directions.
NZ	May Building Permits	%mth	10.9	–	–5.0	Monthly pullback, but longer term trend still firm.
Kor	Jun CPI	%ann	3.1	3.2	–	Pressures easing consistent with regional disinflation trend.
Eur	May Unemployment Rate	%	6.3	6.3	–	Forward indicators suggest gradual softening
US	Jun Nonfarm Payrolls	000s	172	115	100	Jobs and wage growth is moderating, pointing to a gradual...
	Jun Average Hourly Earnings	%mth	0.3	0.3	–	easing but still above levels consistent with target inflation
	Initial Jobless Claims	000s	215	220	–	Claims remain low, suggesting layoffs are still contained
	Jun Unemployment Rate	%	4.3	4.3	–	Edging higher, consistent with a softening labour market
	May Factory Orders	%mth	4.8	–	–	Orders likely to pick up after a recovery in durable goods.
Fri 03						
NZ	Jun ANZ Consumer Confidence	index	86.5	–	–	Further gains likely after a modest rebound in May.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (26 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.35	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.36	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.72	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	35	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.69	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.32	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.36	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	-2	-10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (26 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6893	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5645	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.57	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1379	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3205	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.8010	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2212	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	-	-	-	-
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	-	-	-	-
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

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